



RX INTERVIEWS

**ConvergeOne Converges on One
Size Fits All**

**RESTRUCTURINGINTERVIEWS.COM
NEW YORK, NEW YORK**



CONVERGEONE CONVERGES ON ONE SIZE FITS ALL

Look, the work of figuring out what's been going on in Texas is best left to a hierophant. Perhaps there are no mysteries to unravel, no Stausian interpretations that need to be made – perhaps this can all be explained as appellate courts with more limited exposure to the practicalities of restructuring putting on their FedSoc hats, equipped with their sense of self-certitude in beginning from first principles, and piecing together overbroad opinions that have consequences (if other courts were to follow their lead) far beyond what they might realize in the moment.

Or maybe (probably) this all has a bit more to do with the SDTX flying a bit too close to the sun (in the case of ~~Judge~~ Jones, our old friend, in a few different ways) and Article III courts melting their wings.

Regardless, what seems obvious – what *is* obvious – is that no matter one's views on the outcomes of the appeals in Serta and ConvergeOne as the opinions themselves delve into their rationales a more and more complicated and inconsistent picture emerges.

ConvergeOne as a case is, well, pretty straight forward. So, there's not much sense going into an extended monologue on its background – there's [the DS for that](#), if one cares. Plus, since Ropes & Gray – alongside most others in the aftermath of this latest ConvergeOne opinion – didn't conceal their derision toward the opinion there's little sense in me compounding it (famous last words).

But, at base, ConvergeOne was a typical pre-pack done to avoid the ever-higher costs of free-fall cases (well, let's put a favorable spin on the ball and assert that as a fact). Thus, an RSA was reached ([see pg. 153](#)) with 81% of holders across both the 1Ls and 2Ls right before it filed (as in, the details were fleshed out at the last minute – with the RSA finalized under 24 hours before the case was filed).

Under this RSA – which, again, was typical in its construction – the 1Ls could elect to receive 20% of the face value of their holdings in the form of new take-back debt *or* 15% of the face value of their holdings in take-back debt *plus* the right to purchase post-reorg equity through the contemplated rights offering (hint, hint – it made sense to take the latter). Meanwhile, the 2L holders would receive a penny for their troubles (read: would receive a concession to have them sign onto the RSA and not be a nuisance and put up a valuation fight over their otherwise underwater holdings) in the form of 4.375% of post-reorg equity (subject to dilution from the management incentive plan, etc.).

Now, of course, even though the RSA contemplated a ~\$1.6b reduction in debt, there was the need for fresh cash to be raised from *someone, somewhere* to repay the DIP and have some cash on the balance sheet upon emergence. So, since no one had the appetite to see ConvergeOne too levered post-reorg, the equity route was pursued and thus the aforementioned (equity) rights offering was pretty robust. In most tellings, it's stated that the rights offering was \$245mm (at an aggressive, but not abnormal, 35% discount to the \$434mm Plan value) but that somewhat elides the real issue here and, as far as equity rights offerings go, the admittedly more aggressive nature of it.

In truth, it should be thought of as there being a \$159.25mm component to the rights offering (the so-called Open Equity Allocation) that was open to all 1L holders but that was backstopped by a subset of them (the so-called Majority Lenders – a.k.a. the 1Ls that signed onto the RSA) and then a \$85.75mm direct (equity) investment component (the so-called Exclusive Equity Allocation) open to those same participants that backstopped the Open Equity Allocation component.



(Note that in the equity rights offering term sheet, the \$159.25mm, or 65% of the total to be raised, was termed the Non-Holdback Rights Offering Amount, while the \$85.75mm, or 35% of the total to be raised, was termed the Holdback Amount.)

So, if we ignore the management incentive plan, there would be 4.375% of the post-reorg equity shuffled to the 2Ls (a little token for their cooperation to ensure a quick and easy time in-court, etc.) and then 95.625% would be to the benefit of the 1L holders and the backstop parties (with all 1L holders having the right, but not the obligation, to participate in the Open Equity Allocation).

The rub comes (well, primarily) from the so-called Put Option Premium (a nondescript term in this context if there ever was one) which took the form of 10% of post-reorg equity that'd flow to the backstop parties for their "efforts" which dilutes down both the direct investment (exclusive to those that backstopped the rights offering) and the more regular-way rights offering component (open to all).

Which, of course, all has the effect that it dilutes down those that are *not* backstop parties since, like, if a 1L holder who is a backstop party is diluted down vis-à-vis the Open Equity Allocation by the Put Option Premium which is to their ultimate benefit that's not dilutive on balance. It's all the same equity that's accrued but under a different banner – six of one, half a dozen of the other, etc.

So, if we take a quick step back, one could think about the 1L lenders as comprised of two separate groups: the Majority Lenders, with ~81% of the 1Ls, and the Minority Lenders, with ~19% of the 1Ls. The rights offering itself was at a 35% discount to the Plan (equity) value of \$434mm – which implies an equity value of \$282.1mm – and the rights offering was to raise \$245mm (such that, before dilution is taken into account vis-à-vis the management incentive plan and the Put Option Premium, we'd see 95.625% of the total post-reorg equity to flow to pre-reorg 1L holders, and 4.375% flow to pre-reorg 2L holders).

Exclusive Equity Allocation. The Plan provides that Debtors will raise \$86 million of the \$245 million by selling discounted equity to a subset of the Majority Lenders and the Insider. This is sometimes referred to as the "Direct Allocation" or "Stated Holdback." See Plan at 6 (arts. I.A.51–52), App. 000075. These shares are worth \$132 million at Plan Value.

Open Equity Allocation. The Plan further provides that Debtors will raise the remaining \$159 million of the \$245 million by offering to sell discounted equity to all holders of Class 3 claims on a *pro rata* basis. This is the so-called "Open Allocation." See Plan at 16–17 (arts. I.A.165–167, 171), 27 (art. III.C.3.(c)), App. 000085–86, 96. In lieu of participating in the Open Equity Allocation, Class 3 members can elect to recover in the form of a take-back note (the "Take Back Note") worth 20% of their claims. See Plan at 18 (art. I.A.189), 27 (art. III.C.3.(c)), App. 000087, 96. The Excluded Lenders have no objection to the Open Equity Allocation because all Class 3 claimants are treated equally.

Backstop Investment Opportunity. The Plan provides that a subset of the Majority Lenders and the Insider have the investment opportunity to purchase any discounted equity that is not sold in the open equity allocation to Class 3. This is the so-called Backstop Commitment. See Plan at 3 (art. I.A.16), App. 000072. The maximum amount of equity that might go unsold in the Open Equity Allocation was 19% of the Class 3 claims (or \$30 million of the \$160 million sought to be raised) because the Majority Lenders and Insider who hold 81% of those claims had separately promised to purchase their portion of shares in the Open Equity Allocation.⁶

Put Option Premium. Finally, the Plan provides that a subset of the Majority Lenders and the Insider will receive a backstop fee in the form of equity worth \$37.7 million at Plan Value. See Plan at 145. This is the so-called "Put Option Premium." See Plan at 14 (art. I.A.145), App. 000083; Equity Rights Offering Term Sheet attached to Restructuring Term Sheet, App. 000252–257 (definition at App. 000255).

**1 Current Capital Structure**

Debt	Amount (\$ Mn)
ABL	190.0
Total ABL	190.0
1L	1,095.7
KL Management	78.8
PVKG Note	213.0
1L Group	1,387.5
Total First Lien Debt	1,577.5
2L	286.5
Total Secured Debt	1,864.1

Exit Capital Structure

Debt	Amount (\$ Mn)
Exit ABL	125.0
Exit Term Loan (1L Takeback)	243.0
Total Debt	368.0

1a. 1L Claims	Amount (\$ Mn)	%
Majority Lenders	1,119.9	80.7%
Excluded Group	267.6	19.3%
Total	1,387.5	100%

2 Plan Details

Plan Value	Amount (\$ Mn)
Stipulated Equity Value	434.0
Rights offering discount	35.0%
Discounted Equity Value	282.1

New Equity Split	%	Amount (\$ Mn)
1L	95.625%	415.0
2L	4.375%	19.0
Total	100%	434.0

Now we previously discussed that the Open Equity Allocation would raise \$159.25mm or 65% of the total raised in the overall rights offering. Thus, based on the (discounted) implied equity value, 56.5% of the post-reorg equity would be shuffled to participants in this *component* of the rights offering ($0.565 = (245 \times 0.65) / 282.1$).

Meanwhile, the Exclusive Equity Allocation, that we previously discussed was open to those that backstopped the Open Equity Allocation aspect of the overall rights offering, would raise \$85.75mm – or 35% of the total raised – which, based on the (discounted) implied equity value, meant that 30.4% of the post-reorg equity would be shuffled to participants ($0.304 = (245 \times 0.35) / 282.1$).

In other words, in return for \$159.25mm participants in the Open Equity Allocation would receive equity worth ~\$245mm at Plan value ($.565 \times 434$), and in return for \$85.75mm participants in the Exclusive Equity Allocation would receive equity worth ~\$131.9mm at Plan value (0.304×434).

Which, as I discussed in my [overview of rights offerings](#) years ago, sounds great in theory. But *theory* is the operative word since, well, who knows what this equity is worth now, never mind what it'll be worth in the future when one can actually get out of one's position – for all equity rights offerings that look like a highway robbery, there are several more that amount to holders purchasing equity that in hindsight was never worth more than a handful of dust.

Anyway, thus far there's not that much about this equity rights offering overall that should arch one's eyebrows – well, the size of the Exclusive Equity Allocation is a bit rich but whatever. However, what we haven't touched on in detail, and where I mentioned earlier the real rub comes in, is vis-à-vis the Put Option Premium since it amounts to 10% of the capital raised that's payable in post-reorg equity at the same discount to Plan value as the rest of the components of the rights offering (read: 35%).

In other words, this Put Option Premium – this form of consideration for the Majority Lenders providing the backstop, set-in-stone regardless of if the backstop was ever used or was even needed – was calculated based on the \$245mm raised. Which, look, is a bit bold since 35% of this \$245mm raised represents the Exclusive Equity Allocation that is, as the name implies, exclusive to certain holders (read: the Majority Lenders).



And since the Majority Lenders hold such a large percentage of the 1Ls – around 81% – even if we imagine that all the Minority Lenders opted *not* to participate in the equity rights offering (read: those aspects of the offering they *could* participate in) it's not like the Majority Lenders practically need to backstop much.

Because recall that the Plan equity value – adjusted for the rights offering discount – was \$282.1mm, the Minority Lenders held 19.3% of the 1Ls, and that the total amount of post-reorg equity that'd flow to participants in the \$159.25mm Open Equity Allocation (that aspect of the rights offering that's backstopped) was 56.45%. So, the total amount that the Minority Lenders could participate in the Open Equity Allocation up to (read: how much equity could be purchased) would be 159.25×0.193 or \$30.7mm.

So, with the Put Option Premium at 10% – based on the total capital raised of \$245mm – that's \$24.5mm worth of equity at the discounted Plan equity value, or \$37.7mm based on the actual Plan value (read: what the equity is worth, if one believes in the Plan valuation). Therefore, this premium, cost, charge, fee – *whatever one wants to call this* – that is fixed and payable regardless of the practical necessity of the backstop is significantly larger than the amount that practically would need to ever be backstopped.

Thus, whether viewed on the basis that the Put Option Premium “cost” is calculated on the total quantum raised which includes the Exclusive Equity Allocation (that, as the name implies, is *exclusive* to the same set of lenders that the Put Option Premium benefits so is a bit circular) or whether viewed on the basis that the “cost” of this Premium is larger than the amount that practically would need to ever be backstopped, the optics here aren't ideal for the Majority Lenders...

2a. Rights Offering	Rights Offer Split (%)	Purchase Price (\$ Mn) (A)	% Equity	Share of Stipulated Equity Value (\$ Mn) (B)	Distributable Value (\$ Mn) (B - A)
Open Equity Allocation Amount	65.0%	159.25	56.5%	245.0	85.8
Exclusive Equity Allocation Amount	35.0%	85.75	30.4%	131.9	46.2
Total Open Equity Allocation and Exclusive Equity Allocation		245.0	86.8%	376.9	131.9

2b. Put Option Premium	Fee	New Capital Raise (Rights Issue)	Fee Amount (A)	Fee distributed as equity at 35% discount of Plan Disc (B)	Distributable Value (\$ Mn) (A / B)
	10%	245.0	24.5	$24.5 / (1 - 0.35)$	37.7
Put Option Premium as % Equity in Reorganized Company					
Put Option Premium (Backstop Fee) (A)	37.7				
Stipulated Equity Value (B)	434.0				
% of Equity in the Reorganized Company (A / B)	8.7%				
Backstop of Excluded Lenders (\$ Mn)	30.7				
Put Option Premium (\$ Mn)	37.7				
% Fee of Put Option Premium against excluded Lender Backstop	122.7%				

And this all results, of course, in a bifurcation of the potential recovery between the Majority Lenders and the Minority Lenders – or, perhaps better said, with the Majority Lenders being able to benefit from additional sources of consideration (read: the Exclusive Equity Allocation and Put Option Premium) relative to the Minority Lenders (who are left with the simple choice of either their consideration coming in the form of take-back debt or a mix of take-back debt and post-reorg equity through participation in an *aspect* or *component* of the rights offering but not the whole shebang).



\$ Mn	Majority Lenders	Excluded Group (Open Equity Allocation Option)	Excluded Group (Term Loan Only Option)
Take Back Debt	193.6	26.4	22.9
Open Equity Allocation Amount	75.4	10.3	
Exclusive Equity Allocation Amount	46.2	-	
Put Option Premium Fee	37.7	-	
Total Recovery	352.9	36.7	22.9
1L Claims	1,119.9	152.9	114.7
1L Recovery (%)	31.5%	24.0%	20.0%
Difference in Recovery	7.5%	Enhancement in Recovery (%)	
		31.2%	

Which, to be fair to the aggrieved, was somewhat elided in the PoR itself that (as is typical) spoke to the bifurcation of 1L recoveries in terms of whether one chose the take-back debt option or the take-back debt and rights offering participation option. In other words, it didn't *explicitly* touch (here) on the fact that the backstop parties would receive an even higher "recovery" due to the Exclusive Equity Allocation and Put Option Premium.

3	First Lien Claims	Except to the extent that a Holder of an Allowed First Lien Claim agrees to less favorable treatment, in exchange for full and final satisfaction, settlement, release, and discharge of (including any Liens related thereto) each Allowed First Lien Claim, each Holder of an Allowed First Lien Claim (or its designated Affiliate, managed fund or account or other designee) shall receive on the Effective Date its elected Pro Rata share of (which elections shall be adjusted on a Pro Rata basis (in accordance with the Adjustment (as defined in the Backstop Agreement)) as calculated pursuant to the Backstop Agreement)) as necessary, so that participation in each recovery option is equal to 50% of the First Lien Claims (x) the Takeback Term Loan Recovery Option, or (y) the Rights Offering Rights and Takeback Term Loan Recovery Option. In the event that a Holder of a First Lien Claim fails to timely elect its recovery option, it shall be deemed to have elected the Rights Offering Rights and Takeback Term Loan Recovery Option.	\$1,387	20.0-27.4% ³
---	-------------------	---	---------	-------------------------

³ Recoveries shown include value in respect of participation in the Takeback Term Loan Recovery Option and Rights Offering Rights and Takeback Term Loan Recovery Option. The low end of the recovery range assumes the Holder of a First Lien Claim fully participating in the Takeback Term Loan Recovery Option, whereas the high end of the range of recovery assumes the Holder of a First Lien Claim fully participates in the Rights Offering Rights and Takeback Term Loan Recovery Option.

But that's because these are treated as not direct consideration for a subset of 1L holders, but as indirect consideration for ensuring the overall transaction could be effectuated. To some, this might seem a distinction without a difference but it's a distinction (as I'll discuss in a second) all the same.

With all that said, it must be stressed again that there's no free lunch. Sure, sure, based on the math above it looks like the Majority Lenders have a "recovery" of 31.5% as opposed to the Minority Lenders that are staring down the barrel of either a 24.0% or 20.0% recovery depending on their participation in the rights offering (there's a slight difference, 27.4% vs. 24%, in the upside cases in the eyes of the PoR and the Minority Lenders due to different participation level nuances but that's not important for our purposes or the arguments to come).

And while this 31.2% enhancement of recovery (0.315/0.240-1) for the Majority Lenders over the Minority Lenders is non-trivial, the basis for the enhancement (at least vis-à-vis the Exclusive Equity Allocation) involves the Majority Lenders providing lots of new capital for consideration (post-reorg equity) which comes attached with (to put it mildly) significant risks.

Because while ConvergeOne will emerge with a much delevered capital structure – only made possible due to the rights offering, as otherwise more exit debt would've been required! – the discount to Plan value embedded within the rights offering only makes this a sweetheart deal *if* that value holds true.

But, of course, the nature of being the equity cushion for your own (modest amount of) take-back debt is that, should things begin to fall apart after ConvergeOne emerges, the discount at which one's new equity was purchased could look like a premium in short order.



Anyway, the root of the original objection to the Plan brought before Judge Lopez by the Minority Lenders in an attempt to derail the pre-pack at confirmation was simple: these woebegotten 1L holders (e.g., Blue Owl and Cerberus) who were non-backstop parties claimed they were about to receive “unequal” treatment vis-à-vis how the post-reorg equity was to be divvied up. In their words, they were left out of these once-in-a-lifetime, can’t-miss Exclusive Investment Opportunities (the Exclusive Equity Allocation, Backstop Investment Opportunity, and Put Option Premium referenced above) and that is a violation of Section 1123(a)(4) – either these Exclusive Investment Opportunities had to be offered to all, or they at least had to be exposed to an undefined, nebulous “market test”.

This line of argument was rejected orally by Judge Lopez without much hesitation – as should have been no surprise since, while aggressive, the notion of disparate terms vis-à-vis those that have contributed little to the creation of a pre-pack, have limited practical hope of crafting a better Plan with better terms (never mind on the same expedited timeline), and who have somewhat minimal holdings (thus their lack of involvement up to this stage!) is not unusual.

And while he rejected this line of argument orally and failed to elaborate much on his rationale – an eerie reminder of Jones’ similar oral ruling vis-à-vis Serta – he might have said with more emphasis that Section 1123(a)(4) requires equal treatment of *claims* in a class, not *claimants* in a class. Thus, where a debtor decides to offer *additional* consideration to a subset of claimants in a class for a new *commitment* (e.g., a backstop commitment) on reasonable terms in-line with precedents and rooted in the unique circumstances and constraints the debtor faces then that’s fine – such is life when distressed and, in ConvergeOne’s case, with just a smidge of liquidity left.

Further, ConvergeOne did receive value, through the Exclusive Equity Allocation and its structure, in the form of execution certainty vis-à-vis the overall Plan (read: comfort that the Plan was feasible and executable and that there would be sufficient cash upon emergence no matter what).

2 This is a market deal. I can assess it. I have
3 evidence in the Record about the negotiation and comps.
4 This deal was not struck in the dark exclusively between
5 Debtor and the equity. That's a LaSalle problem.
15 Importantly, there were two proposals from the
16 excluded lender group. They couldn't guarantee better
17 economics. That's another market test and it was not in
18 a -- it was in a non-cram down scenario.
19 But I have a market analysis anyway. I note that
20 the objecting lender proposal is not just for the financing
21 part. And that's really important to them, though. Note
22 the proposal included Plan treatment to excluded lenders
23 wanted the Debtors to drop the current deal with broad
24 creditor support and take the entire -- and take this entire
25 new deal with no guarantee of broad support. And then say
1 that it was the Bankruptcy Code is the reason for the hopes
2 that lenders settle.



As I've said innumerable times, it's all a matter of perspective – and there's been lots of retrospective haranguing of Judge Lopez by some for his out-of-hand dismissal when this issue was before him and his failure to grapple with what looks like palpably unfair treatment. (All of which is somewhat unfair as his oral ruling was quite long even if it didn't always drill down into specifics.)

But to his mind it's, of course, *obvious* that alternative proposals (and a few half-hearted ones, done probably to set a better stage for the litigation to come, were made by the Minority Lenders post-filing) would not be acceptable to the Majority Lenders who, by dint of their size and prior consensus, have greater say (again, this is kind of one of those fundamental attributes of the in-court process).

So, to spend time navel-gazing about what could be, but never will be, would be to the ultimate detriment of the debtor – since what logic exists for the Majority Lenders, with a level of holdings that are *multiples* larger than the Minority Lenders, to provide equal economics to Minority Lenders when they weren't involved in the process and wouldn't have moved the needle even *if* they were involved.

Well, unless the Majority Lenders felt, or were told, that there could be no enhanced economics through a non-pro rata backstop. In other words, the terms of the *overall* rights offering would need to be on offer to everyone – no matter that one set of holders, who were most invested in the outcome by dint of their size, took the time and effort to create and then negotiate the RSA that'd allow for an expeditious filing that preserves value *for all* via the *de minimis* time that'd need to be spent in-court.

To be fair, there's some abstract resonance to this line of thought: after all, while one could characterize the Minority Lenders (read: all of those that weren't involved in the putting together of the pre-filing RSA) as free riders, they are no more free riders than the unsecured claims.

So, if the unsecured claims receive payment in full in a pre-pack to ensure they're deemed to accept the Plan (read: can't vote and thus can't exercise their nuisance value through dragging the case out), then why should these Minority Lenders who reside in the same part of the capital structure as those that were involved in the RSA creation not receive equal treatment (or have the *option* to receive equal treatment) to the RSA signatories? Or, put another way, if they do not receive equal treatment, who says these Minority Lenders can't exercise their nuisance value since they haven't been paid off to such an extent that they're deemed to not have a *right* to complain *à la* the unsecureds.

A consistent theme of mine is that these more delicate issues, at base, will always result in opinions rooted in fairness (read: equity) with then some legalese *maquillage* heaped on top. And the danger, as I've also said countless times before, is that when more delicate issues leap from the frying pan (bankruptcy courts) into the fire (Article III courts) then we're left to the devices of those that might lack the context to understand the ramifications of their decisions (read: who have their context overly built by law review articles that breathlessly speak to lender-on-lender violence, etc.).

Thus, we're left with higgledy-piggledy opinions that – again, regardless of one's views on the outcome reached – are difficult to disentangle the logic, or consequences, of. To this end, in the immediate aftermath of the Serta decision I bemoaned the casual disregard of the LSTA in favor of some stretched example of how the Fed conducts open-market operations – what looked, if one were to read the opinion, as a bit of a sideshow but that illustrated a naiveté vis-à-vis how credit markets practically operate and, more importantly, one feared could be one of the wonky hooks on which other opinions could be hung on.



And so it came to be: after [an appeal](#) by the Minority Lenders to the District Court for the Southern District of Texas, an [opinion was handed down](#) in Sept in which we are told by Judge Hanen that the reason that the Exclusive Investment Opportunities violated 1123(a)(4) was because, sure, the “opportunities” to participate weren’t made available to everyone but *also* because no “market test” of these opportunities occurred. Indeed, if there was a “market test” that passed, perhaps this all would’ve been fine (maybe, kind of, *who knows*).

Now, one might wonder what this “market test” is – after all, we’re grappling at base with a backstop fee negotiated pre-filing in return for illiquid post-reorg equity of uncertain value that was at least believed to be required to consummate a quick-and-easy pre-pack.

I mean, backstopped equity rights offerings are not unusual – and the fact these can occur at a significant discount to Plan value is also not usual – but we’re not dealing with a typical “market” in which there’ll be dozens of undifferentiated suiters. Plus, with so few cases of size any precedence analyses are going to involve some level of judgement as to if the terms are “market” (an analysis, as it typical, *was* done by Evercore, for what it’s worth, but it didn’t touch on granular backstop terms).

And does it count for not an iota that alternative proposals for how to structure the rights offering, half-heartedly proposed by the Minority Lenders, were swatted away? Do these competing proposals not constitute options (in a “market”) with the most viable of these then selected?

Do we ignore that these alternative proposals would have per se led to a longer and more uncertain case (such that any alternative financing on offer would have needed to be upped in size in order to meet the cash burn from a longer time in-court)? Do we ignore the issues in these alternatives like the unviable priming DIP from Blue Torch (a non-current lender) that would’ve set off a battle with the Majority Lenders who, uh, don’t want to be primed unless they’re the ones priming themselves?

To Judge Hanen, these alternatives proposals were never given a full airing because they were only made after the Plan had been filed – after the inevitable churn toward confirmation was well underway – and that is proof positive of the nefariousness going on here. Forget the details.

(Doc. No. 51 at 5). The Majority Lenders argue that the Minority Lenders were not *really* excluded from the proposal because they were free to propose an alternative *after* the Plan had been filed.

(Doc. No. 51 at 6). The Court does not find this persuasive. The Majority Lenders, Debtors, ar Insider negotiated the terms of the RSA for months before it was finalized, and the Minority Lenders were excluded from those negotiations from beginning to end. Then, as soon as the RSA was finalized, the Debtors filed the pre-packaged bankruptcy plan which was then confirmed by the Bankruptcy Court in a matter of weeks.

Which, look, one can imagine *how* this kind of conclusion is arrived at – but there’s a reason that Judge Lopez who, to crib Judge Jones’ old saying, grapples with these issues all the time probably didn’t even *think* about this line of thought as one to counter in his oral ruling ramblings.



Because, *of course*, almost all RSAs that lead to a pre-pack will not have *everyone* around the table; ConvergeOne didn't file in the dead of night, there was reporting on the negotiations well beforehand and Cerberus knew all too well what was going on (they were absolutely streamed and treated their lack of inclusion as more or less a sign of disrespect); and those not involved in the RSA were free to imagine their own Plan structure or at least offer their (unsolicited) suggestions on its structure.

(There was a typical no-shop provision in the RSA but that doesn't preclude this because the RSA also included a likewise typical fiduciary out which per se requires that while better offers can't be solicited, if received they can be considered in real-time.)

Now, Minority Lenders would argue this would be tantamount to howling at the wind because of their small level of holdings which makes them, uh, a bit irrelevant to pre-filing negotiations since what the company cares about is an RSA reached with a *sufficient* percentage of holders across applicable classes to enable the debtor to emerge as quickly as possible.

But that's how pre-packs work – a company begins talks with their largest holders that constitute at least a supermajority across the applicable classes (to reduce down the logistical complexities of negotiations with dozens or hundreds of counterparties of various levels of sophistication); reaches an RSA with these large in size but small in number holders; files with a short timeline to minimize value destruction and case costs; and *then*, once filed, the debtor will contend with whatever issues are raised by minority holders across the applicable classes in order to achieve confirmation (which, as the confirmation battle in ConvergeOne illustrates, is *not* somehow pre-destined by dint of the fact an RSA was reached pre-filing).

Hanen finds this all “unpersuasive”. The fact that the most practical way for those not in the RSA negotiations to have their voices heard is through proposing an alternative *after* the case has been filed is equivalent, in Hanen's view, to trying to stop a process inexorably in motion. But this perceived inexorability stems not from some kind of timeline issue but rather from the very nature of what a pre-pack is (e.g., that there's per se widespread support pre-filing from those that will be the lynchpin to confirmation thus the hurdle for alternative solutions is high).

In other words, it's not that a pre-pack makes it impossible for someone to propose an alternative structure that causes the debtor to put the brakes on, pause, and alter the Plan – it's that what is proposed as an alternative must be better than what's on the table and must be *viable* (read: must be able to have the support of the majority that were in favor of the original Plan based on the RSA arrived at pre-filing).

So, *of course*, all of those that were not included in the RSA negotiations – whether due to their size or lack of sophistication – can propose alternatives and the debtors can assess those and opt to change their trajectory if desired.

But it'll be rare that what a small subset of holders can offer is much better (for the debtors!) than what's been negotiated by the debtors pre-filing *and* that the debtors will be able to overcome the burden of trying to reach consensus on some alternative with the majority of holders. The juice is rarely going to be worth the squeeze since to squeeze (pursue alternatives) will per se mean a delayed timeline for emergence – and, as Judge Lopez noted at confirmation, in this situation what was negotiated pre-filing had “remarkable” levels of support...



4 Based upon the Record before me, there is no deal
5 to reduce of a billion dollars of debt without the 1L Ad Hoc
6 Group. The 2L's are on board with 100 percent of this Plan.
7 Onboard 100 percent. And they aren't even receiving a full
8 or even 50 percent recovery.

9 And unsecured creditors are unimpaired. The
10 overwhelming support for this Plan is remarkable. There's
11 also no formal requirement for the objecting parties to have
12 been included in the negotiations on the Plan or the related
13 backstop agreement.

Once again, I'll return to my prior point: what else could constitute a market test in this kind of case other than, as Evercore's Shah said, "...exposing an investment opportunity to some competitive tension [when and where possible]" as *did* occur through the alt proposals from the Minority Lenders and which *did* lead to a lengthy confirmation battle that saw everyone air their feelings.

However, in his opinion Hanen makes it clear that he believes there was no test here because even though there *were* alternative proposals those came "...after the RSA was already executed and the pre-packaged bankruptcy petition was filed" and "[e]ven if the test merely required the consideration of alternative plans, there was no real opportunity for the Minority Lenders to propose an alternative that would receive genuine consideration. To put it bluntly, at the time the bankruptcy petition was filed, the train had already left the station, and the Minority Lenders were never permitted to board".

In other words, the market needed to be "tested" at time zero – when the RSA was crafted – not at t+1 (after the case had been filed) because at that time last minute "offers" in this "market" would never be contemplated by the debtor. However, this all breaks down because at time zero the same issue would remain, no matter the "competitive pressures" from multiple offers, between a majority that wanted [X], a minority that wanted [Y], and the most viable option, of course, *still* being [X].

There can be no claim – *has been no claim* – that the debtors look, wistfully and misty eyed, at what could've been if those alternative offers were on the table before Silver Point, et al. foisted the RSA onto them. No thought that if they had advertised that they were looking for "offers" when the RSA was put together (or before) that better, more viable solutions would've come to the fore.

(Again, from whom would all these offers originate in this make-believe market? In these situations, the applicable suitors will almost always be current holders so the number of offers on the table will be limited in number to begin with and the most viable will be the one that has the most support.)

But let's forget about all this because Judge Hanen believes that our guiding light for what a "market test" could be (maybe!) stems from the "open market purchase" analysis in Serta with no further elaboration offered. Sure, the Fed's open market operations could seem distinct from what was at issue in Serta and that could seem equally distinct (as in, a universe apart) from what is at issue here in ConvergeOne.



However, it seems as though it was believed by Judge Hanen that market participants had skirted the use of the available “market” in exit financings in this situation – and all that Hanen has done, in his view, is force the use of the market function to make sure everyone has a fair bargain. Again, one of these things that sounds fair enough in theory but is unrealistic and unserious in practice.

Not to take too much of a detour, but in my little Serta missive, written in the immediate aftermath of Oldham’s decision, I made reference to the fact that client memos often are loath to say the quiet part out loud. So, part of the reason for my more editorialized spiel there (like here) was to help you read between the lines in those memos. And, of course, most client memos were somewhat favorably disposed toward the outcome in Serta, even if the way the outcome was arrived at raised lots of eyebrows, because the number of shops that engage in aggressive non-pro rata transactions, and their advisors, are small in number.

However, with ConvergeOne this all flips a bit – especially on the advisor front – because in-court transactions that have bifurcated economics within a class are not atypical or unusual. And if the logic of this opinion is continued to its natural stopping point, then it could impact how more traditional DIPs (that often feature aggressive non-pro rata backstops) are structured (despite the patina of a proof that needs to be evidenced that there are no other viable forms of financing, etc.).

Anyway, this is all to put into context the fact that the client memos that have come out in the wake of ConvergeOne have had a different tone: pulling less punches and saying the quiet parts out loud in the way that those self-interested in a certain outcome are liable to do.

For example, in my little Serta missive I highlighted that the best memo – by my lights – came from Ropes even though it held back a touch. However, attached here is the first Ropes ConvergeOne memo that holds back even less and also backtracks to discuss the weaknesses of the Fifth Circuit’s Serta decision with more force than in their original memo. (Of course, my biases are well advertised and the fact that there is a nice diatribe against the Fed example used in the Serta decision warms the heart.)

As Ropes notes, one can be left with the impression that this ConvergeOne opinion all revolves around the issue of fairness – that, by definition, a right (that leads to enhanced economics) for one, but not all, is per se impermissible.

ConvergeOne’s ruling, on an equitable basis, is easier to track. Presumably that court had been convinced that it was simply unfair for a lender group, however large, to exercise an investment right where another similarly situated group of lenders cannot—even if the minority lender group lacked the ability to consummate the chapter 11 plan that it had nominally proposed. And on this basis, *ConvergeOne’s* interpretation of section 1123(a)(4) might be rationalized: a majority lender group reserving backstop economics for itself is just inequitable, *res ipsa*.²¹ Again, this is not so much a legal argument as it is an equitable one, but it is also hard not to deny the appeal (if our readers will pardon the pun).

Which then leads us down the torturous road of Serta, and the invocation (read: admittance) by Ropes of the tenuous connection between the “open market” referenced in the Serta decision and what could possibly constitute a market, for purposes of a “market test”, in both a situation like in Serta and *especially* in a situation like in ConvergeOne.



What is more challenging, however, is *ConvergeOne*'s much more nebulous references to a “market test,” and what might be a satisfactory “market test” in this context. *ConvergeOne* does not provide specific guidance in this regard.²² *ConvergeOne*'s reference to *Serta* is also less helpful, as the “open market” endorsed by *Serta*, and cited approvingly by *ConvergeOne*, refers to, among other things, the open market repurchase operations undertaken by the Federal Reserve Bank as an acceptable “open market.” As we have previously observed, the Federal Reserve's systematic purchase and sale of billions if not trillions of dollars in Treasuries is a difficult and perhaps less-than-useful comparison to relatively small tranches of illiquid corporate debt.²³ Put differently, a “market check” for an executable exit financing package and the Federal Reserve's “open market repurchase” have very little in common with one another apart from the “market.”

Much as with the *Serta* decision itself, there has been a significant amount of consternation *and* jubilation in the wake of the *ConvergeOne* opinion (a bit more evenly divided than with *Serta* itself – again, a reflection of the wider swath of market participants, and advisors, on the “right” side of the ledger when it comes to enhanced economics through participation in post-filing rights offerings).

However, as I cautioned vis-à-vis *Serta*, one opinion does not make the law of the land – and such a departure, rooted in such a “market test”, will be looked at with a skeptical eye elsewhere. But, as with *Serta*, this does not mean that there won't be consequences (read: a chill) from the opinion.

Because, as alluded to by Ropes, and as I've written tens of thousands of words about over the last 12 months, minority holders both in- and out-of-court have become emboldened and with it their willingness to muck up the works, begin some litigation, and see how things pan out has increased.

So, as majority lenders in precarious capital structures try to carve out enhanced economics for themselves, one would expect to see an even heavier shift toward out-of-court transactions in the near-term where enhanced economics for the in-crowd *can* still be achieved although this is yet another reason for small sets of minority holders to feel like they have more holdout value than their holdings in and of themselves would indicate.

Likewise, at a time when all (except advisors!) bemoan the cost of free-falls, and believe in the need for expeditious cases, the incentive structure for the largest holders in a company's capital structure (to pick an example at random, holders of over 80% across a capital structure) will change *if* they think that the logic of the *ConvergeOne* opinion will have widespread acceptance.

Because while it still might be in their best interests to negotiate the RSA with equal treatment for all similarly situated holders the fact that a traditional form of horizontal intra-class discrimination cannot occur somewhat dulls the desire.

And, as Ropes notes in a remarkable level of understatement, if majority lenders try anything that shifts a touch of economics toward themselves, no matter how modest, then “...minority lenders may be incentivized to make facially implausible if not entirely unrealistic proposals in order to build a record of ‘unfairness’ for the litigation to come”.

In other words, even if there's no hope that a proposal from minority lenders is feasible – or should even be given a moment's thought – if this can be the foothold for future litigation, based on *ConvergeOne*, then that's what matters.



It's all a form or expression of enhanced nuisance value, and prays on the hope (not without merit, it seems) that courts will not realize that such proposals were always unviable and, as such, majority lenders will cut their losses (or, better said, cut their hypothetical gains) and make everything pro-rata to avoid being dragged into a battle with an uncertain outcome.

In the final paragraph of the short Ropes memo, the ConvergeOne outcome was summarized well as being one that at first blush looks “entirely fair” but is, by equal measure, “entirely unrealistic” in its approach to a market check or test.

Similarly, it may be challenging for plan proponents to assess the reasonableness of a financing proposal received from third parties, individual creditors, or a minority lender group that has no practical ability to actually consummate a proposal. At the risk of understatement, third parties, individual creditors, and minority lender groups typically cannot provide the support required to confirm a plan over the objection of a now-hostile impaired class. Yet *ConvergeOne* seems to open the floodgates to such an “entirely fair” but perhaps entirely unrealistic approach to a “market check.”

With all that said, regardless of if the views of Judge Hanen receive a warm reception outside the Lone Star State, it was of no consequence vis-à-vis ConvergeOne in the immediate aftermath of the opinion. With the opinion rendered, a rejiggered solution needed to be arrived at – but, unlike in Serta, the solution was self-evident and pretty seamless to effectuate since, well, it meant just offering the Exclusive Investment Opportunities to the Minority Lenders.

In other words, offering pro rata participation in the Backstop Agreement, Exclusive Equity Allocation, and Put Option Premium. Everyone receives the same grade in the group project – even the few people who did nothing to create it and indeed sought to derail it with an inferior one. So, on Nov 6 a [modified confirmation order](#) was entered and the Disclosure Statement and PoR were approved – and thus came to a close what amounts to a brief tiff with an outcome arrived at by a court that was perhaps rooted in how seamless of a solution was on the table (“...the Court found that relief could be granted without unwinding the Plan or unfairly damaging the rights of third parties and, thus, denied the motion to dismiss.”) and how this seamless solution seemed like the right, the *fair*, thing to do with little grappling with *if* or *how* what has been the norm can be achieved in the future...

[147. Minority Lender Objection. Notwithstanding anything to the contrary herein, and as required by the opinion and order of the United States District Court for the Southern District of Texas in *In re ConvergeOne Holdings, Inc.*, No. 4:24-cv-02001, dated September 25, 2025 \[Docket No. 614\] \(the “District Court Order”\), the Minority Lender Confirmation Objection is SUSTAINED solely with respect to its argument that the Plan violated section 1123\(a\)\(4\) of the Bankruptcy Code with respect to the members of the Minority Lender Ad Hoc Group, the Backstop Agreement, the Direct Investment Commitment, and the Put Option Premium. In accordance with the District Court Order, the Reorganized Debtors have offered the members of the Minority Lender Ad Hoc Group the opportunity to participate *pro rata* in the Backstop Agreement, the Direct Investment Commitment, and the Put Option Premium. The Minority Lender Ad Hoc Group has stipulated that, upon the making of such offer, the Plan complies with section 1123\(a\)\(4\) of the Bankruptcy Code. The Plan was substantially consummated and became effective as of June 4, 2024 and remains binding and effective in all respects. The members of the Minority Lender Ad Hoc Group shall be deemed to be Released Parties under the Plan. For the avoidance of doubt, the Reorganized Debtors are authorized to implement the terms of this paragraph, and resolve any disputes related thereto, consensually, without further order of the Court.](#)

Dated: 2024~~2025~~
Houston, Texas

THE HON. CHRISTOPHER M. LOPEZ

Note: Much of the ConvergeOne saga can be, in my view, boiled down to Cerberus promising to make life difficult and then proceeding to do so after they felt understandably jilted by Silver Point, et al. for not being included in the in-crowd. A version of [Larry David opening up a spite store](#), if you will. See the screenshots I've attached at the end – there's nothing quite like an opportunistic fund scorned (“We’d really rather not go to war here but if we aren’t included in your group, we won’t have an option... our policy is to pursue any and all remedies as aggressively as possible”).



CVC COMPLICATIONS AND CONSTERNATION

While we've talked at length about Serta here – since the Fifth Circuit decision was invoked, whether it should be in this context or not – the real structural similarities are less between ConvergeOne and Serta and more between ConvergeOne and Incora (that other ole flame of ours).

Because if we believe – in some non-literal but nevertheless *true* sense – that these more contentious transaction structures are always going to be viewed by Article III courts through the lens of “fairness” then when a PortCo's sponsor begins to muck about in the capital structure *and* the ultimate transaction the PortCo pursues seems to disproportionately benefit the sponsor's debt position then it begins to raise some eyebrows (read: it begins to feel like the sponsor capitulated on their equity position but tried to lessen their overall losses through their *nouveau*, or quasi-*nouveau*, debt position that it'll ensure is treated favorably relative to others in some future transaction, in- or out-of-court, not because of the nature of the position itself but because of *who* holds the position).

Note: In terms of other eerie Incora parallels, we also see Silver Point getting the raw end of the deal (after it looked like they'd manufactured a windfall) and EVR getting dragged through the mud a bit.

Anyway, we should do a little background: ConvergeOne was founded in 1993; was bought out by Clearlake in 2014 and taken public in 2018; and was then taken private (snip, snap) by CVC in 2019 who turned around and began (surprise, surprise) to do a series of bolt on acquisitions.

But beginning in late-2022 and into the first few months of 2023, accounts payable began to build and build – so, as isn't atypical, in March of 2023 PVKG Lender (an entity controlled by CVC) advanced around \$30mm via an unsecured promissory note (that we'll call the PVKG Lender Note) to pay down the AP balance.

However, as it became more and more obvious that this little band-aid would be insufficient, CVC began to think through what kind of structure would need to be in place if they were going to begin deploying more serious capital into the business. Because there's only so much capital you want to heap on a roaring bonfire in return for unsecured paper, etc.

So, in May of 2023 the original \$30mm of unsecured paper was secured on a 1L basis in return for a reduction of the interest rate on the paper (not a bad deal for CVC since that unsecured paper, at origination and even more so a few months after, was completely underwater). Then, a few weeks later, another \$3.2mm was tacked on to the original PVKG Lender Note to pay down more of the AP balance that had begun to balloon again.

Around this same time ConvergeOne began to have discussions with both pre-existing 1L and 2L lenders regarding possible transactions structures that would (maybe) provide the liquidity needed to get through this rough patch (since it had become obvious, if it wasn't before, that additional “accommodation” would be needed with ConvergeOne projecting the need now for \$160mm to address AP and interest costs in the months to come).

In short, more serious and substantial structures needed to be considered – with capital from whoever had the desire to double down on a capital structure that was becoming more and more rickety and was trading ever downwards.



And, of course, it seemed like the sponsor was an obvious potential provider of a more substantial financing based on the 1L foothold that the sponsor had established, the fact that the sponsor's equity would be worthless *unless* there was new capital deployed into the structure that allowed time for a turnaround to take hold, and the fact that even *if* the sponsor's equity was going to be worthless *if* they had a large 1L position they'd be more in control of the eventual in-court restructuring and the kind of consideration they'd receive (maybe a large chunk of post-reorg equity that'd allow them to continue to roll the dice on ConvergeOne but with a much delevered structure).

Which is all a circuitous way of arriving at the inevitable: that after various proposals were made and fleshed out ConvergeOne decided on a transaction with PVKG Lender (CVC) partially because it provided the "lowest execution risk" and "quickest time to closing" (one would hope so, since it wouldn't be a fantastic look for a PortCo's sponsor to have anything other than the lowest execution risk or the most flexible execution time!).

Now, look, one can make some glib and snarky comments about how if the sponsor is in the arena proposing transactions to its own PortCo then no matter who else is in the arena, the fight is fixed from the start.

But that shouldn't cloud the fact that it's *true* in these situations that the sponsor *does* have the "lowest execution risk" or at least one that would match anyone else, *would* be able to provide the "quickest time to closing" or at least one that would match anyone else, and because of its incentive structure (read: desperation to salvage some recovery from ConvergeOne) *can* offer better or more flexible terms than others that don't operate under the same incentive structure (read: if the new-money facilitates a turnaround, CVC "wins" on both their pre-existing debt *and* equity position).

Anyway, to the terms: PVKG Lender (again, CVC) rolled up their prior financing (\$33.2mm at origination) and then extended \$160mm face value (with a nice 7.0% OID, so \$148.8mm of new-money) across three distributions: \$32mm on Jul 06, \$84mm on Jul 13, and \$44mm on Aug 30. Also, uh, this new concoction (that, to crib the post-filing nomenclature we'll call the PVKG Lender Amended Notes) PIKed at 21.75% (no cash pay component) and included a make whole.

So, I mean, two things can be true at once. First, the terms on offer from *anyone* would have been pretty onerous in this situation – the 1Ls were underwater at the time and this meant that if you were lending \$100 face value then there had to be a significant OID component so that if ConvergeOne filed one would have more allowable claims than the cash outlaid at time zero. In other words, everyone knew 1L recoveries in a potential filing would probably be (much) less than 100, so to deaden the hit or, maybe, earn a positive return despite the lack of a par recovery one needed to ensure the amount of allowable claims was in excess of the amount of actual cash lent at time zero.

Further, and more importantly, the rate from *anyone* would need to be significant, and based on the cash burn (the impetus for the financing to begin with) it would make most sense for it to be PIK to provide as much time as possible for ConvergeOne to dig itself out of the cash drain it found itself in.

Second, the nature of the PVKG Lender Amended Notes meant that, of course, the level of claims would balloon quickly and begin to become a larger and larger percentage of overall 1L claims. So, one way to frame this is that PVKG Lender extended a lifeline that, if ConvergeOne had a miraculous turnaround, would be hugely profitable due to the OID, the level of PIK, etc.



But, on the other hand, even if a turnaround never materialized the amount of new money lent would extend ConvergeOne's liquidity runway enough to still balloon out the level of claims held by PVKG (relative to the amount of cash extended at time zero) and thus allow for more control over the 1L claim pool in a future filing (read: have even more leverage in negotiations pre- or post- filing vis-à-vis the future of ConvergeOne).

Now, I know this all looks like a bit of a Trojan Horse situation – that the sole intent here was for CVC to take a position in the 1Ls (perhaps even surreptitiously vis-à-vis the initial \$30mm of unsecured paper that was later converted into a 1L position) and have it balloon out so that whenever the inevitable filing occurred CVC would have a sizeable chunk of take-back debt or post-reorg equity or a mix of the two or whatever.

And the fact that the level of PIK is so high – which, of course, only pushes CVC's equity further out of the money as it accrues – combined with the make whole does lend credence to this. Not to mention that based on what occurred in the months after the original \$30mm was lent (on an unsecured basis) it sure looks like PVKG Lender had a gameplan in mind (read: the intent was never for that original \$30mm to remain unsecured – it was just the first step in a larger plot to build up a large 1L position at the smallest cost possible with the least amount of pushback).

But everyone involved was playing the same game here since the 1Ls were so underwater at the time. It's not that the other offers on the table for ConvergeOne didn't have similar terms – quite the opposite, since based on how underwater the 1Ls were the terms *had to be* analogous to what PVKG offered and what ConvergeOne accepted.

Instead, the best way to think about this is simply that the sponsor was structurally in a better position to play the game than others and thus could offer better (all things relative) terms. In other words, no one had the appetite to lend \$[x]mm in cash without the possibility that their amount of claims, down the road, would be well in excess of the amount of cash outlaid (whether through PIK, through OID, through a make whole, or some combination).

A I can't remember what it was trading at but it was a significant discount to par. So they put 100-cent dollars in against the cap structure that was trading at a significant discount.

Anyway, one can imagine that once conflict over the pre-pack broke out into the open, the actions of CVC, through PVKG Lender, were front and center. Because, by that time, with the \$11mm of OID, the make whole worth ~\$140mm, the ~\$33mm of rolled-up paper that was unsecured at issuance, and the accrual of PIK at such a high level the amount of first lien claims to the benefit of the sponsor were around ~\$360mm which perhaps didn't make them essential in some strict sense to deal with in order to reach an RSA and do a pre-pack *but* they were the largest single impaired claim, so...

Note: Remember there was around \$182mm of cash lent by PVKG to ConvergeOne – so, some non-trivial expansion of claims here. But, again, this was by design and while the optics aren't fantastic it'd be a bit odd for anyone (even a sponsor!) to inject significant cash into a capstack in such distress without the expectation that they'll have a (much) higher level of claims than the amount lent.



So let's just pause here. Why does a sponsor provide rescue capital for a company on the brink of failure? All right, this is standard playbook. It's a win-win, right? If the company turns around, well then it's a win. And if performance deteriorates, well then it's like a re-buy in Texas Hold-em, right? You put your capital in at a very high point in the stack, you're buying into the fulcrum security. So you're -- that summer of financing in July of 2023 was very strategic for repositioning itself ahead of the ultimate Chapter 11, all right? So they're thinking about the gameboard.

So flash-forward six months, so now we're in January. This is the kickoff for the negotiations. And, I mean, look, CVC has significant leverage at this point because it controls the company. What does control mean? It means no deal can get done with the ad-hoc group unless the company's on board, right? It takes two to get this dance going, and so before the Special Committee was appointed -- you heard this from Edmonston -- the CVC-controlled board -- and I'll use Edmonston's term -- sets the stage, all right?

They set the stage. The Debtor, controlled by CVC, makes the first proposal and it's a hundred million dollar rights offering backstopped by the ad-hoc group and CVC, and they get a fully loaded allowed claim. See, that's what this was about; right? **Using the claim quantum as currency.**

The CVC-controlled board makes the first move. A week later, January 16th -- you can see this in Exhibit No. 12 and you heard it from Edmonston -- is when the Special Committee's formed. The Special Committee's flawed, okay? You have the CEO on the Special Committee. That's the same CEO that's -- that CVC picked. The CVC is interested by virtue of the myth.

But by the time the special committee's appointed, the Debtor's already put in motion high claim quantum and CVC to participate. It's doing -- it's doing CVC's work. So it doesn't ask for a market test, doesn't say, "Let's do pro rata." That's interesting.



Look, this is one of those things that on the surface appears much more “interesting” than it is because it’s hard for something to be interesting that isn’t atypical (read: it’s not atypical that the special committee might not form before any negotiations have started or that the special committee might have some members that overlap with the company’s board or that the company’s advisors might turn around and begin to advise the special committee).

Regardless of the optics – that are always tough in these situations – what is true is that while CVC did have the largest impaired claim, a cool ~\$360mm, that is not what was allowed for Plan purposes. Instead, a settlement was reached in which the allowed claims for Plan purposes were watered down to a “mere” \$213mm which the special committee thought was “fair and reasonable”.

This amount – the result of negotiations with the bulk of other 1L claims, the so-called 1L AHG who were separately advised by PJT and Gibson Dunn – more or less allowed PVKG to have claims in-line with their new-money contribution plus the PIK and amortized OID from the time the new-money was lent. However, it didn’t include the make whole or unamortized OID which most importantly meant that the litigation threat from PVKG over the make whole was quashed and, for other first lien holders, their share of the 1L pie wasn’t as diluted as it otherwise would have been.

Note: For PVKG itself, the settlement also made sure that lien avoidance actions vis-à-vis the \$33mm of unsecured paper that was rolled-up into a first lien position weren’t taken and that they still secured “bang for their buck” in terms of the amount of allowed claims still being well in excess of the actual cash lent to ConvergeOne as it was in its death throws (allegedly).

Anyway, part of the reason I’ve saved this back-and-froth – which I’ve excised a lot of details from, and which contains some inside baseball – for the back pages of this missive is that this all kind of doesn’t matter. I mean, it looks like it matters and insofar as one believes that millions being spent litigating an issue means that the issue per se matters then, *sure*, this matters.

However, what this whole situation boils down to is that ConvergeOne needed liquidity but because of how underwater the 1Ls were no one was jumping to offer it on overly favorable terms (to put it mildly). Thus, the most natural (invested) party stepped into the void (the sponsor).

This was, to be sure, a bit of downside protection to their equity position which was, to put it charitably, out of the money at the time and seemed destined to continue to be so. And we can all acknowledge that the terms on offer from the sponsor were designed to help balloon out the amount of claims so that, should ConvergeOne file in the future, the amount of allowed claims would be well in excess of the amount of cash lent.

But lifelines come at a cost and there’s no evidence that better lifelines were on offer. Further, when it comes to the kerfuffle in-court over PVKG’s treatment, we see a settlement reached that more or less can only be deemed advantageous for the sponsor if one operates under the assumption that they should have had no allowable claims (which is a ridiculous notion).

It’s true that some could argue the amount of allowable claims is less important than the fact that CVC – alongside the 1L AHG advised by PJT and Gibson Dunn – had these Exclusive Investment Opportunities. (In other words, that the amount of claims the sponsor *could* assert ensured that these opportunities would be available to them even if the total allowable claims were *later* lowered.)



But, again, much like how PVKG Lender's terms might have seemed onerous, those were *still* the best of the viable options before the company – and, as I think the record shows, the most viable terms on offer pre- *and* post-filing were from the Majority Lenders despite protestations to the contrary from those that didn't have the size to offer a true feasible, confirmable alternative.

Whatever the optics, as Judge Lopez alluded to, there's no getting around that at confirmation we had a situation in which there was no confirmable alternative Plan that had been tabled or seemed like it could be tabled, there was 100% support from the 2Ls, the unsecureds were getting full recoveries, and the Plan would allow ConvergeOne to spend a short amount of time in-court before emerging with a much delevered cap structure (once again, thanks to the large equity rights offering).

Those that stood athwart this were a small group – the Minority Lenders – that had never offered a viable, confirmable alternative but hoped, on a wish and a prayer, that they'd be cut in on the same terms as others to offer commitments they could never have offered or shouldered on their own.

4 Based upon the Record before me, there is no deal
5 to reduce of a billion dollars of debt without the 1L Ad Hoc
6 Group. The 2L's are on board with 100 percent of this Plan.
7 Onboard 100 percent. And they aren't even receiving a full
8 or even 50 percent recovery.

9 And unsecured creditors are unimpaired. The
10 overwhelming support for this Plan is remarkable. There's
11 also no formal requirement for the objecting parties to have
12 been included in the negotiations on the Plan or the related
13 backstop agreement.

14 There's nothing in the docs that says that they
15 had to be involved. Right? The Plan also avoids
16 potentially costly litigation over a make whole involving
17 the private equity sponsor.

18 This District knows a lot about make wholes and
19 consent, if possible, makes a lot of sense. Protracted
20 litigation is expensive and it's time consuming. It appears
21 the Debtors analyzed defenses to the make whole, but
22 settling in connection with a pre-packaged Plan with the
23 majority of holders of first lien debt and second lien debt
24 and paying unsecured creditors in full confirms good faith
25 viewed in light of the totality of the circumstances



1 surrounding the establishment of the Plan, keeping in mind
2 the purpose of the Code.

3 Let me turn to Section 1123(a) (4) next. That
4 requires a Plan to provide the same level of treatment to
5 the same -- provide the same treatment for each claim within
6 a particular class.

7 There's a statutory exception to this requirement
8 where a holder of a claim agrees to less favorable
9 treatment. Section 1123(a) (4) extends only to the treatment
10 of the members of the claims, the class of claims and not to
11 the Plan's overall treatment of creditors holding such
12 claims.

13 Creditors should not confuse similar treatment of
14 claims with equal treatment of claimants. Parties can
15 receive the same distribution in a class and then a subset
16 of those creditors can receive other forms of compensation
17 for matters unrelated to their claim assuming there's a
18 justification for it.

19 Remember, the Court considers totality of the
20 circumstances in good faith. There is a way to stop it.

Thus, we'll end here with the final remarks from Judge Lopez in his oral ruling, not mincing words in what he no doubt *did* believe was not a close call. To be fair, it's not clear from Judge Hanen's opinion that he thought it was a close call either. But one would have thought that perhaps the fact that this whole kerfuffle originated with Cerberus' threat of "war" – not because of some sense of moral outrage over the fact

the structure wasn't pro rata but rather because *they* weren't included – would signal to Hanen that this whole issue was rooted more in vindictiveness than virtue. This was always at heart a cynical challenge, but a tip of the cap is due: Cerberus made good on their threat.

6 I'm comfortable with the Record before me. In the
7 end, the best of the best lawyers argued this case. Cannot
8 think of a better argument, briefing evidence. It's very
9 complicated transaction, but not a close call.

10 We have a Plan approved by all classes of eligible
11 voters. No cram down. The financing is reasonable and it's
12 in the best interest of the estate. Even under close
13 examination from this Court, no undue insider influence and
14 the price to pay for certainty and funding was a key
15 component.

October 1, 2025

Everything's Bigger in Texas, but Not the Backstop Fees: *ConvergeOne* and Section 1123(a)(4)

Authors: Annmarie Gruick

Executive Summary

In what may be an interesting new trend, yet another senior court within the Fifth Circuit Court of Appeals has issued an opinion with the potential for serious disruption to previously accepted market practice.

On September 25, 2025, the United States District Court for the Southern District of Texas issued an appellate ruling in *In re ConvergeOne Holdings, Inc.*, Case No. 24-02001 (S.D. Tex. Sept. 25, 2025):

- determining that backstop fees available only to a majority lender group violate section 1123(a)(4)'s “same treatment” requirement where all members of the applicable class do not receive the same backstop opportunity and where no “market test” for such financing has occurred;
- without precisely defining an acceptable “market test,” the District Court suggested somewhat confusingly that the “open market purchase” analysis undertaken by the Fifth Circuit in *In re Serta Simmons Bedding, L.L.C.*¹ would be relevant guidance; and
- in its analysis, the *ConvergeOne* court was clearly troubled by what it viewed as minority lenders being unjustly excluded from plan negotiations and left only with the dubious remedy of proposing an alternative plan where “the train had already left the station.”²

ConvergeOne has serious implications for restructuring participants. As our readership knows, sourcing new capital, and the terms of that capital, is fundamental to practically every restructuring. And, at least until *ConvergeOne*, the manner in which such new capital was provided had generally been viewed as distinct from the rights any one creditor might hold for purposes of section 1123(a)(4).³

ConvergeOne changes this analysis in a real way—at least if this particular opinion obtains widespread acceptance. Under *ConvergeOne*, majority lenders cannot simply rely on that same majority position as the basis on which to negotiate the terms by which they commit new capital. Nor does *ConvergeOne*'s reference to a “market test” provide clear guidance as to what may or not be an acceptable process beyond its reference to the more generalized analysis of an “open market

purchase” undertaken by *Serta*. Conversely, minority lenders may be incentivized to make facially implausible if not entirely unrealistic proposals in order to build a record of “unfairness” for litigation to come.

Background

ConvergeOne's facts are unremarkable. Pre-bankruptcy, the *ConvergeOne* debtors entered into a restructuring support agreement, or RSA, with holders of 81% of nearly \$1.6 billion of debt. The transaction contemplated by that RSA included a new money investment backstopped by that “Majority Lender” group. That backstop commitment included a fee in the form of “a 10% premium on [the Majority Lender] claims through certain discounted equity purchases”⁴ This backstop commitment apparently did not result from a separate “market test” for that financing.⁵

A “Minority Lender” group was largely excluded from RSA negotiations. That Minority Lender group did provide alternative proposals, the last of which was rejected as “it lacked enough support from stakeholders and, as proffered, more than likely would not have been confirmed.”⁶

Following the *ConvergeOne* debtors' bankruptcy filing, the Minority Lender group objected to plan confirmation on the basis that “the exclusive opportunity to backstop the equity rights offering violated Section 1123(a)(4).”⁷ This argument was rejected by the bankruptcy court, the plan was confirmed, and the Minority Lenders appealed.

The District Court's Opinion

The District Court ruled that the *ConvergeOne* backstop violated section 1123(a)(4).

Reasoning by analogy to the Supreme Court's analysis of “new value” and section 1129(b) in *Bank of America v. 203 North LaSalle*,⁸ the District Court determined the absence of a “market check,” coupled with the Minority Lenders' apparent exclusion from deal negotiations, was fatal to the backstop fee at issue.⁹ In the District Court's view, this fact pattern distinguished the operative fee from a case such as *In re Peabody Energy Corp.*,¹⁰ where a backstop fee was upheld because—in the *ConvergeOne* court's assessment—“the debtor had considered several alternative ways to raise capital,”¹¹ and “every creditor had the opportunity to participate[.]”¹²

Interestingly, and as noted above, the *ConvergeOne* court further cited the Fifth Circuit's *Serta* opinion as further demanding a “market test” of the fee at issue given the differential treatment between the lender groups: “[g]uided by *Serta*, this Court must first look ‘below the surface to determine whether distributions were in fact equal in value,’”¹³ given the failure to “submit the deal to an ‘open market’ as described in *Serta*.”¹⁴

ConvergeOne unfortunately did not define what might be a sufficient “market test.” While the

opinion observed, perhaps unhelpfully, that *Serta's* “open market” would satisfy its analysis (and more on this below), the Court also cited *In re Castleton Plaza, LP*¹⁵ for its “most persuasive” conception of an acceptable test.

That guidance is still not entirely clear. *Castleton Plaza* involved the relatively narrow question as to whether a new value plan proposed by an existing equity investor required competitive bidding —i.e., was a single asset debtor required to go sell itself in light of a new value plan?¹⁶ *Castleton Plaza* in no way addressed the far more challenging question as to how the disposition of an “investment right” triggered a market test where a new value plan was not involved, let alone how such a “market check” would occur.¹⁷

In any event, *ConvergeOne* is at least straightforward in its ruling that a chapter 11 plan violates section 1123(a)(4) when it “offer[s] a valuable and exclusive opportunity to backstop an equity rights offering for a portion of the class of creditors but not the remaining creditors.”¹⁸

Takeaways

As an analytical matter, *ConvergeOne's* ruling is not complicated. *203 North LaSalle* and the “new value” line of cases can, at least arguably, be read to treat an investment right as property of the estate as opposed to that investment right being severable from an underlying claim.¹⁹

But this analysis is not always easy to follow. The “new value” cases cited by *ConvergeOne* in this regard do not actually address the sort of horizontal discrimination at issue in that plan; those cases instead addressed questions of absolute priority. Absolute priority and horizontal discrimination are of course very different things. Notably, horizontal discrimination is itself qualified by the Bankruptcy Code's allowance for at least certain types of discriminatory treatment (as opposed to “unfair” discrimination).²⁰

ConvergeOne's ruling, on an equitable basis, is easier to track. Presumably that court had been convinced that it was simply unfair for a lender group, however large, to exercise an investment right where another similarly situated group of lenders cannot—even if the minority lender group lacked the ability to consummate the chapter 11 plan that it had nominally proposed. And on this basis, *ConvergeOne's* interpretation of section 1123(a)(4) might be rationalized: a majority lender group reserving backstop economics for itself is just inequitable, *res ipsa*.²¹ Again, this is not so much a legal argument as it is an equitable one, but it is also hard not to deny the appeal (if our readers will pardon the pun).

What is more challenging, however, is *ConvergeOne's* much more nebulous references to a “market test,” and what might be a satisfactory “market test” in this context. *ConvergeOne* does not provide specific guidance in this regard.²² *ConvergeOne's* reference to *Serta* is also less

helpful, as the “open market” endorsed by *Serta*, and cited approvingly by *ConvergeOne*, refers to, among other things, the open market repurchase operations undertaken by the Federal Reserve Bank as an acceptable “open market.” As we have previously observed, the Federal Reserve's systematic purchase and sale of billions if not trillions of dollars in Treasuries is a difficult and perhaps less-than-useful comparison to relatively small tranches of illiquid corporate debt.²³ Put differently, a “market check” for an executable exit financing package and the Federal Reserve's “open market repurchase” have very little in common with one another apart from the “market.”

Similarly, it may be challenging for plan proponents to assess the reasonableness of a financing proposal received from third parties, individual creditors, or a minority lender group that has no practical ability to actually consummate a proposal. At the risk of understatement, third parties, individual creditors, and minority lender groups typically cannot provide the support required to confirm a plan over the objection of a now-hostile impaired class. Yet *ConvergeOne* seems to open the floodgates to such an “entirely fair” but perhaps entirely unrealistic approach to a “market check.”

The Ropes & Gray team has already developed structures and processes to address *ConvergeOne*'s potentially significant implications. We encourage you to contact us to address these matters more fully.

-
1. 125 F.4th 555 (5th Cir. 2025); cf. *Id.* at 579 (“As numerous sources confirm, an “open market” is a specific market that is generally open to participation by various buyers and sellers.”), with *ConvergeOne*, slip op. at 19–20 (“There was certainly no attempt to . . . submit the deal to an ‘open market’ as described in *Serta*, 125 F.4th at 579.”).
 2. *ConvergeOne*, slip op. at 16.
 3. See e.g., *Ad Hoc Comm. of Non-Consenting Creditors v. Peabody Energy Corp. (In re Peabody Energy Corp.)*, 933 F.3d 918, 925 (8th Cir. 2019) (“[T]he opportunity to participate in the Private Placement was not ‘treatment for’ the participating creditors’ claims. It was consideration for valuable new commitments made by the participating creditors.” (internal citation omitted)).
 4. *ConvergeOne*, slip op. at 3.
 5. *Id.*
 6. *Id.* at 4.
 7. *Id.*
 8. 526 U.S. 434 (1999).
 9. *ConvergeOne*, slip op. at 14–18.
 10. 933 F.3d 918 (8th Cir. 2019).
 11. *ConvergeOne*, slip op. at 11–12 (construing *Peabody*).
 12. *Id.* at 14 (construing *Peabody*).
 13. *ConvergeOne*, slip op. at 19 (internal quotation marks omitted).
 14. *Id.* at 18.
 15. 707 F.3d 821 (7th Cir. 2013).
 16. *Id.* at 822–23.
 17. *Castleton Plaza* directed the relevant parties to undertake an auction: “203 North LaSalle requires an auction before [the insider and plan proponent] could receive equity on account of a new investment.” 707 F.3d at 822. A third-party financing, by comparison, does not quite lend itself to the same straightforward approach.
 18. *ConvergeOne*, slip op. at 21.
 19. See e.g., 203 North LaSalle, 526 U.S. 434, 455 (1999) (“[T]he opportunity is property of some value”); see also e.g., *Castleton Plaza*, 707 F.3d at 821 (“The process protects creditors against plans that would give competing claimants too much for their new investments and thus dilute the creditors’ interests.”).
 20. See 11 U.S.C. § 1129(b).
 21. See *ConvergeOne*, slip op. at 13 (“An exclusive opportunity resulting in a significant disparity in value, without consideration for the investment opportunity itself, qualifies as treatment for a claim under § 1123(a)(4).”).
 22. *Id.* at 18–19 (analyzing facts under *Serta* and *Castleton Plaza*).
 23. See our analysis of the *Serta* opinion, *Law Review, Dictionaries, and Uptiers: The Fifth Circuit Weighs In on Serta* (Jan. 6, 2025), <https://www.ropesgray.com/en/insights/alerts/2025/01/law-reviews-dictionaries-and-uptiers-the-fifth-circuit-weighs-in-on-serta>.

**IN THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF TEXAS
HOUSTON DIVISION**

In re:	)	
	)	Civil Action No. 4:24-CV-02001
CONVERGEONE HOLDINGS, INC., <i>et al.</i> , ¹	)	
	)	Bankruptcy Case No. 24-90194 (CML)
Debtors.	)	
	)	
Ad Hoc Group of Excluded Lenders,	)	
	)	
<i>Appellant.</i>	)	
	)	
v.	)	
	)	
ConvergeOne Holdings, Inc., <i>et al.</i> ,	)	
	)	
<i>Appellees.</i>	)	

**APPELLEE DEBTORS' NOTICE OF FILING TRANSCRIPT OF BANKRUPTCY
COURT'S ORAL RULING CONFIRMING THE DEBTORS' PLAN**

¹ The Debtors in the chapter 11 cases, together with the last four digits of each Debtor's federal tax identification number, are as follows: AAA Network Solutions, Inc. (7602); ConvergeOne Dedicated Services, LLC (3323); ConvergeOne Government Solutions, LLC (7538); ConvergeOne Holdings, Inc. (9427); ConvergeOne Managed Services, LLC (6277); ConvergeOne Systems Integration, Inc. (9098); ConvergeOne Technology Utilities, Inc. (6466); ConvergeOne Texas, LLC (5063); ConvergeOne Unified Technology Solutions, Inc. (2412); ConvergeOne, Inc. (3228); Integration Partners Corporation (7289); NetSource Communications Inc. (6228); NuAge Experts LLC (8150); Providea Conferencing, LLC (7448); PVKG Intermediate Holdings Inc. (4875); Silent IT, LLC (7730); and WrightCore, Inc. (3654). The Debtors' mailing address is 10900 Nesbitt Avenue South, Bloomington, Minnesota 55437.

The above-captioned debtors and debtors in possession (the “**Debtors**”) give notice of filing the transcript of the hearing held on May 23, 2024 on the bankruptcy court’s *Oral Ruling Confirmation of Plan*, attached as **Exhibit 1**. The Debtors received this transcript several hours after they filed their *Response in Opposition to the Emergency Motion for a Stay Pending Appeal, an Interim Stay, and Certification to the Court of Appeals* (ECF No. 11). The Debtors submit the bankruptcy court’s oral ruling for the Court’s consideration in addressing the *Emergency Motion for a Stay Pending Appeal, an Interim Stay, and Certification to the Court of Appeals* (ECF No. 3) filed by the Minority Ad Hoc Group on May 28, 2024.

Dated: May 31, 2024
Houston, Texas

WHITE & CASE LLP

/s/ Charles R. Koster

Charles R. Koster (Texas Bar No. 24128278)

WHITE & CASE LLP

609 Main Street, Suite 2900

Houston, Texas 77002

Telephone: (713) 496-9700

Facsimile: (713) 496-9701

Email: charles.koster@whitecase.com

**Attorney-In-Charge for the Debtors and
Debtors in Possession**

Of Counsel:

Bojan Guzina (*pro hac vice* pending)
Andrew F. O'Neill (*pro hac vice* pending)
Erin R. Rosenberg (*pro hac vice* pending)
Blair M. Warner (*pro hac vice* pending)
Adam T. Swingle (*pro hac vice* pending)

WHITE & CASE LLP

111 South Wacker Drive, Suite 5100

Chicago, IL 60606

Telephone: (312) 881-5400

Email: bojan.guzina@whitecase.com

aoneill@whitecase.com

erin.rosenberg@whitecase.com

blair.warner@whitecase.com

adam.swingle@whitecase.com

*Counsel to the Debtors and
Debtors in Possession*

Certificate of Service

I certify that on May 31, 2024, I caused a copy of the foregoing document to be served by the Electronic Case Filing System for the United States District Court for the Southern District of Texas.

/s/ Charles R. Koster

Charles R. Koster

Exhibit 1

1 IN THE UNITED STATES BANKRUPTCY COURT
2 FOR THE SOUTHERN DISTRICT OF TEXAS
3 HOUSTON DIVISION

4 IN RE: § CASE NO. 24-90194-11
5 CONVERGEONE HOLDINGS, INC., § HOUSTON, TEXAS
6 DEBTOR. § THURSDAY,
§ MAY 23, 2024
§ 6:01 P.M. TO 6:40 P.M.

7 **ORAL RULING CONFIRMATION OF PLAN (VIA ZOOM)**

8 BEFORE THE HONORABLE CHRISTOPHER M. LOPEZ
9 UNITED STATES BANKRUPTCY JUDGE

10

11

12 APPEARANCES: PLEASE SEE ELECTRONIC APPEARANCES

13

14 (RECORDED VIA COURTSPEAK)

15

16

17

18

19

20 TRANSCRIPTION SERVICE BY:

21 JUDICIAL TRANSCRIBERS OF TEXAS, LLC
22 935 Eldridge Road, #144
23 Sugar Land, TX 77478
281-277-5325
www.judicialtranscribers.com

24

25 Proceedings recorded by electronic sound recording;
transcript produced by transcription service.

1 HOUSTON, TEXAS; THURSDAY, MAY 23, 2024; 6:01 P.M.

2 THE COURT: Okay, good afternoon everyone. This
3 is Judge Lopez. We'll get started in just one minute.

4 (Pause in the proceedings.)

5 THE COURT: Okay, this is Judge Lopez. I'm going
6 to call the ConvergeOne case here in connection with a
7 ruling in connection Plan Confirmation.

8 I want to just begin by thanking all of the
9 parties for the incredible presentation. It really took a
10 lot of time and thought well into the night and made sure I
11 reviewed everything. And wanted to organize my thoughts in
12 a way that hopefully articulates the Court's position in the
13 best way possible.

14 So I'm just going to read into the Record the
15 decision. And I'll begin.

16 The Court conducted a hearing on the Debtor's
17 Joint Chapter 11 Plan of reorganization. This is a core
18 proceeding under 28 USC 157(b) (2) (L). The Court has
19 jurisdiction at 28 USC 1334.

20 I know the Debtor started this case on a
21 pre-packaged basis. The proposed transaction enjoys broad
22 support under an RSA with holders of well over 80 percent of
23 the Debtor's first lien debt and 100 percent in voting of
24 the Debtors second lien debt through a Plan of
25 Reorganization.

1 The Plan provides a few things. I'll outline
2 them. They're far more specific, but here's kind of the
3 general outline.

4 The company is going to conduct a hydrogen
5 \$59 million rights offering that's fully backstopped by
6 certain members of the First Lien Ad Hoc Group and the PVKG
7 Lender receive about an \$85.75 million direct investment
8 commitment from those parties for new equity interest in the
9 Reorganized Debtors.

10 As part of those transactions, over 90 -- about
11 96 percent of the new equity interest is going to be
12 distributed to hold as a first lien claims and the backstop
13 parties, as part of the rights offering, 65 percent of that
14 96 percent of that new equity interest is going to be
15 offered to all holders of first lien claims on a pro-rata
16 basis subject to a 10 percent put option premium owed to the
17 backstop parties and subject to dilution by the management
18 incentive Plan.

19 And as part of a direct investment commitment, the
20 backstop parties have committed to purchase 35 percent of
21 the 96 percent of new equity interest subject to a
22 10 percent put option premium owed to the backstop parties.

23 The proceeds of the rights offering in direct
24 investment committee, are going to be used to repay a term
25 DIP facility and provide the Reorganized Debtors with

1 working capital.

2 So what do holders of first lien claims get?
3 Those under the Plan, first lien claims are going to be
4 allowed -- and a little over about 1.1 billion or some KO
5 note claims that are going to be approved in a little over
6 78 million and PVKG note claim is going to be allowed at
7 about \$213 million.

8 Holders of first lien claims can elect to take --
9 to receive take back term loans in a principal amount equal
10 to their first lien claims multiplied by a specific percent
11 or they can take take-back term loans in a principal amount
12 equal to their first lien claims multiplied by a lower
13 percent and they get the right to purchase through the
14 rights offering some new equity interest.

15 I note that second lien claims are -- have agreed
16 to receive an allowed claim of 286.5 million and they'll
17 receive pro-rata shares and a second lien recovery, which is
18 a percent essentially of the new equity interest in the
19 Reorganized Debtors.

20 General unsecured creditors are unimpaired. All
21 existing equity interest will be cancelled and no
22 distributions will be made on account of that. I noted a
23 little earlier under a global settlement of all disputes
24 related to the allowance of claims, a particular note held
25 by PVKG Lender is going to be allowed in the amount of

1 \$213 million. Separately. And at the same time there are
2 pre-petition ABL secured parties delivered a commitment
3 letter to agree to continue providing access to the Debtors
4 \$250 million ABL facility during these Chapter 11 cases.

5 So the Plan, if approved, contemplates the
6 equitization, cancellation of over a billion dollars of
7 funded debt and any un-impairment of general unsecured
8 claims. Make note there was two classes of claims that were
9 eligible to vote on the Plan.

10 Class 3 consists of first lien claims. According
11 to the evidence in the record, the voting tabulation, it was
12 approved by about 88.8 percent in amount and about
13 80.98 percent in number of holders. It was rejected by 11.2
14 percent of the claim holders and about 19 percent in number.

15 Class 3 includes a vote from PVKG Lender, who
16 arguably may have been considered an insider for purposes of
17 voting. But even if you take them out, the Plan still --
18 class still has over 86 percent in amount and over
19 80 percent in number.

20 Class 4, which was the second lien claims also
21 voted. That consisted of the second lien claims. It was
22 approved by 100 percent of the voting creditors.

23 Prior to the objection deadline, the Debtors
24 received some comments from several parties-in-interest,
25 including the United States Trustee. The Debtors resolved

1 all these commitments through technical modifications and
2 agreed language in a proposed confirmation order.

3 There's only one objection to the confirmation of
4 the Plan. They call themselves the excluded lenders'
5 objection.

6 Argue a few things. They argue that the Plan
7 should not be confirmed because the Plan does not satisfy
8 Section 1129(a)(3) of the Code which says that the Plan must
9 be proposed in good faith and not by any means forbidden by
10 law.

11 It's subject to review under the heightened
12 Delaware Entire Fairness Standard and does not pass muster
13 under that standard. It doesn't provide the same treatment
14 to holders of first lien claims in Class 3, the 1L claims,
15 as some class members are going to receive, they argue,
16 consideration on account of their new money commitments that
17 other members of the Class 3 have not been provided.

18 They think it fails Section 1123(a)(4) because
19 those parties would be receiving additional consideration on
20 account of their claim. They also, importantly, big point
21 they emphasize is that the Plan runs afoul of the Supreme
22 Court ruling in *Bank of America National Trust and Savings*
23 *Association versus 203 North LaSalle Street Partnership*,
24 526 US 434.

25 They argue that the Supreme Court held in that

1 case that Chapter 11 Plans providing exclusive investment
2 opportunity to existing stakeholders are, in the absence of
3 a legitimate market test, unconfirmable as a market of law.

4 Here they say there was no effort to market test
5 the exit financing on the backstop deal. Note that the Plan
6 is supported by a large number of parties. And that's
7 obviously good for the Debtors.

8 There's also an RSA that was entered into
9 pre-petition. That Debtors negotiating with constituents of
10 creditors pre-petition and entering into RSAs whether either
11 before or during a case I think is a good thing. You know,
12 it locks in commitments from parties as those who see have
13 complex cases.

14 Many times creditors trade in and out of
15 positions. And so you don't have a deal until you have one.
16 And so sometimes an RSA can be useful. But that doesn't
17 guarantee confirmation.

18 And neither does the fact that everybody is
19 standing on one side and the creditor is standing alone on
20 the other side. The Debtors must still satisfy the
21 confirmation standards under the Bankruptcy Code by a
22 preponderance of the evidence.

23 In this case, the Court conducted a multi-day
24 hearing on Plan confirmation. After carefully considering
25 the Record and taking the matter under advisement, I'm going

1 to overrule the objection and I'm going to confirm the Plan.

2 Interrupting the Bankruptcy Code begins with
3 analyzing the text. *Whitlock versus Lowe*, 945 F3d 943, 947,
4 Fifth Circuit 2019. It says, "In matters of statutory
5 interpretation, text is always the alpha."

6 *Bedrock LTD LLC v. United States*, 541 176 pinpoint
7 cite 183, 2004. "The preeminent cannon of statutory
8 interpretation requires the Court to presume that the
9 Legislature says in a statute what it means and means in a
10 statute what it says there." That's what the Supreme Court
11 said.

12 I'm going to start with Section 1129(a)(3).
13 "Requires a Plan to have been proposed in good faith and not
14 by any means forbidden by law." The text is clear. The
15 focus is on the proposal of the Plan. Rephrases "in good
16 faith and not by any mean forbidden by law" modify the verb
17 proposed.

18 Proposed is the passive form of the verb propose.
19 I agree with Collier and Bankruptcy on this point. This
20 textural analysis supports the focus on the process of
21 proposing a Plan. And since the mid-1980s the Fifth Circuit
22 adopted its standard for assessing good faith and it hasn't
23 changed in over 40 years. And it supports the textual
24 analysis.

25 In the Fifth Circuit, the requirement of good

1 faith must be viewed in light of the totality of the
2 circumstances surrounding proposal of a Chapter 11 Plan,
3 keeping in mind the purpose of Chapter 11 and the Bankruptcy
4 Code is to give Debtors a reasonable opportunity to make a
5 fresh start.

6 So *In re: Sun Country Development, Inc.*, 764 F2d
7 406, 408; Fifth Circuit 1985. I'd also note that concept is
8 also that concept is also in *In re: Jasik*, 727 F2d, 1379, a
9 Fifth Circuit 1984 case.

10 That means process with purpose in mind. In the
11 Sun Country Development case, the Fifth Circuit said, "Where
12 the Plan is proposed with a legitimate and honest purpose to
13 reorganize and has a reasonable hope of success, the good
14 faith requirement of 1129(a)(3) is satisfied."

15 It also said, "The Debtor may satisfy the good
16 faith requirement even though the Plan may not be the one
17 the creditors would themselves design and indeed may not be
18 confirmable." That came out of *In re: Brisco Entertainment*
19 *LTD*, 994 F2d 1160, pincite 1167; a Fifth Circuit 1993 case.

20 You can see the same standard articulated in 1997
21 in the *TH New Orleans Limited Partnership* decision.
22 116 F3d, 790, Fifth Circuit 1997. In that case the Court
23 says, "Plans that may not be the ones which creditors would
24 themselves design and indeed may not be confirmable, they
25 may still be in good faith."

1 The totality of circumstance is continued into the
2 well known 2013 Fifth Circuit decision, *The Village at Camp*
3 *Bowie*. In that case -- that's 710 F3d 239. In that case
4 the Court also said that "An inference of bad faith might be
5 stronger where Debtor cuts an impaired class out of whole
6 cloth by incurring a debt with a related party particularly
7 if there is evidence that the lending transaction is a sham.
8 Ultimately the Section 1129(a)(3) is fact specific, fully
9 empowering Bankruptcy Courts to deal with chicanery."
10 Those are the words of the Fifth Circuit.

11 The objectors focus a lot on the words, "forbidden
12 by law". And they want the Court to view the proposed Plan
13 incorporating the Delaware Corporate Entire Fairness
14 Standard to evaluate a Plan because it involves a
15 transaction involving the Debtor's private equity sponsor.

16 But that's not mandated or required under the
17 Code. The Court is not required to do a 50-state survey
18 about, you know, what the appropriate forbidden by law
19 means.

20 The focus, again, is -- that focuses on an after
21 the fact outcome and not a proposal. The proposal of the
22 Plan can't violate a law. And there's nothing in the Record
23 that says this Debtor violated law by proposing this Plan.

24 Go back to the text, right? A proposed a Plan --
25 can propose a Plan that is not in good faith and by any

1 means forbidden by law. Proposal in good faith and not by
2 any means forbidden by law.

3 Proposal in good faith, right, and by any means
4 forbidden by law modify by proposed.

5 Again the text matters here. The focus is on
6 proposal of the Plan. No law that this Court is aware of
7 prevents this Debtor from proposing the Plan.

8 The Record show that the Debtor had the requisite
9 corporate authority to propose it. It also makes sense that
10 proposal of the Plan is the emphasis.

11 Debtors propose a Plan and get permission to
12 solicit votes on the Plan. Creditors vote on the Plan. And
13 that's why you need the requisite votes from creditors to
14 confirm the Plan.

15 That's why creditors are required to receive a
16 Disclosure Statement with adequate information to allow them
17 to make an informed decision about whether to accept or
18 reject the Plan. And if the Debtor's proposed Plan impairs
19 claims, creditors get to vote on that Plan.

20 All classes vote to accept the Plan. The Plan can
21 be confirmed assuming all other applicable sections of the
22 Code are satisfied.

23 Creditors get to evaluate their potential upside
24 and downside risk in evaluating a Plan. A class of
25 creditors may evaluate a Plan and decide that the proposed

1 recovery is worth accepting even if it's less than
2 100 percent. That's what the 2L class did.

3 One hundred percent of voting creditors supported
4 the Plan. The Code also says that if enough creditors in
5 the amount of debt in the number of class vote to accept the
6 Plan, they can carry the class over the objecting of the
7 dissenting creditors in that class.

8 In other words, creditors in a class bind other
9 creditors. And the Code says that creditors who vote to
10 reject are entitled to some protection. To have a recovery
11 on their claim, they get at least what they would receive in
12 a liquidation. I'm just talking Code-speak here.

13 But they have to accept the treatment under the
14 Plan. Again, the Debtors proposed the Plan, but creditors
15 are the vital party. That's what happened in the 1L class
16 situation. About 88 to 99 percent voted to approve, so the
17 class accept it. Eleven percent vote is overruled by fellow
18 similarly situated creditors.

19 The objecting parties believe that the Debtors are
20 really being controlled by their pre-petition private equity
21 sponsor who is an RSA party, first lien lender and a
22 backstop party.

23 Analyzing the Chapter 11 Plan with a proposed
24 transaction with an insider is properly analyzed under the
25 good faith prong. Was the Plan formulated to benefit the

1 insider? Was there a sweetheart deal? Or was it formulated
2 with the Code's purposes in mind?

3 This is analyzed under the Fifth Circuit totality
4 of the circumstances test. Totality of the circumstance
5 certainly includes aspects of an entire fairness allowances.
6 But I'm not bound to analyze Delaware law here only. Again,
7 I don't have to conduct a 50-state survey depending on the
8 Debtor's state of incorporation.

9 I can look to more than one part of the Plan
10 formation. I can look -- I can consider the totality.
11 bankruptcy judges can look at everything related to the
12 formation of the Plan. I'm not constrained by state law.

13 But even if the entire fairness standard was the
14 standard, it's easily satisfied here. Regardless, when
15 analyzed through the proper lens, the answer becomes
16 apparent that it was proposed in good faith and as stated
17 there no law that runs afoul in proposing the Plan.

18 The Debtors negotiated with the overwhelming
19 majority of holders of 1L debt extensively and reached
20 consensus on a proposed Plan. The negotiations were
21 extensive and at arm's-length.

22 The board had an independent Special Committee.
23 Mr. Edmitson testified. Served on that Special Committee.
24 I found him very credible. He took his fiduciary duty
25 seriously. I believe him.

1 He also felt the other members did too and there's
2 no evidence to the contrary. They didn't hire independent
3 counsel. It's not required. But I'll say for the Record,
4 it sure would have given the Court greater comfort.

5 That made me look even closer at the deal with
6 Mr. -- even with Mr. Edmitson testifying about the board's
7 analysis and negotiations. CVC was not a part of their
8 meetings.

9 I still looked closer to make sure that the board
10 was not directly or indirectly on both sides of the deal. I
11 looked through every piece of paper that was submitted into
12 the evidence. I listened carefully to the testimony. I
13 didn't find anything to suggest that this Special Committee
14 did not exercise their fiduciary duty seriously or that they
15 failed in exercising that duty.

16 I am satisfied with the work of the Special
17 Committee, their analysis and their independence. I looked
18 deep. And I gave it a hard look. And that's my answer.

19 At the direction of the Special Committee, in
20 January of 2024, the Debtors and their advisors engaged with
21 the First Lien Ad Hoc Group and the pre-petition ABL Secured
22 Parties about the terms of the potential transaction and DIP
23 financing facilities.

24 The Debtors and their advisors also engaged with
25 Latham as Counsel to the PVKG Lenders. Negotiations

1 continued and culminated in an agreement on the terms of the
2 restructuring transaction and DIP facilities with
3 overwhelming support.

4 Based upon the Record before me, there is no deal
5 to reduce of a billion dollars of debt without the 1L Ad Hoc
6 Group. The 2L's are on board with 100 percent of this Plan.
7 Onboard 100 percent. And they aren't even receiving a full
8 or even 50 percent recovery.

9 And unsecured creditors are unimpaired. The
10 overwhelming support for this Plan is remarkable. There's
11 also no formal requirement for the objecting parties to have
12 been included in the negotiations on the Plan or the related
13 backstop agreement.

14 There's nothing in the docs that says that they
15 had to be involved. Right? The Plan also avoids
16 potentially costly litigation over a make whole involving
17 the private equity sponsor.

18 This District knows a lot about make wholes and
19 consent, if possible, makes a lot of sense. Protracted
20 litigation is expensive and it's time consuming. It appears
21 the Debtors analyzed defenses to the make whole, but
22 settling in connection with a pre-packaged Plan with the
23 majority of holders of first lien debt and second lien debt
24 and paying unsecured creditors in full confirms good faith
25 viewed in light of the totality of the circumstances

1 surrounding the establishment of the Plan, keeping in mind
2 the purpose of the Code.

3 Let me turn to Section 1123(a)(4) next. That
4 requires a Plan to provide the same level of treatment to
5 the same -- provide the same treatment for each claim within
6 a particular class.

7 There's a statutory exception to this requirement
8 where a holder of a claim agrees to less favorable
9 treatment. Section 1123(a)(4) extends only to the treatment
10 of the members of the claims, the class of claims and not to
11 the Plan's overall treatment of creditors holding such
12 claims.

13 Creditors should not confuse similar treatment of
14 claims with equal treatment of claimants. Parties can
15 receive the same distribution in a class and then a subset
16 of those creditors can receive other forms of compensation
17 for matters unrelated to their claim assuming there's a
18 justification for it.

19 Remember, the Court considers totality of the
20 circumstances in good faith. There is a way to stop it.
21 I'm well aware of other cases in transcripts. For example,
22 in *Pacific Drilling*, the Bankruptcy Court rejected a motion
23 to approve an equity committee commitment agreement that
24 would have provided lenders that agree to a backstop, the
25 rights offering with an 8 percent backstop fee and a private

1 placement opportunity to purchase, I think it was
2 100 million of reorganized equity at a 46.9 percent discount
3 to Plan value.

4 In *TPC Group*, which was ultimately resolved
5 consensually by allowing others to participate prior to a
6 consensual resolution, the bankruptcy judge commented on
7 whether an exclusive offer was market tested and raised
8 *LaSalle*.

9 I know those cases. I'm aware of the other cases
10 cited. And I hold those bankruptcy judges in the highest
11 regards. And I'm just focused on this case with these facts
12 and this Plan, just as they were focused on their cases and
13 the legal issues presented in those cases.

14 These cases are not on all fours with the other
15 cases. So I just stress Justice Ketanji Brown Jackson
16 concurrence in a recent Supreme Court decision in *Gonzales*
17 *versus Google*. It's a non-bankruptcy case, but I stress
18 what she said.

19 She wrote, "Other cases presenting different
20 allegations and different records may lead to different
21 conclusions." Right? That's the point. You can pull
22 quotes out of a case, but other cases present different
23 allegations and different records and could lead to
24 different conclusions.

25 The objecting parties have also argued that the

1 financings offered to select groups violates Section 1123 --
2 excuse me -- violates *Bank of America National Trust and*
3 *Savings Association*.

4 Let me just kind of note one other point. Nope,
5 let me stick with *LaSalle*. They argue that market texting
6 is lacked in here.

7 Let me tell you a little bit about *LaSalle*.
8 *LaSalle* involved a Plan where the secured debt was being
9 crammed down in a Plan. Supreme Court said that the
10 Debtor's principal objective was to ensure its partners
11 retained title to the property so as to avoid roughly
12 20 million in personal tax liability which become due if the
13 bank foreclosed.

14 So the bank got proposed impaired treatment. But
15 certain former partners of the Debtors would contribute six
16 million over five years and get the partnership's entire
17 ownership of the reorganized entity.

18 And the Plan said the old equity were the only
19 ones who could contribute new capital. The bank objected.
20 So the Debtor went the cram down route. The bank said its
21 unsecured deficiency claim would not be paid in full, but
22 old equity was getting property.

23 This prompted a fight that ultimately found its
24 way to the Supreme Court about the absolute priority rule
25 and the new value corollary. The Supreme Court held that in

1 a cram down Plan exclusive investment opportunities granted
2 to existing stakeholders to buy discounted equity could not
3 constitute legitimate consideration if such investment is,
4 and I quote, "on account of or in consideration for the
5 existing equity interest. Especially," as the Supreme Court
6 said, "an exclusive right at no cost whatsoever."

7 This was a cram down case and the Supreme Court
8 specifically analyzed what it meant to receive property on
9 account of an equity interest. On account of language is
10 specific text found in the cram down sections of
11 Section 1129 of the Bankruptcy Code.

12 The Supreme Court found that receiving new equity
13 is property and a market test was necessary to prove that
14 the property was not given to equity on account of their
15 existing equity interest.

16 So what type of market test was required in this
17 cram down? Supreme Court left that question unanswered.
18 They said it's enough here to say assuming a new value
19 corollary violated the prohibition in that case under
20 Section 1129(b) (2) (B) (2) .

21 I can't over emphasize that *LaSalle* is a cram down
22 case and the Court was analyzing text under Section 1129(b)
23 and whether the absolute priority rule was violated, which
24 says that equity can't receive any property on account of
25 its interest unless creditors are paid in full. That's

1 exactly what was emphasized in the current. Why is it
2 important that it's a cram down Plan?

3 Because in a cram down Plan, class of creditors
4 reject the Plan and the votes of a class of creditors who is
5 impaired under the Plan, but who has accepted it, can be
6 used to cram the Plan down on the non-accepting class.

7 This is not a case that I described earlier where
8 a majority of votes within a class wins. This is a majority
9 in a class -- the creditors in class say no thank you. And
10 a separate class of impaired creditors saying we accept it,
11 you're going to have to accept it.

12 And in that scenario, the Plan will get crammed
13 down on the dissenting class of creditors. And in that
14 scenario the Code gives the rejecting class protections.
15 One of them is that a junior class or equity won't receive
16 any property on account of their interest unless that class
17 is paid in full.

18 Back to my theme. Debtors propose, creditors
19 vote. This is not a cram down case in this case. And
20 equity is not being offered for the sole right for nothing.
21 Here the participating parties are putting in new money and
22 backstopping a deal. We don't have a *LaSalle* problem here.

23 Going back to 1123(a)(4). The class one
24 treatment is similar for all 1L lien holders. Look at the
25 text. What's the purpose of Section 1123? 1123 is labeled

1 "Contents of the Plan." It is structural. It says what
2 must be included in a Plan.

3 And while you're at it, really focus on the way,
4 you know, what we call subpart (2) of the Code is presented.
5 Look at 1121. Look at 1122. Look at 1123. Look at 1124.
6 Look at 1125. Look at 1126. Structural. Look at -- right?

7 Look at 1127. Look at 1128. 1128 says you can
8 have a confirmation hearing and parties can object. Then
9 you get 1129 and it says -- right, now we start to get into
10 if you want a Plan confirmed, here's where the Code kicks
11 in. Good faith, right? Not by any means forbidden by law.
12 Not for -- you've got to comply with the other sections of
13 the Code.

14 Creditors are entitled to certain protections.
15 That's where you go. Here there was a thorough negotiation
16 with a majority of lenders about Plan terms and a new money
17 commitment.

18 It's undisputed that the Debtors needed to raise
19 exit financing. And that they needed new money on a
20 reorganized -- as a Reorganized Debtor. They accomplished
21 this. The compensation to these lenders who are
22 participating parties is not on account of the claim.

23 The negotiation itself is what a third party
24 creditor group. Right? This isn't like equity proposing a
25 Plan and then saying here's what we're going to get under

1 that Plan.

2 This is a market deal. I can assess it. I have
3 evidence in the Record about the negotiation and comps.
4 This deal was not struck in the dark exclusively between
5 Debtor and the equity. That's a *LaSalle* problem.

6 We don't have a cram down here. All classes of
7 creditors eligible to vote, voted yes. That sometimes mean
8 they can agree to things that cram down you wouldn't get
9 under 1129(b).

10 I stress cram down under 1129 is very different in
11 confirmation under Section 1129(a). So let's analyze the
12 exit financing and the rights offering in the backstop. The
13 market comps support that this deal is not too rich. That
14 was in part the pack drilling problem.

15 Importantly, there were two proposals from the
16 excluded lender group. They couldn't guarantee better
17 economics. That's another market test and it was not in
18 a -- it was in a non-cram down scenario.

19 But I have a market analysis anyway. I note that
20 the objecting lender proposal is not just for the financing
21 part. And that's really important to them, though. Note
22 the proposal included Plan treatment to excluded lenders
23 wanted the Debtors to drop the current deal with broad
24 creditor support and take the entire -- and take this entire
25 new deal with no guarantee of broad support. And then say

1 that it was the Bankruptcy Code is the reason for the hopes
2 that lenders settle.

3 But Mr. Edmitson noted that this is a real company
4 with real employees and real customers. And the Debtor's
5 decision was easy here. They went with the best economic
6 deal, got them the exit financing and guaranteed it with a
7 backstop. I have no issue and the Bankruptcy Code has
8 requirement otherwise that a Debtor worked with a set of
9 lenders to raise money.

10 I'd note, no one put on a better deal for the
11 financing. The Fifth Circuit has dealt with these issues,
12 too. *In re: Cajun Electric*. The Fifth circuit concluded
13 that a Plan proponents payments to certain members of a
14 Debtor power cooperative didn't violate Section 1123(a)(4)
15 because the payments were reimbursement for Plan and
16 litigation expenses not payments made in satisfaction of
17 their claims against the Debtor.

18 Everybody knows that it's *Cajun Electric Power*,
19 150 F3d 503, 518; Fifth Circuit 1998 case.

20 Here's where I turn to *Peabody*. The Eighth
21 Circuit confronted the issues there, too. A group of
22 creditors objected and said they weren't afforded the right
23 to participate in a private placement and a backstop.

24 The Court citing *Cajun Electric*, cites the Fifth
25 Circuit and Chase, I know as well, disagreed. They said

1 1123, 1129 were not violated.

2 Also noted in that case was that *LaSalle* was
3 distinguishable. Among other things it said, "Unlike the
4 equity holders in *LaSalle*, creditors who participated in the
5 private placement gave something of value up front in
6 exchange for their right to participate.

7 They promised to support the Plan, buy preferred
8 stock that did not sell in the private placement and they
9 backstopped the rights offering. Third, and they also said
10 unlike the Debtor in *LaSalle*, the Debtors considered several
11 alternative ways to raise capital including proposals.

12 The Debtors in this case reviewed each alternative
13 Plan with their advisors and analyzed the merits at
14 meetings. That's what they did as well in *Peabody*. With
15 each proposal, the Debtors determined that the proposal
16 alternative would be less effective at accomplishing their
17 goals than their Plan or it would cost too much in terms of
18 time and money.

19 *Peabody*, citing Fifth Circuit, Fifth Circuit
20 looking at 1123(a)(4) considering 1123(a)(4) on account is
21 it because of the claim or is it something separate? The
22 Fifth Circuit has dealt with these issues since 1990, over
23 20 years because it's indistinguishable it agreed with
24 the -- *Peabody* agreed with the Bankruptcy Code that it had a
25 right to participate and the private placement was not a

1 treatment for a claim.

2 That's what we have here. So the Plan doesn't
3 violate the equal treatment rule of Section 1123(a)(4) and
4 it was proposed in good faith and not by any means forbidden
5 by law.

6 I'm comfortable with the Record before me. In the
7 end, the best of the best lawyers argued this case. Cannot
8 think of a better argument, briefing evidence. It's very
9 complicated transaction, but not a close call.

10 We have a Plan approved by all classes of eligible
11 voters. No cram down. The financing is reasonable and it's
12 in the best interest of the estate. Even under close
13 examination from this Court, no undue insider influence and
14 the price to pay for certainty and funding was a key
15 component.

16 I note based upon the Record before me as well, it
17 wasn't raised, it was submitted -- raised in specific
18 objections. I would note that the Plan satisfies
19 Section 1125 of the Bankruptcy Code.

20 There was an appropriate Disclosure Statement. I
21 did read every word of that Disclosure Statement and I
22 determined that it contains adequate information within the
23 meaning of Section 1125 of the Bankruptcy Code.

24 I would note that the parties who received that
25 Disclosure Statement, no one raised an objection to it as

1 well. But I still think there's an independent duty for the
2 Court to determine that as well.

3 I would note that every other applicable section
4 of Section 1129 of the Bankruptcy Code and Section 1123 of
5 the Bankruptcy Code has been satisfied.

6 I'm going to confirm the Plan.

7 The Court has reviewed the proposed order. The
8 Court has considered the request and I'm going to deny it.
9 I think the Debtor -- I think the law is clear on this case.

10 I'm going to sign the proposed confirmation order
11 that was submitted to the Court. I know there was a lot of
12 argument saying no Court is ever going to ask this. I just
13 think the case law showed otherwise. I think this has been
14 argued. This is just a new set of facts, different private
15 placement. But I still have a rights offering, a backstop.
16 1123 of the Code, nothing has changed. Just a different set
17 of facts.

18 I wouldn't call them -- I'd just call them a
19 different set of facts, issues that have been confronted by
20 the Fifth Circuit for over 20 years.

21 I hope that provided some clarity. I thank all
22 the parties. I'm confirming the Plan. And I'll sign that
23 order and it'll hit the docket shortly.

24 Thank you very much. We're adjourned.

25 (Hearing adjourned at 4:20 p.m.)

* * * * *

I certify that the foregoing is a correct transcript to the best of my ability produced from the electronic sound recording of the proceedings in the above-entitled matter.

/S/ MARY D. HENRY

CERTIFIED BY THE AMERICAN ASSOCIATION OF
ELECTRONIC REPORTERS AND TRANSCRIBERS, CET**337
JUDICIAL TRANSCRIBERS OF TEXAS, LLC
JTT TRANSCRIPT #68687
DATE FILED: MAY 31, 2024

**N THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF TEXAS
HOUSTON DIVISION**

In re:

CONVERGEONE HOLDINGS, INC., et al.,¹

Debtors.

Ad Hoc Group of Excluded Lenders,

Appellant.

§
§
§
§
§
§
§
§
§
§
§§
§

Civil Action No. 4:24-cv-02001

Bankruptcy Case No. 24-90194

**APPELLANT AD HOC GROUP OF EXCLUDED LENDERS’
EMERGENCY MOTION FOR A STAY PENDING APPEAL,
AN INTERIM STAY, AND CERTIFICATION TO THE COURT OF APPEALS**

¹ The Debtors in these chapter 11 cases, together with the last four digits of each Debtor’s federal tax identification number, are as follows: AAA Network Solutions, Inc. (7602); ConvergeOne Dedicated Services, LLC (3323); ConvergeOne Government Solutions, LLC (7538); ConvergeOne Holdings, Inc. (9427); ConvergeOne Managed Services, LLC (6277); ConvergeOne Systems Integration, Inc. (9098); ConvergeOne Technology Utilities, Inc. (6466); ConvergeOne Texas, LLC (5063); ConvergeOne Unified Technology Solutions, Inc. (2412); ConvergeOne, Inc. (3228); Integration Partners Corporation (7289); NetSource Communications Inc. (6228); NuAge Experts LLC (8150); Providea Conferencing, LLC (7448); PVKG Intermediate Holdings Inc. (4875); Silent IT, LLC (7730); and WrightCore, Inc. (3654). The Debtors’ mailing address is 10900 Nesbitt Avenue South, Bloomington, Minnesota 55437.

TABLE OF CONTENTS

TABLE OF AUTHORITIES	ii
PRELIMINARY STATEMENT	1
BACKGROUND	5
A. The Debtors.....	5
B. The Exclusive Investment Opportunities.....	5
C. Impact on Excluded Lenders	6
D. Plan Confirmation.....	7
ARGUMENT	8
I. THE COURT SHOULD STAY THE CONFIRMATION ORDER PENDING THE OUTCOME OF THE EXCLUDED LENDERS’ APPEAL.....	8
A. Moving in the Bankruptcy Court Would Be Impractical.....	9
B. The Excluded Lenders Satisfy the Criteria for a Stay.....	9
1. The Excluded Lenders Are Likely to Succeed on this Appeal.	9
2. The Excluded Lenders Face the Possibility of Irreparable Harm Absent a Stay.	16
3. The Balance of Harms and the Public Interest Favor a Stay.....	17
II. THE COURT SHOULD ENTER AN INTERIM STAY OF THE CONFIRMATION ORDER DURING THE PENDENCY OF THIS MOTION.	18
III. THIS APPEAL SHOULD BE CERTIFIED TO THE FIFTH CIRCUIT.....	19
CONCLUSION.....	20

TABLE OF AUTHORITIES

	Page(s)
Cases	
<i>In re 473 W. End Realty Corp.</i> , 507 B.R. 496 (Bankr. S.D.N.Y. 2014).....	10
<i>In re Am.-CV Station Group, Inc.</i> , 56 F.4th 1302 (11th Cir. 2023)	12, 13
<i>Arnold v. Garlock, Inc.</i> , 278 F.3d 426 (5th Cir. 2001)	8
<i>Bank of America National Trust & Savings Association v. 203 N. LaSalle St. Partnership</i> , 526 U.S. 434 (1999).....	<i>passim</i>
<i>In re BGI, Inc.</i> , 504 B.R. 754 (S.D.N.Y. 2014).....	9
<i>In re Cajun Electric Power Co-op., Inc.</i> , 150 F.3d 503 (5th Cir. 1998)	15, 16
<i>In re Country Squire Assocs. of Carle Place, L.P.</i> , 203 B.R. 182 (2d Cir. 1996)	10
<i>Czyzewski v. Jevic Holding Corp.</i> , 580 U.S. 451 (2017).....	18
<i>Detroit Free Press, Inc. v. Ashcroft</i> , No. 02-1437, 2002 WL 1332827 (6th Cir. Apr. 10, 2002) (per curiam)	19
<i>In re Gen. Motors Corp.</i> , 409 B.R. 24 (Bankr. S.D.N.Y. 2009).....	17
<i>In re Herrera</i> , No. 09-52974-C, 2010 WL 148182 (Bankr. W.D. Tex. Jan. 8, 2010)	17
<i>In re Javier Estrada, Inc.</i> , Civil Action No. L-10-13, 2010 WL 1416778 (S.D. Tex. Apr. 5, 2010)	8
<i>In re Mem’l Prod. Partners LP</i> , Civil Action No. H-18-412, 2018 WL 10593659 (S.D. Tex. Oct. 16, 2018)	8
<i>Millennium Dental Techs., Inc. v. Fotana d.d.</i> , 407 F. App’x 482 (Fed. Cir. 2011) (per curiam)	19

<i>In re Ondova Ltd. Co.</i> , 620 F. App'x 290 (5th Cir. 2015) (per curiam)	19
<i>In re Pac. Lumber Co.</i> , 584 F.3d 229 (5th Cir. 2009)	17
<i>Rio Grande Cmty. Health Ctr., Inc. v. Armendariz</i> , 792 F.3d 229 (1st Cir. 2015) (per curiam)	19
<i>In re S. Savings Assoc.</i> , 820 F.2d 700 (5th Cir. 1985)	8
<i>Weber v. U.S. Trustee</i> , 484 F.3d 154 (2d Cir. 2007)	19, 20

Statutes

11 U.S.C. § 1123(a)(4)	<i>passim</i>
11 U.S.C. § 1123(a)(4)	14
11 U.S.C. § 1126(g)	12, 13
11 U.S.C. § 1129	7, 11, 12, 14
11 U.S.C. § 1129(a)(1)	14
11 U.S.C. § 1129(b)(2)	11, 12
11 U.S.C. § 1129(b)(2)(B)(ii)	3, 4
28 U.S.C. § 158(d)	19, 20
28 U.S.C. § 158(d)(2)(A)	19

Other Authorities

10 Alan N. Resnick & Henry J. Sommer. <i>Collier on Bankruptcy</i>	9
Fed. R. Bankr. P. 3019(a)	12
Fed. R. Bankr. P. 3020(e)	2, 4, 7, 9
Fed. R. Bankr. P. 8007(a)(1)	9
Fed. R. Bankr. P. 8007(b)(2)(A)	9
Merriam-Webster.com Dictionary, https://www.merriam-webster.com/dictionary/for (last visited May 25, 2024)	12

Appellant the Ad Hoc Group of Excluded Lenders (the “Excluded Lenders”) respectfully submits this emergency motion for an interim stay and a stay pending its appeal of the bankruptcy court’s findings of fact, conclusions of law, and order (the “Confirmation Order,” Bk. Docket No. 396, App. 000001–65) confirming the chapter 11 plan of reorganization (the “Plan,” Bk. Docket No. 27, App. 000066–136) of ConvergeOne Holdings, Inc. and its debtor affiliates (collectively, the “Debtors”).² The Excluded Lenders also ask this Court to certify the appeal to the Fifth Circuit.³

PRELIMINARY STATEMENT

The Debtors’ Plan provides certain Class 3 members with enhanced recoveries at the expense of other class members. Specifically, the Debtors’ Plan offered only certain first-lien lenders in Class 3 (the “Majority Lenders”) and its private equity sponsor (the “Insider”) the opportunity to purchase steeply discounted equity in the reorganized company resulting in those favored parties receiving millions in enhanced recovery under the Plan. The Excluded Lenders were deprived of the same investment opportunity to purchase discounted equity. As a result, the recovery of the Majority Lenders and Insider greatly exceeded the recovery of the Excluded Lenders—by more than 30%—even though they were all members of the same class under the Plan.

The Bankruptcy Code forbids debtors from discriminating among similarly situated creditors in this manner. *See* 11 U.S.C. § 1123(a)(4) (“[A] plan shall . . . provide the same treatment for each claim or interest of a particular class”). The Debtors effectively bought the

² References herein to “App.” are to the accompanying *Appendix in Support of Ad Hoc Group of Excluded Lenders’ Motion for Stay Pending Appeal, an Interim Appeal, and Certification to the Court of Appeals*, filed contemporaneously herewith.

³ The Excluded Lenders are identified in the *Supplemental Verified Statement of the Ad Hoc Group of Excluded Lenders Pursuant to Bankruptcy Rule 2019* [Bk. Docket No. 233].

votes they needed for the Plan by siphoning value from the Excluded Lenders to the Majority Lenders and Insider. Under the Supreme Court's decision in *Bank of America National Trust & Savings Association v. 203 N. LaSalle St. Partnership*, 526 U.S. 434 (1999), an exclusive investment opportunity is a plan distribution of property on account of a claim unless the investment opportunity is exposed to market test.

The Excluded Lenders promptly appealed from the Confirmation Order and now move this Court to stay the Confirmation Order pending the outcome of that appeal. The Debtors will almost certainly consummate the Plan within a matter of days given that they moved for expedition below and then convinced the bankruptcy court to waive the automatic 14-day stay of confirmation orders. *See* Fed. R. Bankr. P. 3020(e). Although the Excluded Lenders do not believe that their appeal will be equitably moot following consummation because this Court can fashion tailored relief on appeal, they are moving for a stay out of an abundance of caution to preserve their appellate rights and avoid any possibility of equitable mootness. Given the impending consummation, the Excluded Lenders request that the Court issue a temporary interim stay until the Court has had an adequate opportunity to consider and rule on this motion.

A stay pending appeal is warranted because all the traditional four factors weigh in the Excluded Lenders' favor. *First*, they are exceedingly likely to succeed on appeal because the Plan provides preferential treatment to certain members of Class 3 at the expense of others. The following facts are undisputed:

- (a) the Majority Lenders, the Insider and the Excluded Lenders each hold first-lien Claims in Class 3;
- (b) the Plan provides only the Majority Lenders and Insider (and not the Excluded Lenders) with the exclusive investment opportunity to buy millions of dollars of steeply discounted equity of the reorganized company as part of a separate so-called backstop agreement;

- (c) the opportunity to buy discounted equity was not market tested, but was instead reserved under the Plan exclusively for the Majority Lenders and Insider; and
- (d) the investment opportunity under the Plan allows the Majority Lenders and Insider to recover roughly 31% more for their First Lien Claims relative to the recovery of the Excluded Lenders.

The central question in this case is causation: whether the Plan's grant of an exclusive investment opportunity to buy equity was "treatment for" the Majority Lenders' and Insider's claims within the meaning of 11 U.S.C. § 1123(a)(4), or consideration for a separate commitment. The Supreme Court answered that question in *LaSalle*. There, the Supreme Court (like the bankruptcy court here) had to determine whether a plan's grant of an exclusive investment opportunity to buy reorganized equity was treatment for a stakeholder's claim or interest, or separate consideration for the stakeholder's commitment to buy new equity. There (like here), the debtor argued that stakeholder was receiving new equity on account of a new cash infusion and not on account of its existing interest. The Supreme Court held that an investment opportunity to buy new equity is "property" (as distinct from the new equity itself) and that the investment opportunity is, as a matter of law, a distribution on account of the interest unless there is a market test.

Despite *LaSalle*, the bankruptcy court held that the investment opportunity exclusively offered to the Majority Lenders was *not* treatment for their claims but separate consideration for their commitment to buy discounted equity under the backstop agreement. In so ruling, the bankruptcy court noted that in *LaSalle*, the Supreme Court was interpreting § 1129(b)(2)(B)(ii), not § 1123(a)(4). While that is factually accurate, it is a distinction without a difference because the operative language of the two provisions is nearly identical and the issues evaluated under each statute are substantively the same. Section 1129(b)(2)(B)(ii) permits confirmation over a senior

creditors' objection so long as a junior creditor or shareholder does not receive "property" under a plan "on account of" their claim or interest. The causation questions in §§ 1129(B)(2)(B)(ii) and 1123(a)(4) are identical—namely, as applied here, is the Plan providing a stakeholder with property "*on account of*" (§1129(b)(2)(B)(ii)'s language) or "*for*" (§ 1123(a)(4)'s language) its claim or interest. The bankruptcy court's decision to distinguish *LaSalle* is flawed and is reversible error.

The Debtors had an option: Either give all Class 3 members the same opportunity to buy discounted reorganized stock or expose the investment opportunity to a market test. They did neither. Accordingly, the Plan violates § 1123(a)(4), and the bankruptcy court should have denied confirmation.

Second, the Excluded Lenders may be irreparably harmed absent a stay. The Debtors have made it clear that they seek to exit bankruptcy as quickly as possible and will move to consummate the Plan in a matter of days. That is particularly likely given that the Debtors sought, and the bankruptcy court granted (over the Excluded Lenders' objection), a waiver of Bankruptcy Rule 3020(e)'s 14-day stay of confirmation orders. If the Plan is consummated before the appeal is resolved (which is a near certainty), there is some risk that the appeal will be deemed equitably moot. While the Court can fashion appropriate appellate relief to avoid equitable mootness, the Excluded Lenders are moving for a stay out of an abundance of causation to preserve their appellate rights, which could be irreparably harmed without a stay.

Third, any harm to the Debtors from a stay would be minimal and would not justify denying the requested relief. In fact, any potential impact on the Debtors of delaying Plan consummation could easily be rectified to avoid alleged harm or damage to the Debtors by simply modifying the Plan to provide for equal treatment of all Class 3 claims.

Fourth, it will serve the public interest to ensure that the important questions raised in this appeal are resolved by this Court without any risk of the appeal being dismissed on mootness grounds.

BACKGROUND

A. The Debtors

The Debtors are a global information technology services company that provide connected human experiences by working with their channel partners, delivering IT services, and developing and commercializing their own technology products. The Debtors faced liquidity challenges due to a highly leveraged capital structure that became unsustainable.

Before filing their chapter 11 cases, the Debtors privately negotiated the terms of a proposed restructuring with a select group of creditors, including the Insider, who collectively hold approximately 81% of the Debtors' first-lien claims.⁴ The Excluded Lenders sought to participate in such negotiations, but were denied.⁵

B. The Exclusive Investment Opportunities

The Plan provides that the Debtor will raise \$245 million to fund Plan distributions and provide working capital of the reorganized business. Plan at 6 (art. I.A.51-52), 16 (art. I.A.167). Under the Plan, the Debtors will raise the \$245 million by selling reorganized equity at a 35% discount to its assumed value under the Plan (the "Equity Rights Offering"). Plan at 12 (art. I.A.130). The Plan provides that the reorganized equity is worth roughly \$434 million ("Plan Value"). The Equity Rights Offer has four parts:

⁴ In the Plan, all Holders of First Lien Claims are classified together in Class 3. Plan at 26 (art. III.C.3).

⁵ May 22, 2024 Hr'g Audio [Bk. Docket No. 388] at 27:30 to 31:40. The Excluded Lenders are obtaining a transcription of the confirmation hearings on an expedited basis.

Exclusive Equity Allocation. The Plan provides that Debtors will raise \$86 million of the \$245 million by selling discounted equity to a subset of the Majority Lenders and the Insider. This is sometimes referred to as the “Direct Allocation” or “Stated Holdback.” See Plan at 6 (arts. I.A.51–52), App. 000075. These shares are worth \$132 million at Plan Value.

Open Equity Allocation. The Plan further provides that Debtors will raise the remaining \$159 million of the \$245 million by offering to sell discounted equity to all holders of Class 3 claims on a *pro rata* basis. This is the so-called “Open Allocation.” See Plan at 16–17 (arts. I.A.165–167, 171), 27 (art. III.C.3.(c)), App. 000085–86, 96. In lieu of participating in the Open Equity Allocation, Class 3 members can elect to recover in the form of a take-back note (the “Take Back Note”) worth 20% of their claims. See Plan at 18 (art. I.A.189), 27 (art. III.C.3.(c)), App. 000087, 96. The Excluded Lenders have no objection to the Open Equity Allocation because all Class 3 claimants are treated equally.

Backstop Investment Opportunity. The Plan provides that a subset of the Majority Lenders and the Insider have the investment opportunity to purchase any discounted equity that is not sold in the open equity allocation to Class 3. This is the so-called Backstop Commitment. See Plan at 3 (art. I.A.16), App. 000072. The maximum amount of equity that might go unsold in the Open Equity Allocation was 19% of the Class 3 claims (or \$30 million of the \$160 million sought to be raised) because the Majority Lenders and Insider who hold 81% of those claims had separately promised to purchase their portion of shares in the Open Equity Allocation.⁶

Put Option Premium. Finally, the Plan provides that a subset of the Majority Lenders and the Insider will receive a backstop fee in the form of equity worth \$37.7 million at Plan Value. See Plan at 145. This is the so-called “Put Option Premium.” See Plan at 14 (art. I.A.145), App. 000083; Equity Rights Offering Term Sheet attached to Restructuring Term Sheet, App. 000252–257 (definition at App. 000255).

C. Impact on Excluded Lenders

It is undisputed that the Plan provides for Class 3 members to recover approximately 20% to 24% of their First Lien Claims. The 4% difference depends on whether they opt to participate in the Open Equity Allocation or the Take-Back Note. See Plan at 27 (art. III.C.3.(c)), App. 000096; Lall Decl. ¶ 10 [Bk. Docket No. 340], App. 000268.⁷

⁶ See Restructuring Support Agreement (“RSA”) § 4.02(a)(ii) (providing that each Consenting Stakeholder (which includes the each Holder of First Lien Claims party to the RSA) “elect the Rights Offering Rights and Takeback Loan Recovery Option (if applicable to such Party) . . .”), App. 000154–55.

⁷ The Lall Declaration was admitted into evidence without objection or cross examination.

It is also undisputed that the Direct Allocation, Backstop Investment Opportunity, and the Put Option Premium (collectively, the “Exclusive Investment Opportunities”) allows the Majority Lenders and the Insider to recover roughly **31% more** for their First Lien Claims relative to the recovery of the Excluded Lenders. *See* Lall Decl. ¶ 11, App. 000268. Accordingly, the Majority Lenders and Insider stand to receive a significantly higher enhancement over the recovery provided to the Excluded Lenders even though all such creditors are members of Class 3.

D. Plan Confirmation

The Excluded Lenders objected to the Plan, arguing that the unequal treatment of Class 3 members violates § 1123(a)(4). The Excluded Lenders argued that because the Majority Lenders and the Insider (but not the Excluded Lenders) were given the Exclusive Investment Opportunities, the Majority Lenders and Insider received preferential treatment. In support, the Excluded Lenders cited *Bank of America National Trust & Savings Association v. 203 N. LaSalle St. Partnership*, 526 U.S. 434 (1999), where the Supreme Court held that, in the bankruptcy context, an investment opportunity that is not market tested is property offered to a stakeholder on account of its claim or interest. The Excluded Lenders also opposed the Debtors’ request for a waiver of the 14-day stay of the Confirmation Order provided in Bankruptcy Rule 3020(e).

At a hybrid virtual hearing held on May 23, the bankruptcy court orally overruled the Excluded Lenders’ objections to the Plan and waiver of the 14-day stay.⁸ The court largely ducked the Excluded Lenders’ *LaSalle* argument, holding that *LaSalle* applies only to questions under § 1129—not § 1123(a)(4)—even though the two provisions have nearly identical language.⁹ The court also found that the Exclusive Investment Opportunities were given as consideration for the

⁸ May 23, 2024 Hr’g Audio [Bk. Docket No. 394] at 10:35, 37:35.

⁹ *Id.* 28:15-32:17.

Majority Lenders' agreement to purchase any unsold shares in the Open Equity Allocation, not on account of their claims.

The Excluded Lenders attempted to move orally for a stay of the Confirmation Order pending appeal, but its counsel's audio at the hybrid virtual hearing was left muted by the bankruptcy court. Later that evening, the bankruptcy court entered the Confirmation Order. The following day, the Excluded Lenders filed their notice of appeal, as amended on May 25, 2024.

ARGUMENT

I. THE COURT SHOULD STAY THE CONFIRMATION ORDER PENDING THE OUTCOME OF THE EXCLUDED LENDERS' APPEAL.

This Court weighs four factors when determining whether to stay a bankruptcy order pending appeal: “(1) a likelihood of success on the merits, or, if a serious legal question is involved, a substantial case on the merits and equities weighing heavily in favor of granting the stay; (2) irreparable injury; (3) that the stay will not harm other parties; and (4) that the stay would serve the public interest.” *In re Javier Estrada, Inc.*, Civil Action No. L-10-13, 2010 WL 1416778, at *1 (S.D. Tex. Apr. 5, 2010) (citing *Arnold v. Garlock, Inc.*, 278 F.3d 426, 438-42 (5th Cir. 2001)). “While each part must be met, the appellant need not always show a probability of success on the merits; instead, the movant need only present a substantial case on the merits when a serious legal question is involved and show that the balance of the equities weighs heavily in favor of granting the stay.” *In re Mem'l Prod. Partners LP*, Civil Action No. H-18-412, 2018 WL 10593659, at *1 (S.D. Tex. Oct. 16, 2018). When evaluating likelihood of success, this Court reviews a bankruptcy court's conclusions of law *de novo*. *In re S. Savings Assoc.*, 820 F.2d 700, 711 (5th Cir. 1985).

Here, all four factors militate strongly in favor of a stay.

A. Moving in the Bankruptcy Court Would Be Impractical.

As a threshold matter, the Excluded Lenders are properly seeking a stay initially at this Court. Ordinarily, a party seeking to stay a bankruptcy court order moves first at the bankruptcy court. Fed. R. Bankr. P. 8007(a)(1). A party can move initially at the district court, however, if “moving first in the bankruptcy court would be impracticable.” Fed. R. Bankr. P. 8007(b)(2)(A). Impracticability in this context requires “a showing that the bankruptcy judge is unavailable, or that, to be effective, relief must be immediate, and that based upon what occurred in the bankruptcy court, relief from it is improbable.” *In re BGI, Inc.*, 504 B.R. 754, 761 (S.D.N.Y. 2014) (quoting 10 Alan N. Resnick & Henry J. Sommer, *Collier on Bankruptcy* ¶ 8005.111 (16th ed. 2013)).

Here, the Excluded Lenders tried to move for stay at the May 23 confirmation hearing, but their counsel’s line was muted, and the bankruptcy court adjourned the hearing without un-muting the phone lines; thus, no oral motion was possible. And filing a written motion for stay was and is impractical. The Debtors’ conduct, including their filing of a prepackaged Plan and seeking an expedited confirmation schedule, shows that they intend to consummate the Plan immediately. The bankruptcy court waived the 14-day stay provided by Bankruptcy Rule 3020(e), which means that the Plan can be consummated literally at any moment. *See* Confirmation Order ¶ 143. Under those circumstances, it would have been impractical for the Excluded Lenders to move first at the bankruptcy court because, by the time it decided the motion, the Plan will likely be consummated, rendering this motion moot. Given that the bankruptcy court waived the 14-day automatic stay, it is extremely improbable that it would have granted the Excluded Lenders a stay in any event.

B. The Excluded Lenders Satisfy the Criteria for a Stay.

1. The Excluded Lenders Are Likely to Succeed on this Appeal.

This Court should grant a stay primarily because the Excluded Lenders are likely to succeed on their appeal. The Plan plainly violates § 1123(a)(4) by favoring claims held by some

members of Class 3. The bankruptcy court should not have confirmed the Plan under those circumstances.

“The ‘substantial possibility of success’ test is considered an intermediate level between ‘possible’ and ‘probable’ and is ‘intended to eliminate frivolous appeals.’” *In re 473 W. End Realty Corp.*, 507 B.R. 496, 501 (Bankr. S.D.N.Y. 2014) (citing *In re Country Squire Assocs. of Carle Place, L.P.*, 203 B.R. 182, 184 (2d Cir. 1996)). The Excluded Lenders’ appeal is far from frivolous. To the contrary, it raises a serious legal question that is supported by Supreme Court precedent.

Section 1123(a)(4) of the Bankruptcy Code provides that “a plan shall provide the same treatment for each claim . . . of a particular class.” 11 U.S.C. § 1123(a)(4). The Plan indisputably provides the Majority Lenders and Insider with a substantially higher recovery than the Excluded Lenders, who are members of the same class. On its face, the Plan violates § 1123(a)(4).

The Debtors tried to justify that discrimination by arguing that the Majority Lenders and Insider received preferential treatment not for their claims, but for agreeing to purchase any unsold shares in the Open Equity Allocation. But the Plan provides only the Majority Lenders (and not the Excluded Lenders) with the Exclusive Investment Opportunities, thus giving them the right to buy millions of dollars of steeply discounted equity of the reorganized Debtors. That opportunity to buy discounted equity was not market tested but instead was reserved under the Plan exclusively for the Majority Lenders. The Exclusive Investment Opportunities are part of the Plan’s treatment for the Majority Lenders’ claims and results in the Plan treating their claims much more favorably than the claims of the Excluded Lenders.

That is the teaching of *LaSalle*. There, the Supreme Court had to determine whether a chapter 11 plan’s grant of an exclusive investment opportunity to buy reorganized equity was

either: (i) treatment for a stakeholders' claim or interest or (ii) separate consideration for the stakeholder's commitment to buy new equity. *LaSalle*, 526 U.S. at 451. It held that the investment opportunity to buy new equity is "property" (as distinct from the new equity itself) and that the investment opportunity is, as a matter of law, a distribution on account of the interest unless there is a market test. *Id.* at 455-57.

That same principle applies here. The Exclusive Investment Opportunities were not market tested. Instead, they were offered exclusively to the Majority Lenders and the Insider. Under *LaSalle*, the exclusive investment opportunity is property that was offered on account of the Majority Lenders' and Insider's claims.

The bankruptcy court held that *LaSalle* does not apply for five reasons, none of which withstands scrutiny. *First*, the court tried to distinguish *LaSalle* on the basis that it addressed § 1129, not § 1123(a)(4). But that is irrelevant. The central issue in *LaSalle* was whether an exclusive investment opportunity provided under a plan was "on account of" a claim or interest. *LaSalle*, 526 U.S. at 451. *LaSalle* thus concerned the causal link between an exclusive investment opportunity provided under a plan and a holder's claim or interest. *Id.* at 451 ("the better reading of subsection [1129](b)(2)(B)(ii) recognizes that a causal relationship between holding the prior claim or interest and receiving or retaining property is what activates [§1129(b)(2)]"). That is the same question presented here.

The bankruptcy court noted that § 1129 uses the phrase "on account of [a] claim or interest," whereas § 1123(a)(4) requires "the same treatment *for* each claim or interest of a particular class." 11 U.S.C. § 1123(a)(4) (emphasis added). But that is a distinction without a difference because "on account of" and "for" mean the same thing. The Supreme Court construed "on account of" to mean "because of." *LaSalle*, 526 U.S. at 450. Justice Thomas, in his

concurrence, adopted the same construction. *Id.* at 460 (Thomas, J., concurring) (“This phrase obviously denotes some type of causal relationship between the junior interest and the property received or retained—such an interpretation comports with common understandings of the phrase.”). The term “for” has precisely that same meaning. *See For Definition*, Merriam-Webster.com Dictionary, <https://www.merriam-webster.com/dictionary/for> (last visited May 25, 2024) (defining “for” to mean “because of”).

Indeed, the Debtors recognized the interchangeability of the terms “on account of” (in § 1129) and “for” (in § 1123(a)(4)) in their brief in support of confirmation of the Plan: “[T]he law is clear that creditors can receive value *on account of* new-money commitments that is not provided to all creditors in a class. The only requirement is that this value be provided *in exchange for* the new-money commitment.”¹⁰ There was thus no basis for the bankruptcy court to treat the word “for” in § 1123(a)(4) differently from how the Supreme Court construed “on account of” in § 1129.

Second, the bankruptcy court was wrong that *LaSalle* is limited to “cramdown” cases under § 1129(b)(2). Nothing about the reasoning of *Lasalle* suggests such a limitation. Indeed, the Eleventh Circuit applied *LaSalle*’s reasoning in the context of determining whether a class of shareholders were deemed to reject a plan under § 1126(g). *See In re Am.-CV Station Group, Inc.*, 56 F.4th 1302 (11th Cir. 2023). In that case, the plan provided four shareholders with the exclusive right to buy new equity. *Id.* at 1306. The plan was modified to provide only one of the four shareholders the exclusive right to buy new equity. *Id.* at 1306–07. The excluded shareholders, who were stripped of their exclusive right to buy equity, objected to confirmation of the plan arguing that they were entitled to disclosure of the plan modification and a resolicitation of votes

¹⁰ Bk. Docket No. 324, at ¶ 7 (emphasis added).

on the modified plan under Bankruptcy Rule 3019(a) because the modification “materially and adversely affects” the treatment of a class of claim or interest holders. *In re Am.-CV Station Group*, 56 F.4th at 1305, 1307-08, 1311. The bankruptcy court determined that objecting shareholders were deemed to have voted to reject the plan and, therefore, were not entitled to additional disclosure or another opportunity to vote. *Id.* at 1307. Pursuant to § 1126(g), a class of claims or interests is deemed to reject a plan if such plan does not entitle holders of claims or interests in such class to receive or retain property under the plan on account of such claims or interests. The bankruptcy court found that no votes were cast by the class of shareholders and the class was not receiving any property under the plan because it extinguished their equity interests. *Id.*

The Eleventh Circuit disagreed, holding that the shareholders were receiving property on account of their interests pursuant to the plan before it was modified—namely, they were receiving an exclusive investment right to buy equity. *Id.* 1310–11. The Eleventh Circuit noted the central issue there was causation, and *LaSalle* provided the answer to the causation question:

[I]f the unmodified plans did entitle the Class 3 interest holders to receive property on account of their pre-petition equity interests, then § 1126(g) does not apply—meaning the bankruptcy court could not deem the [excluded shareholders] to have rejected the plans. So the question is whether the [excluded shareholders] were entitled to receive or retain property under the unmodified plans on account of their interests.

Answering that question, it turns out, is straightforward because of Supreme Court precedent. In *[LaSalle]*, the Court analyzed a similar Chapter 11 plan in which the former partners of the debtor received ownership in a reorganized partnership in exchange for capital contributions.

Id. at 1309–10 (citing *LaSalle*, 526 U.S. at 440). The Eleventh Circuit further stated on “substantive grounds, there were serious problems” with the modified plan under § 1123(a)(4). *Id.* at 1312. The modified plan could not be confirmed, according to the Eleventh Circuit, because it

violated 1123(a)(4). *Id.* By stripping the exclusive right to buy equity from three of the four shareholders in the class, “one member received property under the plan and the others received nothing. That was improper. All modifications, including this one, must comply with § 1123.” *Id.* at 1312. “Had the bankruptcy court recognized that the Class 3 interest holders received property under the plans, it could not have granted the modification or confirmed the modified plans because the [favored shareholder group] was treated more favorably than the rest of Class 3. *See* 11 U.S.C. §§ 1129(a)(1), 1123(a)(4).” *Id.* The Eleventh Circuit’s decision shows that *LaSalle* is not limited to cramdown cases under § 1129.

Third, the bankruptcy court confused the reorganized equity offered under the Plan with the exclusive opportunity to purchase that equity. The bankruptcy court stated, “[e]quity is not being offered . . . for nothing. Here, the participating parties are putting new money and backstopping a deal. We don’t have a *LaSalle* problem here.”¹¹ However, the issue in this case is that the Majority Lenders and Insider are being provided with an exclusive investment opportunity. Under *LaSalle*, that opportunity, in and of itself, is a separate property interest. 526 U.S. at 455 (“At the moment of the plan’s approval the Debtor’s partners necessarily enjoyed an exclusive opportunity This opportunity should, first of all, be treated as an item of property in its own right.” (citations omitted) (emphasis added)). The bankruptcy court failed to recognize this Exclusive Investment Opportunities were being provided to the Majority Lenders on account of their Class 3 claims.

Fourth, the bankruptcy court incorrectly determined that an alternate financing proposal made by the Excluded Lenders shortly before the confirmation hearing, which was rejected by the Debtors, constituted a “market test” for purposes of *LaSalle*. There was no market test. The

¹¹ May 23, 2024 Hr’g Audio [Bk. Docket No. 394] at 29:40.

alternate financing proposal was made after the cake was already baked: an RSA for a pre-packaged Plan had already been agreed to, the RSA had a pre-agreed speedy timeline for the conclusion of the chapter 11 case, votes for the pre-packaged Plan had already been solicited, and DIP financing was already in place. A special committee of the Debtors' board (according to the testimony at trial) rejected the proposal not based on its economic terms, but rather because the alternate proposal lacked support from the Majority Lenders and the Insider.¹² Accordingly, pursuant to the testimony, if the Debtors were to pivot to the Excluded Lenders' alternative financial proposal, the Plan could not be confirmed, the Debtors' stay in chapter 11 would be extended, and they would incur expenses for which they had not budgeted.¹³ All of that speaks only to whether the alternate financing proposal was feasible, not whether the economic terms were superior to what the Debtors exclusively offered to the Majority Lenders. That "offer and rejection" is not a "market test" under *LaSalle*.

Instead, *LaSalle* demands a bona fide market test (or a lifting of the exclusive period contained in § 1121(b)) thereby exposing the investment opportunity to third-party competition to determine whether others would be willing to buy discounted equity on terms more favorable to the debtor than those offered to the exclusive group. *LaSalle*, 526 U.S. at 457 ("Under a plan granting an exclusive right, making no provision for competing bids or competing plans, any determination that the price was top dollar would necessarily be made by a judge in bankruptcy court, whereas the best way to determine value is exposure to a market"). It is undisputed that did not happen here.

¹² May 22, 2024 Hr'g Audio [Bk. Docket No. 387] at 3:03-:20.

¹³ *Id.* 3:20-:57.

Fifth, the bankruptcy court incorrectly determined that the Fifth Circuit had addressed the issue before it, citing *In re Cajun Electric Power Co-op., Inc.*, 150 F.3d 503, 518–19 (5th Cir. 1998). But *Cajun Electric* (which did not involve an exclusive investment opportunity) did not address *LaSalle* because the 1998 *Cajun Electric* decision was decided *a year before* the 1999 *LaSalle* decision. *Cajun Electric* is also factually distinguishable. Cajun was an electric utility cooperative, with 12 members who were also power purchasers. The plan at issue was the product of a robust auction during the case that led to the submission of three competing chapter 11 plans. *Id.* at 507-08. Each plan provided for the reimbursement of legal expenses of a committee of certain members (“CCM”). *Id.* 507, 518-19. The district court concluded that the plan’s payment of legal fees of CCM’s members constituted discriminatory treatment relative to stakeholders in the same class in violation of § 1123(a)(4). *Id.* at 512. The Fifth Circuit disagreed and found no violation of § 1123(a)(4) because (a) the reimbursement of the CCM’s members’ legal fees was from a third party, not the debtor and (ii) “as the bankruptcy court found, the payments were not made in satisfaction of the CCM members’ claims against Cajun, but rather as reimbursement for plan and litigation expenses incurred in the bankruptcy case.” *Id.* at 518-19. *Cajun Electric* did not involve a plan’s grant of an exclusive investment opportunity (unlike here), dealt with payments from a third party (unlike here), and did not consider *LaSalle*, which had not yet been decided. Thus, reliance on *Cajun Electric* is misplaced.

2. *The Excluded Lenders Face the Possibility of Irreparable Harm Absent a Stay.*

The Excluded Lenders seek a stay to preserve their appellate rights by eliminating any possibility that their appeal will be deemed equitably moot. To be clear, this appeal will not be equitably moot even if the Plan is consummated because the Court can fashion appellate relief that would not require unwinding the Plan. The Excluded Lenders nevertheless bring this Motion to

diligently preserve their appellate rights and to remove any doubt that the appeal will be deemed equitably moot. As discussed above, it is nearly certain that the Plan will be consummated before this appeal is resolved.

The possibility of equitable mootness can support a finding of irreparable harm where, as here, it is coupled with a showing of likelihood of success on the merits. *In re Herrera*, No. 09-52974-C, 2010 WL 148182, at *3 (Bankr. W.D. Tex. Jan. 8, 2010); *see also In re Gen. Motors Corp.*, 409 B.R. 24, 31 (Bankr. S.D.N.Y. 2009) (“[T]he threat of equitable mootness is enough to satisfy the requirement of showing *some* irreparable injury—enough to get on the scoreboard with respect to this issue.”). Although it has not squarely addressed the issue, the Fifth Circuit has noted that the concept of equitable mootness may bear on stays pending appeal. *In re Pac. Lumber Co.*, 584 F.3d 229, 242 (5th Cir. 2009) (“Because the bankruptcy court denied a stay pending appeal, this court faced a *fait accompli*, a plan that was substantially consummated within weeks of confirmation. As we have noted, plan consummation may often be dispositive of the question of equitable mootness.”). This Court should follow *Herrera*’s “cautious approach” and grant a stay to prevent any possibility that this appeal could be deemed equitably moot and to avoid irreparable harm to the Excluded Lenders’ appellate rights. *Herrera*, 2010 WL 148182, at *3 (“Given the Fifth Circuit’s recent observations regarding equitable mootness in the context of stays pending appeal, *see In re Pac. Lumber*, 584 F.3d at 242, this court is inclined to follow Judge Gerber’s cautious approach.”).

3. *The Balance of Harms and the Public Interest Favor a Stay.*

To ensure the Plan’s swift confirmation, the Debtors argued below that delaying the Plan’s effective date would result in a parade of horrors, including harm to their business. *See* Bk. Docket No. 324, ¶ 44. But hypothetical harms cannot justify implementation of a Plan that violates the Bankruptcy Code. In any event, any harm can readily be resolved by modifying the Plan to

allow for *pro rata* treatment of Class 3 creditors. That would require a shift of only 11% of the reorganized Debtors' equity, equating to approximately \$22 million, with no impact on the Debtors' overall restructuring. The fix is purely a pro rata reallocation of equity to ensure equal treatment for Class 3. The Debtors' contention that they need to immediately consummate the Plan is irrational because a simple tweak to the Plan to treat Class 3 creditors equally would not disrupt the broader restructuring and would cause no harm to the reorganized business, its employees, or its trading partners, while also bringing the Plan into compliance with the Bankruptcy Code.

A stay is also in the public interest. If the Plan is permitted to become effective, it will signal to chapter 11 debtors that they need not treat similarly situated creditors similarly, at least not in this jurisdiction. In any case, if the Debtors promises to the Majority Lenders and the Insider made in the RSA cannot be achieved without violating the equal treatment rule, it is the RSA and the Plan that must give way, not the rule. As the Supreme Court has made clear, there are no "rare case" exceptions that allow plan distributions in violation of the Bankruptcy Code. *See, e.g., Czyzewski v. Jevic Holding Corp.*, 580 U.S. 451, 470 (2017) (courts lack authority to approve transactions that sanction a "departure from the protections Congress granted particular classes of creditors"). A stay will also ensure that this Court can resolve the important issues raised in this appeal without mootness providing any impediment.

II. THE COURT SHOULD ENTER AN INTERIM STAY OF THE CONFIRMATION ORDER DURING THE PENDENCY OF THIS MOTION.

Additionally, the Excluded Lenders request that the Court issue an interim stay on an expedited basis to stay the Confirmation Order until the Court has had an opportunity to resolve this Motion. A temporary stay is necessary to preserve the status quo, protect the Excluded Lenders' rights, and avoid potentially mooted this motion before the Court has an opportunity to

consider it. If the Confirmation Order is not immediately stayed, the Plan may be consummated before briefing on this motion is complete. Thus, to protect the Excluded Lenders' rights, the Court should grant an interim stay to maintain the status quo pending its consideration of the motion, as other courts have done in similar situations. *See, e.g., In re Ondova Ltd. Co.*, 620 F. App'x 290, 291 (5th Cir. 2015) (per curiam) (temporarily staying sale order until further order of the court); *see also Rio Grande Cmty. Health Ctr., Inc. v. Armendariz*, 792 F.3d 229, 231 (1st Cir. 2015) (per curiam); *Millennium Dental Techs., Inc. v. Fotana d.d.*, 407 F. App'x 482, 483 (Fed. Cir. 2011) (per curiam); *Detroit Free Press, Inc. v. Ashcroft*, No. 02-1437, 2002 WL 1332827, at *1 (6th Cir. Apr. 10, 2002) (per curiam).

III. THIS APPEAL SHOULD BE CERTIFIED TO THE FIFTH CIRCUIT.

Given the complex and novel legal question presented in this appeal, the Excluded Lenders further request that this Court certify their appeal of the Confirmation Order to the Fifth Circuit for immediate review. Under 28 U.S.C. § 158(d), this Court may certify a bankruptcy court decision for direct appeal if it determines that any of the following criteria are met:

- (i) the judgment, order, or decree involves a question of law as to which there is no controlling decision of the court of appeals for the circuit or of the Supreme Court of the United States, or involves a matter of public importance;
- (ii) the judgment, order, or decree involves a question of law requiring resolution of conflicting decisions; or
- (iii) an immediate appeal from the judgment, order, or decree may materially advance the progress of the case or proceeding in which the appeal is taken.

28 U.S.C. § 158(d)(2)(A). “Congress determined that certification directly to the court of appeals would permit [that court] to resolve controlling legal questions expeditiously that might foster the development of coherent bankruptcy-law precedent.” *Weber v. U.S. Trustee*, 484 F.3d 154, 159 (2d Cir. 2007). Section 158(d) “expressly provides that the lower court may certify that decision is susceptible of direct appeal solely because there is no governing legal precedent.” *Id.*

Here, the Court should certify the appeal of the Confirmation Order to the Fifth Circuit for two reasons. *First*, *LaSalle* represents controlling authority and should have been applied here to deny confirmation of the Plan. A plan's use of a backstop agreements to disguise unequal treatment for the majority to siphon value from the minority has become commonplace in restructurings in recent years, but no appellate court in this Circuit has yet had the opportunity to opine whether such arrangements are proscribed by § 1123(a)(4) and *LaSalle*. The lower courts would greatly benefit from a reasoned decision by the Fifth Circuit on this question.

Second, an immediate appeal would materially advance the progress of the case by definitively resolving the treatment of the Majority Lenders/Insider and the Excluded Lenders. Given the important and unresolved legal question raised in this case, the losing party is likely to appeal to the Fifth Circuit. Certifying to the appeal for the Fifth Circuit's immediate review will therefore expedite the final resolution of this case. *See Weber*, 484 F.3d at 158 (acknowledging that if adversely affected parties might "very well fold up their tents if convinced that the ruling has the approval of the court of appeals, but will not give up until that becomes clear[,] immediate review is advisable). If the Debtors are correct about their need for a quick exit from bankruptcy, an immediate appeal to the Fifth Circuit would serve that interest.

CONCLUSION

The Excluded Lenders request (1) entry an interim stay, in form attached hereto as **Exhibit A**, staying the Confirmation Order on pending a ruling on this motion, (2) enter an order, in the form attached as **Exhibit B**, staying the Confirmation Order pending the appeal thereof and certifying this appeal to the United States Court of Appeals to the Fifth Circuit for direct appeal, and (3) grant such other and further relief as may be just and proper.

Respectfully submitted this 28th day of May, 2024.

GRAY REED

By: /s/ Jason S. Brookner

Jason S. Brookner
Texas Bar No. 24033684
William N. Drabble
Texas Bar No. 24074154
1300 Post Oak Blvd., Suite 2000
Houston, Texas 77056
Telephone: (713) 986-7000
Facsimile: (713) 986-7100
Email: jbrookner@grayreed.com
wdrabble@grayreed.com

- and -

PROSKAUER ROSE LLP

David M. Hillman (*pro hac vice*)
Michael T. Mervis (*pro hac vice*)
Eleven Times Square
New York, NY 10036-8299
Telephone: (212) 969-3000
Facsimile: (212) 969-2900
Email: dhillman@proskauer.com
mmervis@proskauer.com

- and -

PROSKAUER ROSE LLP

John E. Roberts (*pro hac vice* pending)
One International Place
Boston, MA 02110-2600
Telephone: (617) 526-9600
Facsimile: (617) 526-9899
Email: jroberts@proskauer.com

-and-

PROSKAUER ROSE LLP

Steve Y. Ma (*pro hac vice*)
2029 Century Park East, Suite 2400
Los Angeles, California 90067-3010
Telephone: (310) 284-4542
Facsimile: (310) 557-2193
Email: sma@proskauer.com

**COUNSEL TO THE AD HOC GROUP
OF EXCLUDED LENDERS**

Certificate of Conference Pursuant to LR 7.1D

The undersigned hereby certifies that he conferred with Jason Zakia and Charles Koster at White & Case, counsel to the Debtors, and counsel were unable to agree on the disposition of this motion.

/s/ Jason S. Brookner

Jason S. Brookner

Certificate of Service

The undersigned hereby certifies that on the 28th day of May, 2024, he caused a true and correct copy of the foregoing document to be served via the Court's CM/ECF system. In addition, a copy of the foregoing was served via electronic mail on the other parties to this appeal, as set forth below.

/s/ Jason S. Brookner

Jason S. Brookner

Charles R. Koster
WHITE & CASE LLP
609 Main Street, Suite 2900
Houston, TX 77002
Telephone: (713) 496-9700
Facsimile: (713) 496-9701
Email: charles.koster@whitecase.com

Bojan Guzina
Jason N. Zakia
Andrew F. O'Neill
Erin R. Rosenberg
Blair M. Warner
Adam T. Swingle
WHITE & CASE LLP
111 South Wacker Drive, Suite 5100
Chicago, IL 60606
Telephone: (312) 881-5400
Email: bojan.guzina@whitecase.com
jzakia@whitecase.com
aoneill@whitecase.com
erin.rosenberg@whitecase.com
blair.warner@whitecase.com
adam.swingle@whitecase.com

COUNSEL TO THE DEBTORS

John F. Higgins
Eric M. English
James A. Keefe
PORTER HEDGES LLP
1000 Main Street, 36th Floor
Houston, TX 77002
Telephone: (713) 226-6000
Facsimile: (713) 226-6248
E-mail: jhiggins@porterhedges.com
eenglish@porterhedges.com
jkeefe@porterhedges.com

GIBSON, DUNN & CRUTCHER LLP
Scott J. Greenberg
Keith R. Martorana
C. Lee Wilson
200 Park Avenue
New York, New York 10166
Telephone: (212) 351-4000
Facsimile: (212) 351-4035
Email: sgreenberg@gibsondunn.com
kmartorana@gibsondunn.com
clwilson@gibsondunn.com

GIBSON, DUNN & CRUTCHER LLP
Michelle Choi
333 South Grand Avenue
Los Angeles, California 90071
Telephone: (213) 229-7000
Facsimile: (213) 229-7520
Email: mchoi@gibsondunn.com

**COUNSEL TO THE
FIRST LIEN AD HOC GROUP**

From: Matthew Hoffman <mhoffman@cerberus.com>
Sent: Tuesday, March 19, 2024 11:00 AM
To: Sheaffer, Paul
Cc: de Gosztonyi, Daniel; Mundi, Sharan; Harianawala, Arif; Marc Millman; Jordan Wolfe
Subject: Converge One

Paul,

Hope all is well. The loan is now trading on a bigboy and I know guys inside the small group are buying. We would like to be included as I have noted to Silverpoint, Monarch, and Kennedy Lewis very directly. I don't see why we would be on the outside here and as noted we have a very close relationships with the company's board. I would ask you and Scott G to request we be brought into the fold here. If there is some level of entry on size, let me know. We are involved in many names with these folks, do not poke us in the eye pls. I'm around to chat today if helpful, thanks.

Matt Hoffman
CERBERUS CAPITAL MANAGEMENT, L.P.
875 Third Avenue | NEW YORK, NY 10022
(O) 646-885-3854 | (M) 908-463-1301 (No text)
(F) 646-885-3855
mhoffman@cerberus.com

From: Sheaffer, Paul <Sheaffer@pjtpartners.com>
Sent: Thursday, February 15, 2024 9:34 AM
To: Matthew Hoffman <mhoffman@cerberus.com>
Cc: de Gosztonyi, Daniel <daniel.degosztonyi@pjtpartners.com>; Mundi, Sharan <Sharan.Mundi@pjtpartners.com>; Harianawala, Arif <Arif.Harianawala@pjtpartners.com>
Subject: [EXTERNAL] RE: RE: RE: Re: RE: Converge One

*** EXTERNAL EMAIL ***

Yes, we'll cleanse the forecast we send you.

From: Matthew Hoffman <mhoffman@cerberus.com>
Sent: Thursday, February 15, 2024 9:31 AM
To: Sheaffer, Paul <Sheaffer@pjtpartners.com>
Cc: de Gosztonyi, Daniel <daniel.degosztonyi@pjtpartners.com>; Mundi, Sharan <Sharan.Mundi@pjtpartners.com>; Harianawala, Arif <Arif.Harianawala@pjtpartners.com>
Subject: RE: [EXTERNAL] RE: RE: RE: RE: Converge One

CAUTION: Email originated outside of PJT Partners. Use care when clicking on links or opening attachments.

Would be helpful if they will be cleansed. If not then ok to not receive. Thx.

Matt Hoffman
CERBERUS CAPITAL MANAGEMENT, L.P.
875 Third Avenue | NEW YORK, NY 10022
(O) 646-885-3854 | (M) 908-463-1301
(F) 646-885-3855
mhoffman@cerberus.com

From: Sheaffer, Paul <Sheaffer@pitpartners.com>
Sent: Thursday, February 15, 2024 9:28 AM
To: Matthew Hoffman <mhoffman@cerberus.com>
Cc: de Gosztanyi, Daniel <daniel.degosztanyi@pitpartners.com>; Mundi, Sharan <Sharan.Mundi@pitpartners.com>;
Harianawala, Arif <Arif.Harianawala@pitpartners.com>
Subject: [EXTERNAL] RE: RE: RE: Converge One

*** EXTERNAL EMAIL ***

We can share projections post transaction if helpful.

Arif – can you attach the projections?

From: Matthew Hoffman <mhoffman@cerberus.com>
Sent: Thursday, February 15, 2024 9:26 AM
To: Sheaffer, Paul <Sheaffer@pitpartners.com>
Subject: RE: [EXTERNAL] RE: RE: RE: Converge One

CAUTION: Email originated outside of PJT Partners. Use care when clicking on links or opening attachments.

Do you have a deck from the company on projections you have shared w Ad-Hoc or others?

Matt Hoffman
CERBERUS CAPITAL MANAGEMENT, L.P.
875 Third Avenue | NEW YORK, NY 10022
(O) 646-885-3854 | (M) 908-463-1301
(F) 646-885-3855
mhoffman@cerberus.com

From: Sheaffer, Paul <Sheaffer@pitpartners.com>
Sent: Thursday, February 15, 2024 9:02 AM
To: Matthew Hoffman <mhoffman@cerberus.com>
Subject: [EXTERNAL] RE: RE: RE: Converge One

*** EXTERNAL EMAIL ***

Thanks – need feedback. I'm around

From: Matthew Hoffman <mhoffman@cerberus.com>
Sent: Wednesday, February 14, 2024 8:09 PM
To: Sheaffer, Paul <Sheaffer@pitpartners.com>
Subject: Re: [EXTERNAL] Re: RE: Converge One

CAUTION: Email originated outside of PJT Partners. Use care when clicking on links or opening attachments.

Paul - Got pulled into another larger complex deal today and still going. Will connect in am, have a good evening.

Matt Hoffman
CERBERUS CAPITAL MANAGEMENT, L.P.
875 Third Avenue | NEW YORK, NY 10022
(O) +1 646-885-3854 | (M) +1 908-463-1301 (No text)
(F) +1 646-885-3855
mhoffman@cerberus.com

From: Sheaffer, Paul <Sheaffer@pitpartners.com>
Sent: Friday, February 9, 2024 5:33:48 PM
To: Matthew Hoffman <mhoffman@cerberus.com>
Cc: Marc Millman <mmillman@cerberus.com>; Jordan Wolfe <jwolfe@cerberus.com>
Subject: [EXTERNAL] Re: RE: Converge One

***** EXTERNAL EMAIL *****

Hi Matt - have been traveling today.

Want to talk Monday morning?
Sent from my iPhone

On Feb 9, 2024, at 11:50 AM, Matthew Hoffman <mhoffman@cerberus.com> wrote:

CAUTION: Email originated outside of PJT Partners. Use care when clicking on links or opening attachments.

Paul,

Hope you are well. It appears we have been put on the outside of something that is going on in this name. I have gathered this from conversations with a few holders though I have no specific information of any sort. We were included in this group from close to the onset and we will not be on the outside of a deal that may hurt minority creditors. Please give me a ring to discuss assuming you are still engaged.

Matt Hoffman
CERBERUS CAPITAL MANAGEMENT, L.P.
875 Third Avenue | NEW YORK, NY 10022
(O) 646-885-3854 | (M) 908-463-1301
(F) 646-885-3855
mhoffman@cerberus.com

From: Sheaffer, Paul <Sheaffer@pjtpartners.com>
Sent: Wednesday, May 31, 2023 3:20 PM
To: Matthew Hoffman <mhoffman@cerberus.com>
Subject: [EXTERNAL] RE: Converge One

Matt – sorry been tied up. You free around 4?

From: Matthew Hoffman <mhoffman@cerberus.com>
Sent: Wednesday, May 31, 2023 12:11 PM
To: Sheaffer, Paul <Sheaffer@pjtpartners.com>
Subject: RE: [EXTERNAL] Converge One

CAUTION: Email originated outside of PJT Partners. Use care when clicking on links or opening attachments.

Call me on this.

Matt Hoffman
CERBERUS CAPITAL MANAGEMENT, L.P.
875 Third Avenue | NEW YORK, NY 10022
(O) 646-885-3854 | (M) 908-463-1301
(F) 646-885-3855
mhoffman@cerberus.com

From: Sheaffer, Paul <Sheaffer@pjtpartners.com>
Sent: Friday, May 19, 2023 9:29 AM
To: Jacob Zand <jzand@cerberus.com>; Matthew Hoffman <mhoffman@cerberus.com>; Rickardo Francis <RFrancis@cerberus.com>
Cc: Baird, Jamie <Baird@pjtpartners.com>; Evarts, William <Evarts@pjtpartners.com>
Subject: [EXTERNAL] Converge One

Hey guys –

Hope all is well.

Is one of you close to Converge One? We're trying to get to lenders on it today.

From: Jacob Zand <jzand@cerberus.com>
Sent: Tuesday, February 14, 2023 2:21 PM
To: Marc Millman <mmillman@cerberus.com>; Jordan Wolfe <jwolfe@cerberus.com>
Cc: Sheaffer, Paul <Sheaffer@pjtpartners.com>; Matthew Hoffman <mhoffman@cerberus.com>; Rickardo Francis <RFrancis@cerberus.com>
Subject: RE: [EXTERNAL] Veritas

CAUTION: Email originated outside of PJT Partners. Use care when clicking on links or opening attachments.

Paul –

Hope all is well. Marc Millman / Jordan Wolfe cover on our side and know well. They are on this email. Hopefully you guys can catch up.

Jacob Zand
jzand@cerberus.com
T: 646-885-3034
C: 917-969-6019

From: Sheaffer, Paul <Sheaffer@pjtpartners.com>
Sent: Tuesday, February 14, 2023 2:18 PM
To: Matthew Hoffman <mhoffman@cerberus.com>; Rickardo Francis <RFrancis@cerberus.com>; Jacob Zand <jzand@cerberus.com>
Subject: [EXTERNAL] Veritas

Hey guys –

Is someone at your team looking into this one? have been tracking on and off for last few years.

Would be great to compare notes if you are covering.

Paul Sheaffer
Partner
PJT Partners
280 Park Avenue | New York, NY 10017
office / text. +1.212.364.2435 | mobile. +1.646.402.4943

This message and any attachment are confidential and may be privileged or otherwise protected from disclosure. If you are not an intended recipient of an electronic communication, please notify the sender immediately, delete the message and do not act upon, print, disclose, copy, retain or redistribute any portion or contents to any other person. Please refer to www.pjtpartners.com/email-disclaimer for important disclosures regarding this electronic communication, including information if you are not the intended recipient.

***** EXTERNAL EMAIL *****

CERBERUS EMPLOYEES SOLELY COMMUNICATE ELECTRONICALLY VIA THEIR CERBERUS E-MAIL ADDRESS OR THROUGH MICROSOFT TEAMS. PLEASE DO NOT USE TEXT MESSAGING, ANY SOCIAL MEDIA OR MESSAGING APP, OR ANY OTHER MEANS OF COMMUNICATION.

This e-mail (including any attachments) contains confidential information and may be read, copied and used only by the intended recipient. It may also contain information that may be legally privileged and/or deemed to be material non-public information. If you have received this email by mistake, please notify the sender immediately by e-mail and delete this e-mail from your system. Any unauthorized copying, storage, disclosure, distribution or other use of the material in this e-mail and any attachment is strictly forbidden. E-mail transmissions cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability for any errors or omissions in the contents of this e-mail and any attachment which arise as a result of e-mail transmission. This message is provided for informational purposes and should not be construed as a solicitation or offer to buy or sell any securities or related financial instruments. For more information about how we collect and process any personal information about you, please refer to: <https://www.cerberus.com/privacy-policy/>.

Paul Sheaffer
Partner
PJT Partners
280 Park Avenue | New York, NY 10017
office / text. +1.212.364.2435 | mobile. +1.646.402.4943

***** EXTERNAL EMAIL *****

CERBERUS EMPLOYEES SOLELY COMMUNICATE ELECTRONICALLY VIA THEIR CERBERUS E-MAIL ADDRESS OR THROUGH MICROSOFT TEAMS. PLEASE DO NOT USE TEXT MESSAGING, ANY SOCIAL MEDIA OR MESSAGING APP, OR ANY OTHER MEANS OF COMMUNICATION.

This e-mail (including any attachments) contains confidential information and may be read, copied and used only by the intended recipient. It may also contain information that may be legally privileged and/or deemed to be material non-public information. If you have received this email by mistake, please notify the sender immediately by e-mail and delete this e-mail from your system. Any unauthorized copying, storage, disclosure, distribution or other use of the material in this e-mail and any attachment is strictly forbidden. E-mail transmissions cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability for any errors or omissions in the contents of this e-mail and any attachment which arise as a result of e-mail transmission. This message is provided for informational purposes and should not be construed as a solicitation or offer to buy or sell any securities or related financial instruments. For more information about how we collect and process any personal information about you, please refer to: <https://www.cerberus.com/privacy-policy/>.

***** EXTERNAL EMAIL *****

CERBERUS EMPLOYEES SOLELY COMMUNICATE ELECTRONICALLY VIA THEIR CERBERUS E-MAIL ADDRESS OR THROUGH MICROSOFT TEAMS. PLEASE DO NOT USE TEXT MESSAGING, ANY SOCIAL MEDIA OR MESSAGING APP, OR ANY OTHER MEANS OF COMMUNICATION.

This e-mail (including any attachments) contains confidential information and may be read, copied and used only by the intended recipient. It may also contain information that may be legally privileged and/or deemed to be material non-public information. If you have received this email by mistake, please notify the sender immediately by e-mail and delete this e-mail from your system. Any unauthorized copying, storage, disclosure, distribution or other use of the material in this e-mail and any attachment is strictly forbidden. E-mail transmissions cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability for any errors or omissions in the contents of this e-mail and any attachment which arise as a result of e-mail transmission. This message is provided for informational purposes and should not be construed as a solicitation or offer to buy or sell any securities or related financial instruments. For more information about how we collect and process any personal information about you, please refer to: <https://www.cerberus.com/privacy-policy/>.

CERBERUS EMPLOYEES SOLELY COMMUNICATE ELECTRONICALLY VIA THEIR CERBERUS E-MAIL ADDRESS OR THROUGH MICROSOFT TEAMS. PLEASE DO NOT USE TEXT MESSAGING, ANY SOCIAL MEDIA OR MESSAGING APP, OR ANY OTHER MEANS OF COMMUNICATION.

This e-mail (including any attachments) contains confidential information and may be read, copied and used only by the intended recipient. It may also contain information that may be legally privileged and/or deemed to be material non-public information. If you have received this email by mistake, please notify the sender immediately by e-mail and delete this e-mail from your system. Any unauthorized copying, storage, disclosure, distribution or other use of the material in this e-mail and any attachment is strictly forbidden. E-mail transmissions cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability for any errors or omissions in the contents of this e-mail and any attachment which arise as a result of e-mail transmission. This message is provided for informational

purposes and should not be construed as a solicitation or offer to buy or sell any securities or related financial instruments. For more information about how we collect and process any personal information about you, please refer to: <https://www.cerberus.com/privacy-policy/>.

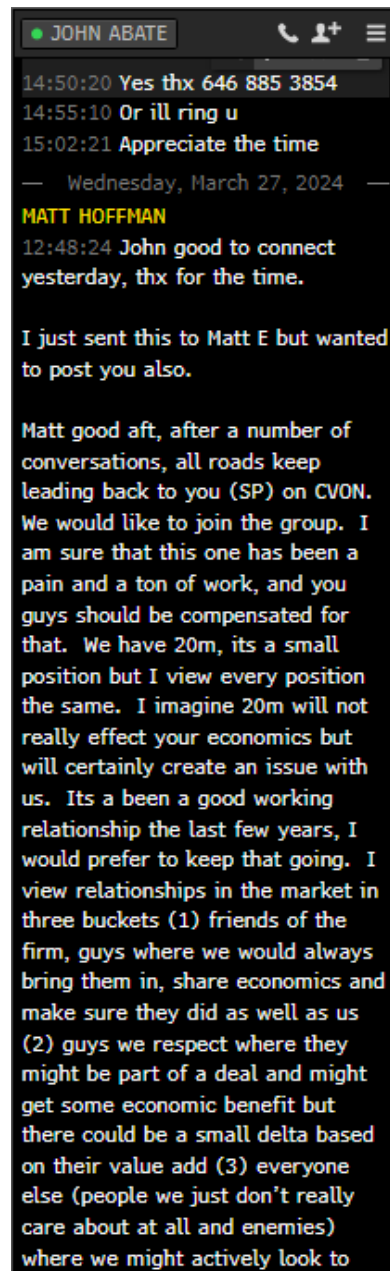
CERBERUS EMPLOYEES SOLELY COMMUNICATE ELECTRONICALLY VIA THEIR CERBERUS E-MAIL ADDRESS OR THROUGH MICROSOFT TEAMS. PLEASE DO NOT USE TEXT MESSAGING, ANY SOCIAL MEDIA OR MESSAGING APP, OR ANY OTHER MEANS OF COMMUNICATION.

This e-mail (including any attachments) contains confidential information and may be read, copied and used only by the intended recipient. It may also contain information that may be legally privileged and/or deemed to be material non-public information. If you have received this email by mistake, please notify the sender immediately by e-mail and delete this e-mail from your system. Any unauthorized copying, storage, disclosure, distribution or other use of the material in this e-mail and any attachment is strictly forbidden. E-mail transmissions cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability for any errors or omissions in the contents of this e-mail and any attachment which arise as a result of e-mail transmission. This message is provided for informational purposes and should not be construed as a solicitation or offer to buy or sell any securities or related financial instruments. For more information about how we collect and process any personal information about you, please refer to: <https://www.cerberus.com/privacy-policy/>.

CERBERUS EMPLOYEES SOLELY COMMUNICATE ELECTRONICALLY VIA THEIR CERBERUS E-MAIL ADDRESS OR THROUGH MICROSOFT TEAMS. PLEASE DO NOT USE TEXT MESSAGING, ANY SOCIAL MEDIA OR MESSAGING APP, OR ANY OTHER MEANS OF COMMUNICATION.

This e-mail (including any attachments) contains confidential information and may be read, copied and used only by the intended recipient. It may also contain information that may be legally privileged and/or deemed to be material non-public information. If you have received this email by mistake, please notify the sender immediately by e-mail and delete this e-mail from your system. Any unauthorized copying, storage, disclosure, distribution or other use of the material in this e-mail and any attachment is strictly forbidden. E-mail transmissions cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability for any errors or omissions in the contents of this e-mail and any attachment which arise as a result of e-mail transmission. This message is provided for informational purposes and should not be construed as a solicitation or offer to buy or sell any securities or related financial instruments. For more information about how we collect and process any personal information about you, please refer to: <https://www.cerberus.com/privacy-policy/>.

Exhibit I



exclude or worse. I have asked a few times to be part of the solution here and been rebuffed, to me this seems like you're putting us in bucket (3).

This is very surprising and not how I thought of the relationship between Cerberus and SP. Our recent convo where I made outgoing calls to you initially and to the guys in CFIELD group afterwards (some who were very against you coming in and now are not) should have made you guys know I view us as (1) or at worst (2).

We'd really rather not go to war here but if we aren't included in your group, we won't have an option other than joining the opposing group to propose an alternative DIP and equity infusion

to the company. In situations like this where we are materially excluded from the economics associated with an LME, our policy is to pursue any and all remedies as aggressively as possible.

Our preference is to work with your group and get this in and out of court as quickly as possible to preserve the company's reputation and allow it to win new business. We believe we have useful operational assets that can support that process as well.

Let me know your thoughts. [Show less](#)

JOHN ABATE

12:50:13 As you know, we are restricted. We will catch up once all has calmed down and discuss.

Exhibit J

From: Matthew Hoffman <mhoffman@cerberus.com>
Sent: Thursday, April 4, 2024 9:25 PM
To: Martorana, Keith R.
Subject: Re: [EXTERNAL] Re: Converge One

Thanks for ring back. We are going to chat in am w Paul to have him walk us though this. Seems like there is some tiering even of guys in the 81%. It is extremely greedy by these guys to intentionally carve 18% out of this. Reads like TPCG which was vigorously challenged. People keep saying "but you guys are small" and I keep saying, size doesn't matter you misunderstand the board.

Matt Hoffman
CERBERUS CAPITAL MANAGEMENT, L.P.
875 Third Avenue | NEW YORK, NY 10022
(O) +1 646-885-3854 | (M) +1 908-463-1301 (No text)
(F) +1 646-885-3855
mhoffman@cerberus.com

From: Matthew Hoffman
Sent: Thursday, April 4, 2024 2:40:16 PM
To: Martorana, Keith R. <KMartorana@gibsondunn.com>
Cc: Silverman, Stephen D. <SSilverman@gibsondunn.com>; Jordan Wolfe <jwolfe@cerberus.com>; Marc Millman <mmillman@cerberus.com>
Subject: RE: [EXTERNAL] Re: Converge One

Keith can you call me?

Matt Hoffman
CERBERUS CAPITAL MANAGEMENT, L.P.
875 Third Avenue | NEW YORK, NY 10022
(O) 646-885-3854 | (M) 908-463-1301
(F) 646-885-3855
mhoffman@cerberus.com

From: Martorana, Keith R. <KMartorana@gibsondunn.com>
Sent: Wednesday, March 27, 2024 8:22 AM
To: Matthew Hoffman <mhoffman@cerberus.com>
Cc: Silverman, Stephen D. <SSilverman@gibsondunn.com>; Jordan Wolfe <jwolfe@cerberus.com>; Marc Millman <mmillman@cerberus.com>
Subject: Re: [EXTERNAL] Re: Converge One

*** EXTERNAL EMAIL ***

Hi Matt - good to connect with you again. I can speak today - how about 11:00?

Keith Martorana

GIBSON DUNN

Gibson, Dunn & Crutcher LLP
200 Park Avenue, New York, NY 10166-0193
Tel +1 212.351.3991 • Fax +1 212.351.6391
KMartorana@gibsondunn.com • www.gibsondunn.com

On Mar 26, 2024, at 9:55 PM, Matthew Hoffman <mhoffman@cerberus.com> wrote:

[WARNING: External Email]

Understood and appreciated. Moved to bcc, save you.

Keith - Good to connect again. I understand there are some larger players here. It would be good to speak live if you can tomorrow am.

Matt Hoffman
CERBERUS CAPITAL MANAGEMENT, L.P.
875 Third Avenue | NEW YORK, NY 10022
(O) +1 646-885-3854 | (M) +1 908-463-1301 (No text)
(F) +1 646-885-3855
mhoffman@cerberus.com

From: Greenberg, Scott J. <SGreenberg@gibsondunn.com>
Sent: Tuesday, March 26, 2024 9:50:46 PM
To: Matthew Hoffman <mhoffman@cerberus.com>
Cc: Silverman, Stephen D. <SSilverman@gibsondunn.com>; Jordan Wolfe <jwolfe@cerberus.com>; Marc Millman <mmillman@cerberus.com>; Martorana, Keith R. <KMartorana@gibsondunn.com>
Subject: [EXTERNAL] Re: Converge One

***** EXTERNAL EMAIL *****

Matt Copying Keith. Been underwater and Keiths handling. There have been larger guys restricted for a bit including the folks you named below.

Scott

Sent from my iPad

On Mar 26, 2024, at 9:43 PM, Matthew Hoffman <mhoffman@cerberus.com> wrote:

[WARNING: External Email]

Guys,

Hope all is well. I know you have been busy. I spoke to W&C earlier. It seems like we are close to some form of process kicking off here. I have asked in the past that we be included in a group, as had been the case in early/mid 2023, and we have offered a few times to get restricted. We own ~20m 1L and as noted in the past have some quite useful operational resources we think we can bring to bear here. We

would like to be part of the solution here and have expressed the same to Silverpoint, Monarch and Kennedy Lewis. I think wrt the go forward business we can be helpful. Please let me know your thoughts.

Matt Hoffman
CERBERUS CAPITAL MANAGEMENT, L.P.
875 Third Avenue | NEW YORK, NY 10022
(O) 646-885-3854 | (M) 908-463-1301
(F) 646-885-3855
mhoffman@cerberus.com

From: Matthew Hoffman <mhoffman@cerberus.com>
Sent: Wednesday, June 21, 2023 7:40 PM
To: Greenberg, Scott J. <SGreenberg@gibsondunn.com>; Marc Millman <mmillman@cerberus.com>
Cc: Jordan Wolfe <jwolfe@cerberus.com>; Silverman, Stephen D. <SSilverman@gibsondunn.com>
Subject: Re: [EXTERNAL] Re: CV1

Thanks Scott, we get it, smooth travels and chat soon.

Matt Hoffman
CERBERUS CAPITAL MANAGEMENT, L.P.
875 Third Avenue | NEW YORK, NY 10022
(O) 646-885-3854 | (M) 908-463-1301
(F) 646-885-3855
mhoffman@cerberus.com

From: Greenberg, Scott J. <SGreenberg@gibsondunn.com>
Sent: Wednesday, June 21, 2023 3:44 PM
To: Marc Millman <mmillman@cerberus.com>
Cc: Jordan Wolfe <jwolfe@cerberus.com>; Matthew Hoffman <mhoffman@cerberus.com>; Silverman, Stephen D. <SSilverman@gibsondunn.com>
Subject: [EXTERNAL] Re: CV1

Traveling back from vacation today so on flights most of day. Top 5 guys in terms of size are restricting to start the dialogue. Company wasn't willing to restrict a huge number of lenders so asked for top holders for now.
Sent from my iPhone

On Jun 21, 2023, at 8:38 AM, Marc Millman <mmillman@cerberus.com> wrote:

[WARNING: External Email]

Scott –

We heard through the grapevine that lenders are on the cusp of getting restricted on ConvergeOne? Is this the case? Do you have time for a quick conversation today?

Marc

Marc Millman

CERBERUS CAPITAL MANAGEMENT, L.P.

11812 San Vicente Blvd, Suite 300 | LOS ANGELES, CA 90049

(O) 310-903-5015 | (M) 646-388-1306

mmillman@cerberus.com

CERBERUS EMPLOYEES SOLELY COMMUNICATE ELECTRONICALLY VIA THEIR CERBERUS E-MAIL ADDRESS OR THROUGH MICROSOFT TEAMS. PLEASE DO NOT USE TEXT MESSAGING, ANY SOCIAL MEDIA OR MESSAGING APP, OR ANY OTHER MEANS OF COMMUNICATION.

This e-mail (including any attachments) contains confidential information and may be read, copied and used only by the intended recipient. It may also contain information that may be legally privileged and/or deemed to be material non-public information. If you have received this email by mistake, please notify the sender immediately by e-mail and delete this e-mail from your system. Any unauthorized copying, storage, disclosure, distribution or other use of the material in this e-mail and any attachment is strictly forbidden. E-mail transmissions cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability for any errors or omissions in the contents of this e-mail and any attachment which arise as a result of e-mail transmission. This message is provided for informational purposes and should not be construed as a solicitation or offer to buy or sell any securities or related financial instruments. For more information about how we collect and process any personal information about you, please refer to: <https://www.cerberus.com/privacy-policy/>.

This message may contain confidential and privileged information for the sole use of the intended recipient. Any review, disclosure, distribution by others or forwarding without express permission is strictly prohibited. If it has been sent to you in error, please reply to advise the sender of the error and then immediately delete this message.

Please see our website at <https://www.gibsondunn.com/> for information regarding the firm and/or our privacy policy.

***** EXTERNAL EMAIL *****

CERBERUS EMPLOYEES SOLELY COMMUNICATE ELECTRONICALLY VIA THEIR CERBERUS E-MAIL ADDRESS OR THROUGH MICROSOFT TEAMS. PLEASE DO NOT USE TEXT MESSAGING, ANY SOCIAL MEDIA OR MESSAGING APP, OR ANY OTHER MEANS OF COMMUNICATION.

This e-mail (including any attachments) contains confidential information and may be read, copied and used only by the intended recipient. It may also contain information that may be legally privileged and/or deemed to be material non-public information. If you have received this email by mistake, please notify the sender immediately by e-mail and delete this e-mail from your system. Any unauthorized copying, storage, disclosure, distribution or other use of the material in this e-mail and any attachment is strictly forbidden. E-mail transmissions cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability for any errors or omissions in the contents of this e-mail and any attachment which arise as a result of e-mail transmission. This message is provided for informational purposes and should not be construed as a solicitation or offer to buy or sell any securities or related financial instruments. For more information about how we collect and process any personal information about you, please refer to: <https://www.cerberus.com/privacy-policy/>.

This message may contain confidential and privileged information for the sole use of the intended recipient. Any review, disclosure, distribution by others or forwarding without express permission is strictly prohibited. If it has been sent to you in error, please reply to advise the sender of the error and then immediately delete this message.

Please see our website at <https://www.gibsondunn.com/> for information regarding the firm and/or our privacy policy.

CERBERUS EMPLOYEES SOLELY COMMUNICATE ELECTRONICALLY VIA THEIR CERBERUS E-MAIL ADDRESS OR THROUGH MICROSOFT TEAMS. PLEASE DO NOT USE TEXT MESSAGING, ANY SOCIAL MEDIA OR MESSAGING APP, OR ANY OTHER MEANS OF COMMUNICATION.

This e-mail (including any attachments) contains confidential information and may be read, copied and used only by the intended recipient. It may also contain information that may be legally privileged and/or deemed to be material non-public information. If you have received this email by mistake, please notify the sender immediately by e-mail and delete this e-mail from your system. Any unauthorized copying, storage, disclosure, distribution or other use of the material in this e-mail and any attachment is strictly forbidden. E-mail transmissions cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability for any errors or omissions in the contents of this e-mail and any attachment which arise as a result of e-mail transmission. This message is provided for informational purposes and should not be construed as a solicitation or offer to buy or sell any securities or related financial instruments. For more information about how we collect and process any personal information about you, please refer to: <https://www.cerberus.com/privacy-policy/>.

This message may contain confidential and privileged information for the sole use of the intended recipient. Any review, disclosure, distribution by others or forwarding without express permission is strictly prohibited. If it has been sent to you in error, please reply to advise the sender of the error and then immediately delete this message.

Please see our website at <https://www.gibsondunn.com/> for information regarding the firm and/or our privacy policy.

ENTERED

September 25, 2025

Nathan Ochsner, Clerk

**IN THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF TEXAS
HOUSTON DIVISION**

In re:	§	
	§	
CONVERGEONE HOLDINGS, INC., <i>et al.</i> ,	§	Civil Case No. 4:24-cv-02001
<i>Debtors/Appellees</i> ,	§	
	§	Bankruptcy Case No. 24-90194
	§	
Ad Hoc Group of Excluded Lenders,	§	
<i>Appellant</i> .	§	

ORDER

Certain lenders ask the Court to overrule the bankruptcy court’s approval of the confirmed bankruptcy Plan to the extent it overruled Appellant’s objection based upon the ground that the Plan violated 11 U.S.C. § 1123(a)(4) by giving a few preferred creditors exclusive investment opportunities that resulted in their receiving higher recoveries than others similarly situated. ConvergeOne Holdings, Inc., and several of its subsidiaries (collectively, “Debtors”) and Intervenor First Lien Ad Hoc Group (“Majority Lenders”) argue that the Plan should be upheld because, rather than treating certain class members differently, the Plan merely allowed additional recoveries in exchange for additional financial obligations. *See* (Doc. Nos. 33, 35). As explained below, the Court holds that the Plan authorizes unequal treatment of creditors for their claims and, thus, violates 11 U.S.C. § 1123(a)(4).

I. FACTUAL BACKGROUND

This matter arises from the bankruptcy filed by ConvergeOne Holdings, Inc., and its affiliated companies (the “Debtors”). (Doc. No. 31 at App. 003). The Debtors are in the information technologies sector and provide services such as cybersecurity, software development, cloud computing, and application and software development. (*Id.* at App. 037–038) (Declaration

of S. Lombardi). Though headquartered in Minnesota, Debtors filed their Chapter 11 bankruptcy case in the Houston Division of the Southern District of Texas.

Before filing, however, Debtors reached a restructuring agreement with approximately 81% of their first and second lien holders. (*Id.* at App. 039). Starting in mid to late December 2024, Debtors conducted extensive negotiations regarding the agreement with a number of creditor constituencies, including the Debtors' equity sponsor and senior secured lender, CVC Capital Partners ("Insider"). (Doc. No. 36 at Supp. App. 058–060) ("Combined Disclosure Statement and Confirmation Hearing"). This "restructuring support agreement" ("RSA"), was agreed to in expectation of the filing of the "prepackaged Chapter 11 Plan" (hereinafter, the "Plan"). (Doc. No. 31 at App. 213). In fact, the Plan was filed quickly after the RSA was finalized. *See* (Doc. No. 36 at Supp. App. 064) (Roopesh Shah, senior managing director at Evercore (the Debtors' lead investment banker), testified that the RSA was reached "about probably five minutes before we filed this case[.]"); (Doc. No. 31 at App. 1015) (Sherman Edmiston, an independent director of the Debtor, testified that the RSA "wasn't agreed to until maybe the last week before we filed, maybe even later than that."); (*Id.* at App. 064–065) (Declaration of S. Lombardi) (stating the RSA was entered into on April 3, 2024 and the Plan was filed on April 4, 2024).

The RSA was designed in principle to eliminate \$1.6 billion of secured debt. (*Id.* at App. 039) (Declaration of S. Lombardi). In summary, the majority of the first lien holders agreed to take back debt and, in turn, received the right to purchase discounted equity in the reorganized company through an "equity rights offering." (*Id.* at App. 039) (Declaration of S. Lombardi). These lenders are referred to as the Majority Lenders. Those lenders excluded from this opportunity are referred to as the Minority Lenders. The RSA, combined with the Plan, also gave holders of second lien

claims new equity interest in the reorganized Debtor. (*Id.* at App. 040). The RSA also provided payment in full of certain unsecured claims. (*Id.*).

This RSA also included commitments from the Majority Lenders to backstop the equity-rights offering, ensuring that the Debtors would raise sufficient capital to repay debt and support their business after emerging from bankruptcy. (*Id.* at App. 039–040). These “backstoppers” had to reserve capital to satisfy their commitments and were subjected to certain milestones. (Doc. No. 31 at App. 065). In return, they received a 10% premium on their claims through certain discounted equity purchases that were offered exclusively to the backstopping lenders. (*Id.* at App. 039). When analyzing the reasonableness of this consideration provided to the backstop parties, the special committee reviewed their lead investment banker, Evercore’s, analysis comparing the consideration to approximately 25 similar transactions. (Doc. No. 36 at Supp. App. 072). Evercore did not, as part of its analysis, market test the backstop. (*Id.* at Supp. App. 074).

At the time the prepackaged Plan was filed, it had more than 80% support from Debtors’ first and second lien lenders. (*Id.* at Supp. App. 074). Except for the two proposals mentioned below, Debtors had no other restructuring proposals from any other stakeholders. (*Id.* at Supp. App. 075). The Minority Lenders claim, and the Majority Lenders do not dispute, that they were not given any opportunity to participate in the negotiations or discussions leading to the RSA and the filing of the Plan, nor the chance to participate in the backstopping and/or equity purchasing opportunities.

After the Plan was filed, the Minority Lenders objected based on their exclusion from the backstopping and equity-purchasing opportunity. Ultimately, they offered two alternatives, both of which were rejected. (Doc. No. 31 at App. 754–755) (Amended Declaration of K. Lall). The first was based upon the same valuation as the Plan transaction but was allegedly rejected because

it did not address the need to replace the Debtor in Possession (“DIP”) financing facility. The second proposal tried to fix the DIP omission, but it lacked enough support from the stakeholders and, as proffered, more than likely would not have been confirmed. (*Id.* at App. 754–755).

Eventually, the Plan as proposed by the Debtor and Majority Lenders passed with only the Minority Lenders objecting. The Minority Lenders’ primary objection remained that their exclusion from the backstopping and equity-purchase opportunity violated the equal treatment requirements of the Bankruptcy Code.¹ *See* 11 U.S.C. § 1123(a)(4) (“Notwithstanding any otherwise applicable nonbankruptcy law, a plan shall . . . provide the same treatment for each claim or interest of a particular class, unless the holder of a particular claim or interest agrees to a less favorable treatment of such particular claim or interest.”). The Debtors and Majority Lenders argue that the Plan treats all prepetition claims the same because the extra value recovered by the Majority Lenders was consideration for new additional commitments.

The Bankruptcy Court held a two-day hearing which included testimony and argument from all sides. The Bankruptcy Court found the backstop was necessary and reasonable and confirmed the Plan. The Bankruptcy Court made the factual finding that the special committee “negotiated with the overwhelming majority of holders of IL debt extensively and reached consensus on a proposed Plan. The negotiations were extensive and at arm’s-length.” (Doc. No. 31 at App. 1184). Additionally, the Bankruptcy Court rejected the Minority Lenders’ argument that the exclusive opportunity to backstop the equity-rights offering violated Section 1123(a)(4). The Bankruptcy Court did not apply a market-test requirement, holding that neither the United

¹ Minority Lenders also objected on the basis that the Plan was subject to review, and did not pass muster, under the heightened “entire fairness” standard, and that their alternative plan was a viable and confirmable path forward. Those objections have not been raised in this appeal and will therefore not be addressed by the Court.

States Supreme Court nor the Fifth Circuit require it for financing opportunities like the backstopping opportunity at issue here.²

Rather than immediately seeking a stay pending appeal from the Bankruptcy Court, the Minority Lenders waited several days and then filed for a stay in this Court. In addition to seeking the stay, Minority Lenders sought a certification of certain issues to the Fifth Circuit, including whether the Confirmation Plan violated 11 U.S.C. § 1123(a)(4) and was contrary to the Supreme Court's dictates in *Bank of America National Trust & Savings Association v. 203 N. LaSalle St. Partnership*, 526 U.S. 434 (1999). On appeal, this Court entered an order denying the motion for a stay. (Doc. No. 28). The Court found that Minority Lenders had not prevailed on their burden to demonstrate an irreparable injury. The Court also denied a stay on procedural grounds due to both the delay in seeking it, and the fact that Minority Lenders first sought the stay in this Court rather than in the Bankruptcy Court. Finally, the Court denied the motion to certify an interlocutory appeal to the Fifth Circuit. (Doc. No. 28 at 13–14).

After this appeal commenced, the Majority Lenders then filed a motion to dismiss the appeal as equitably moot. (Doc. No. 34). In the motion, Majority Lenders argued that Minority Lenders' failure to obtain a stay, and the substantial consummation of the Plan that followed, meant that Minority Lenders' requested relief would require "unwinding" the Plan and the destruction of third parties' rights. In response, Minority Lenders described the injury as the exclusion from the *opportunity* to backstop the Plan's equity-rights offering, which led to the higher recoveries. Thus, according to Minority Lenders, the Court could fashion complete relief by simply ordering the

² A market test, in this context, is a tool debtors use to determine the fair value for those assets. Market tests have been required in various contexts. *See, e.g., LaSalle*, 526 U.S. at 458; *see also In re Eletson Holdings Inc.*, 664 B.R. 569, 621 (Bankr. S.D.N.Y. 2024). While the metes and bounds of what is precisely required to satisfy a market-test requirement has not been specified, it is undisputed that no such test occurred here.

Majority Lenders to sell to the Minority Lenders the shares of equity that would have been available had they not been excluded. (Doc. No. 41 at 1–2).

The Court denied the motion to dismiss the appeal as equitably moot. (Doc. No. 43). To establish equitable mootness, a debtor must show: 1) the plan of reorganization has not been stayed; 2) the plan has been substantially consummated; and 3) the relief requested by the appellant would either affect the rights of third parties or the success of the plan. *In re Tex. Grand Prairie Hotel Realty, L.L.C.*, 710 F.3d 324, 327 (5th Cir. 2013). While the first two prongs were certainly met, the Court found that relief *could* be granted without unwinding the Plan or unfairly damaging the rights of third parties and, thus, denied the motion to dismiss. (Doc. No. 43).

After the motion to dismiss on equitable mootness grounds was denied, the parties fully briefed the merits of the appeal at issue here. This appeal turns on whether the exclusion of the Minority Lenders from the backstopping opportunity constituted unequal treatment in violation of 11 U.S.C. § 1123(a)(4). *See* (Doc. No. 30 at 9).

Minority Lenders argue that the Plan’s backstopping provision allowed the Majority Lenders to receive, on average, a 30% higher recovery for their claims through exclusive means unavailable to other class members. They argue that under *LaSalle*, this additional consideration constitutes unequal treatment because: (1) the investment opportunity itself was exclusive to certain stakeholders for their claims and interests; and (2) the investment opportunity was not market tested to establish that the investment had the best possible terms for the debtor. (Doc. No. 40 at 6) (citing *Bank Am. Nat. Tr. Sav. v. 203 N. Lasalle*, 526 U.S. 434 (1999)).

Majority Lenders do not dispute their higher recovery but argue that the Plan does not result in unequal treatment of similar situated creditors. Instead, Debtors simply provided them with more consideration in exchange for the additional financial obligation of backstopping the equity-

rights offering. (Doc. No. 35 at 13). In essence, Majority Lenders argue that the Plan treats every member of the First Lien Term class equally, and that the backstopping opportunity was merely a separate agreement that involved additional consideration for additional obligations. (Doc. No. 33 at 3).

II. LEGAL STANDARDS

District courts are given jurisdiction to review appeals from the bankruptcy courts under 28 U.S.C. § 158(a)(1). Generally, district courts apply the same standard of review for bankruptcy court decisions as appellate courts apply to district court decisions. *Webb v. Reserve Life Ins. Co.* (*In re Webb*), 954 F.2d 1102, 1103–04 (5th Cir. 1992). Findings of fact are reviewed for clear error; issues of law and mixed questions of law and fact are reviewed *de novo*. *Szwak v. Earwood* (*In re Bodenheimer, Jones, Szwak, & Winchell L.L.P.*), 592 F.3d 664, 668 (5th Cir. 2009); *see also* *Wooley v. Faulkner* (*In re SI Restructuring, Inc.*), 542 F.3d 131, 134–35 (5th Cir. 2008).

This Court “may affirm for any reason supported by the record, even if not [explicitly] relied on by the [bankruptcy] court.” *United States v. Gonzalez*, 592 F.3d 675, 681 (5th Cir. 2009); *In re Brown*, No. 4:18-CV-04416, 2020 WL 730878, at *1 (S.D. Tex. Feb. 13, 2020). Here, the Majority and Minority Lenders disagree on whether the issue presented is a pure question of law, or whether it involves mixed questions of fact and law. Regardless, the Court applies a *de novo* standard of review. *Szwak*, 592 F.3d at 668.

III. ANALYSIS

It is undisputed that Debtors entered Chapter 11 with a pre-packaged Plan. The Plan incorporated the salient terms of the pre-filing RSA, which funded the Debtors’ emergence from bankruptcy by raising \$245 million via an equity-rights offering at a 35% discount to the stipulated equity value of Debtors under the Plan. It is undisputed that the Majority Lenders and the Minority

Lenders are in the same class for bankruptcy purposes. Finally, it is undisputed that the Plan was backstopped by certain members of the First Lien Ad Hoc Group (Majority Lenders) for a return fee equal to 10% of the total equity raised. Minority Lenders argue that the Plan should have either offered the backstopping opportunity to all class members or, at least, subjected the opportunity to a market test. (Doc. No. 30 at 2). Therefore, the question on appeal is whether offering the backstopping opportunity to some creditors within a particular class, but not others, is “unequal treatment” under 11 U.S.C. § 1123(a)(4). In short, it is.

A. Prevailing Legal Framework

The analysis begins with the relevant statutory text. Under 11 U.S.C. § 1123(a)(4), a plan must “provide the same treatment for each claim or interest of a particular class, unless the holder of a particular claim or interest agrees to a less favorable treatment of such particular claim or interest.” This provision recognizes that equality of distribution among similarly situated creditors is “a central policy of the Bankruptcy Code.” *Begier v. IRS*, 496 U.S. 53, 58 (1990). The Bankruptcy Code does not define “equal treatment,” however, and the United States Supreme Court has not dealt with § 1123(a)(4) to any meaningful depth. *See In re AOV Indus., Inc.*, 792 F.2d 1140, 1152 (D.C. Cir. 1986).

While different in substance, Minority Lenders rely heavily on the similarity in structure between § 1123(a)(4), and another provision of the Code—namely, 11 U.S.C. § 1129(b). *See* (Doc. No. 30) (citing *See Bank of Am. Nat. Tr. & Sav. Ass’n v. 203 N. LaSalle St. P’ship*, 526 U.S. 434, 437 (1999); *Braun v. America-CV Station Group, Inc. (In re America-CV Station Group, Inc.)*, 56 F. 4th 1302 (11th Cir. 2023)). In summary, Section 1129(b) requires that a reorganization plan may not give “property” to the holders of junior claims or interests “on account of” those claims unless all classes of senior claims either receive the full value of their claims or give their consent.

See 11 U.S.C. § 1129(b)(2)(B); *see also In re DBSD N. Am., Inc.*, 634 F.3d 79, 88 (2d Cir. 2011).

This requirement is referred to as the “absolute priority rule.” *In re DBSD*, 634 F.3d at 88.

Both § 1123 and § 1129 set out certain parameters which parties need to follow in designing a plan to distribute assets from a debtor’s estate. *Czyzewski v. Jevic Holding Corp.*, 580 U.S. 451, 455 (2017). Like § 1123(a)(4)’s equal-treatment requirement, § 1129(b)’s absolute-priority rule was “developed in response to ‘concern for the ability of a few insiders, whether representatives of management or major creditors, to use the reorganization process to gain an unfair advantage.’” *Id.* at 987 (citing *LaSalle*, 526 U.S. at 444).

In *LaSalle*, the Supreme Court addressed the absolute-priority rule found in § 1129(b), not the equal treatment rule in § 1123(a)(4) at issue here, but its dictates are nonetheless instructive. *LaSalle*, 526 U.S. at 437 (“We hold that old equity holders are disqualified from participating in such a ‘new value’ transaction by the terms of 11 U.S.C. § 1129(b)(2)(B)(ii), which in such circumstances bars a junior interest holder’s receipt of any property on account of his prior interest.”). While they recognize the substantive distinctions, Minority Lenders argue that several of *LaSalle*’s holdings are nonetheless relevant here. The primary import of *LaSalle* seems to be that the Supreme Court rejected a reorganization plan that gave a debtor’s pre-bankruptcy equity holders the exclusive opportunity to receive ownership interests in the reorganized debtor if they would invest new money in the reorganized debtor. *Id.* at 437.

The plan in *LaSalle* had been “crammed down” under 11 U.S.C. § 1129(b),³ despite the objections of a senior class of the debtor’s impaired creditors who claimed that the plan violated

³ In common bankruptcy parlance, a “cramdown” typically refers to a restructuring plan that is confirmed over dissenting votes of senior creditors and noteholders. *See In re Tribune Co.*, 972 F.3d 228, 232 (3rd Cir. 2020). While § 1129(b) does not deal exclusively with “cramdown” plans, it provides the requirements that the plan must meet before a court will “cram it down.” *See id.*; *see generally* Bruce Markell, *A New Perspective on Unfair Discrimination in Chapter 11*, 72 AM. BANKR. L.J. 227 (1998).

the absolute-priority rule by rewarding junior creditors before the interests of the senior creditors. *See id.* at 441–43; *see also* 11 U.S.C. § 1129(b)(2)(B)(ii) (stating that in a cramdown situation “the holder of any claim or interest that is junior to the claims of [a class of unsecured claims may] not receive or retain [property] under the [proposed] plan on account of such junior claim or interest any property”). The absolute-priority rule in § 1129(b)(2) provides that, in a cramdown plan, a junior stakeholder cannot receive property as treatment on account of its claim or interest unless all classes of senior claims either receive the full value of their claims or give their consent. § 1129(b)(2)(B)(ii) (“[T]he holder of any claim or interest that is junior to the claims of such class will not receive or retain under the plan on account of such junior claim or interest any property . . .”). The Supreme Court explained that the exclusive opportunity given to the equity holders was “a property interest extended ‘on account of’” the equity holders’ pre-bankruptcy equity interests in the reorganizing debtor. *LaSalle*, 526 U.S. at 456. The Supreme Court gave the phrase “on account of” a “common understanding” and interpreted it to mean “because of.” *LaSalle*, 526 U.S. at 450. Thus, if the exclusive opportunity had a causal relationship to the interest or claim of the creditor, then the exclusivity was “on account of” the interest or claim. *Id.* at 453.

An additional issue troubling the *LaSalle* Court was the fact that the equity holders who were being prioritized paid nothing for the opportunity to invest new money for an ownership interest, and that the debtor neither considered alternative ways of raising capital nor attempted to market test the plan. *Id.* at 458. Specifically, the Court held that “a truly full value transaction . . . would pose no threat to the bankruptcy estate not posed by any reorganization . . .” *Id.* at 453–54. While the Court declined to set out the specific parameters that constitute a determination of market valuation, it held that “plans providing junior interest holders with exclusive opportunities free from competition *and without benefit of market valuation* fall within the prohibition

of § 1129(b)(2)(B)(ii).” *Id.* at 458. Thus, to avoid the restrictions of the absolute priority rule, it was necessary to test the market valuation of the plan’s proposals. Given these facts, the Supreme Court concluded that the “very purpose of the whole [LaSalle] transaction” must have been, “at least in part, to do old equity a favor . . . because of old equity’s prior interest” in the debtor. *Id.*; *see also In re Peabody Energy Corp.*, 933 F.3d 918, 925–26 (8th Cir. 2019). Most relevant here, the Supreme Court held that an exclusive opportunity to obtain equity in a reorganized entity, without the benefit of market valuation, constituted a property interest received “on account of” a claim or interest. *LaSalle*, 526 U.S. at 455–56.

While the Supreme Court has not directly addressed § 1123(a)(4) in the same detail, several circuit courts have. In *In re Peabody*, the Eighth Circuit analyzed a plan that included “an exclusive sale of discounted preferred stock to qualifying creditors.” *Peabody*, 933 F.3d at 922. In order to qualify for the preferred stock, however, creditors were required to execute certain agreements that obligated them to: “(1) buy a set amount of preferred stock; (2) agree to backstop (i.e., purchase shares of common and preferred stock that did not sell) both sales [of common and preferred stock]; and (3) support the plan in the confirmation process.” *Id.* The amount of preferred stock qualifying creditors could buy depended on the portion of the pre-bankruptcy debt they owned and when they became qualifying creditors (*i.e.*, how quickly they sought to qualify). *Id.*

The Eighth Circuit, looking specifically at *LaSalle*, held that the plan did not provide unequal treatment due to several distinguishing factors. First, the opportunity to purchase preferred stock was not exclusive—any creditor could qualify. *Id.* at 926. Second, unlike the equity holders in *LaSalle* who were given the exclusive opportunity without exchanging value up front, the creditors in *Peabody* qualified to purchase the preferred stock by providing additional consideration. *Id.* Third, unlike in *LaSalle*, the debtor had considered several alternative ways to

raise capital, including the proposals submitted by the Ad Hoc Committees. *Id.* Based on these distinguishing factors, the Eighth Circuit found the plan did not violate § 1123(a)(4). *Id.*

In addition to the Eighth Circuit, the Fifth Circuit has also recently provided more guidance. After the parties completed the merits briefing in this case, the Fifth Circuit published an opinion interpreting § 1123(a)(4)’s equal-treatment requirement and laying out several applicable guidelines for the first time. *See In re Serta Simmons Bedding, LLC*, 125 F.4th 555 (5th Cir. 2024). In *Serta*, the Bankruptcy Court approved a plan where all members of the relevant classes received the same settlement indemnity; however, the expected value of the indemnity varied dramatically depending on whether members of the class had participated in an uptier exchange transaction (“the Uptier”) that occurred before any bankruptcy petition was filed.⁴ *Id.* at 591. The indemnity was worth potentially millions to those that participated in the Uptier, but was essentially worthless to those that had not. *Id.* at 591–92. Given the resulting differential in value, the Fifth Circuit held that the plan resulted in an impermissible unequal treatment. *Id.* at 592.

As the first case in the Fifth Circuit analyzing § 1123(a)(4) since *LaSalle*’s analysis of “treatment for a claim” under § 1129(b), the analysis in *Serta* is of the utmost importance here. First, the Fifth Circuit held that equal treatment “does not require ‘precise equality, only approximate equality,’ and that ‘certain procedural differences’ do not constitute unequal treatment.” *Id.* (citing *In re W.R. Grace & Co.*, 729 F.3d 311, 327 (3d Cir. 2013)). Second, it held that “equal treatment prohibits disparate treatment with respect to value, thus prohibiting the

⁴ An “uptier exchange transaction” refers to “an aggressive tactic” through which some class members can access new capital by amending their existing credit agreements to permit new “superpriority” secured debt. Jackson Skeen, *Uptier Exchange Transactions: Lawful Innovation or Lender-on-Lender Violence?*, 40 YALE J. ON REG. 408, 413 (2023). Rather than removing collateral from the reach of existing creditors, the borrower in these transactions obtains consent from lenders holding a simple majority of outstanding loans and commitments (the “required lenders”) to create new superpriority debt capacity under its existing credit agreement. *Id.*

payment of different settlements to co-class members or a requirement that some class members tender more valuable consideration for the same settlement.” *Id.* (citing *AOV Indus., Inc.*, 792 F.2d at 1152). Third, it held that a plan must provide an equality of opportunity, even if equality of recovery does not necessarily result. *Id.* The second and third holdings are most important here.

B. Application and Analysis

The Court finds that both *LaSalle* and *Serta* guide it to the same conclusion—the exclusive backstopping opportunity present in this case constituted treatment for a claim and allowed for some class members to receive higher recoveries than others in the same class. Therefore, the backstopping opportunity that was offered to some free from competition, but not all, class members violated 11 U.S.C. § 1123(a)(4).

1. Unequal Treatment and the “Market Test” Requirement

To be sure, this is neither a cramdown case nor does it concern the absolute priority rule, so the specific holding and application in *LaSalle* does not directly answer whether this Plan constitutes unequal treatment. Nevertheless, the similarity in text and structure of §§ 1123(a)(4) & 1129(b), as well as the Supreme Court’s analysis certainly make the *LaSalle* opinion instructive. An exclusive opportunity resulting in a significant disparity in value, without consideration for the investment opportunity itself, qualifies as treatment for a claim under § 1123(a)(4).

To start, the backstopping opportunity was exclusive—it was offered to some, but not all, of the Class Three creditors before the bankruptcy petition was ever filed. The parties agree that the opportunity to participate in the backstopping was restricted to the Majority Lenders, despite the Minority Lenders actively seeking to participate in the opportunity. *See* (Doc. No. 52 at 6); (Doc. No. 51 at 5). The Majority Lenders argue that the Minority Lenders were not *really* excluded from the proposal because they were free to propose an alternative *after* the Plan had been filed.

(Doc. No. 51 at 6). The Court does not find this persuasive. The Majority Lenders, Debtors, and Insider negotiated the terms of the RSA for months before it was finalized, and the Minority Lenders were excluded from those negotiations from beginning to end. Then, as soon as the RSA was finalized, the Debtors filed the pre-packaged bankruptcy plan which was then confirmed by the Bankruptcy Court in a matter of weeks.

In the context of this pre-packaged plan, the fact that the Minority Lenders were expressly excluded—and were, in fact, intentionally restricted from participating in the deal—makes it undisputable that the backstopping agreement was an exclusive opportunity given to a subset of class members without giving the Minority Lenders the chance for inclusion. *See* (Doc. No. 31 at 749) (email from counsel for Debtors informing counsel for Minority Lenders that “[t]op 5 [creditors] in terms of size are restricting” what parties had access to the early discussions relating to the RSA).

This exclusivity created a distinction among class-members without any real opportunity for the excluded members to access the opportunity. For similar reasons, this Court finds this Plan distinguishable from *Peabody*. Most importantly, unlike in *Peabody* where every creditor had the opportunity to participate, the Majority Lenders here were given an *exclusive* opportunity to backstop the equity-rights offering without providing any up-front value in exchange for the opportunity. The most salient factor is whether the investment opportunity that led to higher recoveries was itself supported by adequate consideration. In *Peabody*, it was. Here, it was not. As such, the Court finds this Plan more analogous to *LaSalle* than to *Peabody*.

Further, there was no attempt by the Majority Lenders or Debtors to discern an accurate market valuation of the backstopping opportunity. The Supreme Court did not define a market test in *LaSalle*—much to the chagrin of many lower courts. *See In re Acis Capital Mgmt., L.P.*, 604

B.R. 484 (N.D. Tex. 2019), *aff'd sub nom., Matter of Acis Capital Mgmt., L.P.*, 850 Fed. App'x 302 (5th Cir. 2021) (holding that the Supreme Court “suggested (but did not decide)” that the termination of exclusivity could constitute a sufficient market test); *In re NNN Parkway 400 26, LLC*, 505 B.R. 277, 283 (Bankr. C.D. Cal. 2014) (“Despite a lack of guidance in *LaSalle* other courts have provided some modest detail regarding the appropriate standard.”); *In re Eleton Holdings Inc.*, 664 B.R. 569, 621 (S.D.N.Y. 2024) (“While this Court previously stated that one of the methods for potentially confirming a ‘new value plan’ is through the competing plan process, the Court notes that the United States Supreme Court in *203 N. LaSalle* did not definitively decide whether competing plans were sufficient to satisfy this requirement.”).

The parties disagree in their conception of what constitutes a “market test,” but they do not seem to disagree about what actually occurred in this case. Majority Lenders cite to analysis conducted by the Debtors and Majority Lenders to ensure that the Plan was “fair and reasonable,” including “negotiat[ing] at arms’ length” (with each other) to ensure that the terms were “within the range of precedent transactions.” (Doc. No. 51 at 10). Further, Majority Lenders contend that Minority Lenders were given the opportunity to propose an alternative plan after Debtors filed. (*Id.*). Without contesting the truth of those assertions, the Minority Lenders simply argue that those allegations are insufficient to satisfy the requirement of “market testing” the Plan. (Doc. No. 50 at 8). Citing to various courts, Minority Lenders argue that no matter what definition of “market test” the Court eventually adopts, there was no such test here. *Id.* The Court agrees with Minority Lenders.

Looking at the testimony provided at the confirmation hearing, the Debtors’ investment banker himself stated that a “[m]arket test is exposing an investment opportunity to some competitive tension,” and that this was not done in this case. (Doc. No. 36 at 142, 147). In fact,

there seems to be no dispute that the only alternatives to the backstop agreement terms originally proposed were the two alternative plans proposed by the Minority Lenders after the RSA was already executed and the pre-packaged bankruptcy petition was filed. While Majority Lenders contend that a public marketing process is not required, they do not offer a definition of market test that would be satisfied here.

Even if the test merely required the consideration of alternative plans, there was no real opportunity for the Minority Lenders to propose an alternative that would receive genuine consideration. To put it bluntly, at the time the bankruptcy petition was filed, the train had already left the station, and the Minority Lenders were never permitted to board.⁵ Majority Lenders concede that the Minority Lenders were excluded from participating in the backstop prior to the bankruptcy filings. (Doc. No. 51 at 6). They consistently sought to be included in the negotiations and “brought into the fold.” (Doc. No. 31 at 736). Nevertheless, they were expressly told that the backstop negotiation was “restricted” by the largest creditors, and they were not permitted to participate. (*Id.* at 745). Interestingly, Debtors and Majority Lenders argue that there is no cause for concern because “Minority Lenders had time and opportunity to propose an alternative backstop *after* the bankruptcy filings.” (Doc. No. 51 at 6). For all the reasons mentioned above and expounded on below, however, any such opportunity was illusory at best.

As a “pre-pack” case, there was a complete restructuring plan proposed at the moment the bankruptcy petition was filed. *See* Mark D. Plevin, Leslie A. Epley, Clifton S. Elgarten, *The Future Claims Representative in Prepackaged Asbestos Bankruptcies: Conflicts of Interest, Strange*

⁵ Testimony by Sherman K. Edmiston III, an independent director of the Debtor, described a “prepack” process such as the one used in this case as a process where “you file with a plan that’s already voted on by the key constituency, so . . . it makes the bankruptcy process more efficient, and it limits, you know, cost.” (Doc. No. 31 at App. 1024). This process also limited the participation of those who were excluded from the pre-filing opportunities.

Alliances, and Unfamiliar Duties for Burdened Bankruptcy Courts, 62 N.Y.U. ANN. SURV. AM. L. 271, 288 (2006) (“A pre-pack plan is one that is negotiated and voted on before the commencement of the bankruptcy case. In a pre-pack, the debtor has solicited and obtained the requisite votes in favor of its plan before commencing its bankruptcy case.”). As such, the Debtor was in possession of a restructuring plan that had already been approved by the requisite number of creditors—in this case, the creditors holding over 81% of first-lien claims. (Doc. No. 30 at 12). Further, the Plan as it was proposed at that time resulted in a 31% higher recovery for the Majority Lenders permitted to participate in the backstopping agreement. (*Id.* at 15). As such, while Minority Lenders were given a few weeks to propose alternative plans, it was virtually certain that any alternative plan would never be approved. Since the proposed Plan already had the approval of enough creditors to be confirmed, Minority Lenders essentially had to convince a supermajority of creditors to take less money so that the Minority Lenders could recover slightly more and convince the Debtors to risk their otherwise confirmable Plan. For obvious economic and fiduciary reasons, none of the Majority Lenders found the alternative plans compelling. There was never any incentive for Debtors or Majority Lenders to consider any alternative plan, and they had no need to do so—the proposed pre-packaged Plan was basically finished, satisfied the needs of the Debtors, and permitted the in-group to recover more at the expense of the out-group. As such, any “opportunity” to propose an alternative plan was illusory at best.

Among the potential conceptions of a “market test” that have developed in the wake of *LaSalle*, the Court finds most persuasive the one utilized by the Seventh Circuit. *See In re Castleton Plaza LP*, 707 F.3d 821 (7th Cir. 2013) (Easterbrook, J.). In *Castleton*, a cramdown case, the Seventh Circuit announced its answer to the market test question as one that would focus on competition. *Id.* at 821 (“[C]ompetition is the way to tell whether a new investment makes the

senior creditor (and the estate as a whole) better off. A plan of reorganization that includes a new investment must allow potential investors to bid.”); *see also* Paul T. Musser, *Castleton: 7th Circuit's Answer to 203 N. Lasalle's Market Test*, AM. BANKR. INST. J. 28, 106 (2015). In doing so, the Seventh Circuit rejected the idea that the mere opportunity to propose a competing plan was sufficient to “market test” the plan and instead required competitive bidding. *Id.* at 823.

The Court finds that no such market test occurred here.⁶ As stated above, there is no dispute that the exclusion of the Minority Lenders from any backstopping opportunity was solidified before the RSA was finalized or the Plan was filed in the bankruptcy court. There is likewise no dispute that the Debtors made no attempt to put the investment opportunity into an open-market option, seek any third-party input, or otherwise test the fair-market valuation of the backstopping agreement.⁷ The only “test” of the agreement was the discussions between the Debtors and Majority Lenders—from which the Minority Lenders were entirely excluded. While the Minority Lenders were permitted the opportunity to propose alternative plans, they were only given a few weeks to provide plans that would both satisfy the Debtors’ need to raise capital and convince the Majority Lenders to walk away from the beneficial deal they already had and vote for confirmation. There was certainly no attempt to allow new potential investors to bid, as required in *In re Castleton*, 707 F.3d at 821, or submit the deal to an “open market” as described in *Serta*. 125 F.4th

⁶ In this area, there is a disagreement among the parties over the appropriate standard of review that this Court should apply to the Bankruptcy Court’s determination that the Plan was “a market deal.” (Doc. No. 29-47 at 427) (Oral Ruling Confirmation of Plan). As this Court does not question any of the Bankruptcy Court’s factual findings and merely reviews whether those facts are sufficient to legally satisfy the market-test requirement as a matter of law, this Court reviews the question *de novo*. *See United Refin. Co. v. Dorrion*, 688 F. Supp. 3d 558, 562 (S.D. Tex. 2023) (“A district court functions as an appellate court when reviewing the decision of a bankruptcy court as to a core proceeding, and so . . . conclusions of law and mixed questions of fact and law are reviewed *de novo*.”) (citing *In re Seven Seas Petroleum Inc.*, 522 F.3d 575, 583 (5th Cir. 2008); FED. R. BANKR. P. 8013).

⁷ In fact, the RSA precluded an attempt to seek other alternatives to the proposed “deal” to the market as it had a “no-shop” provision. (Doc. No. 31 at App. 100).

at 579. Further, each of the Minority Lenders' plans were rejected by the Majority Lenders' overwhelming voting majority.

Without a genuine test of the market valuation of the backstopping opportunity, there is no definition of market test that would be satisfied here.⁸ With *LaSalle* guiding the Court's reading of § 1123(a)(4), the Court holds that the exclusive backstopping opportunity provided to the Majority Lenders likely constitutes unequal treatment among creditors for their claim in violation of the Bankruptcy Code. This holding, as it turns out, is also independently supported by the Fifth Circuit's opinion in *Serta*.

2. *Serta's Function and Effect Analysis*

Guided by *Serta*, this Court must first look “below the surface to determine whether distributions were in fact equal in value.” *Id.* (citing *W.R. Grace & Co.*, 729 F.3d at 327). As in *Serta*, the financial detriment cited by Minority Lenders here also involves the reallocation of an eight-figure sum and the availability of discounted equity to some class members but not those who were excluded from the backstopping opportunity. Thus, the disparate recovery here also extends “far beyond approximate equality.” *Id.* (internal citations omitted).

Second, the Court must examine the inequality both in opportunity and result. The *Serta* court addressed a similar argument that the plan provided “equal opportunity” if not an “equal result.” *Id.* According to the appellees in *Serta*, the indemnity was akin to allowing all lenders to try their cases to a jury where some may recover more than others. *Id.* The Fifth Circuit rejected this theory of facial equality. *Id.* Instead, it held that the “better analogy would be a plan distribution by which all class members were given the opportunity to litigate their asbestos

⁸ There was testimony in the record that Debtors looked at comparable rights offerings. (Doc. No. 29–47, R. 010287). This testimony was conclusory and lacked any specific information that could in any way suggest that this “deal” was “market tested.”

injuries, but only half had such injuries.” *Id.* Based on the unequal effect that the indemnity would have on the different lenders, the Fifth Circuit held that the arrangement was not compliant with § 1123(a)(4). *Id.*

In this case, while the Plan here may be factually distinguishable from the plan in *Serta*, this Court is not persuaded that it is legally distinguishable. In fact, this case is perhaps more straightforward. In *Serta*, indemnity was offered to all creditors. The effect of the indemnity, however, only benefitted creditors who had previously chosen to participate in an Uptier before *Serta* ever filed bankruptcy—the different treatment resulted from the lender’s pre-bankruptcy choice not to participate in the Uptier. Here, participation in the backstopping opportunity—which provided discounted stock purchases and significantly higher recoveries—was offered exclusively to some creditors without any consideration for the opportunity to participate. Similarly, *Serta* had, at least superficially, given all class members equal participation opportunities. *See Serta*, 125 F.4th at 590. Here, there was not even any pretense of equal participation. True, the Majority Lenders provided the backstopping funds (consideration) to the Debtor which qualified them to receive discounted equity (benefit) on the backend. The *opportunity* to participate in the backstop and provide this additional consideration, however, was made exclusive to certain creditors—in exchange for nothing—long before the pre-packaged bankruptcy was ever filed.

The fact that the unequal treatment happened before the bankruptcy petition was even filed does not insulate the Plan from the requirements of § 1123(a)(4). As a matter of law, courts have long held that pre-packaged plans must satisfy § 1123(a)(4). *See, e.g., In re Combustion Eng. Inc.*, 391 F.3d 190, 239 (3rd Cir. 2004). In *Serta*, the qualifying factor that permitted some creditors to receive higher recoveries occurred several years before the bankruptcy was filed, and the Fifth Circuit nevertheless looked past the language of the plan to discern whether the *effect* of the plan

was unequal. While Debtors in this case can argue that the Plan itself treats all creditors the same, *Serta* rejects a surface-level or overly formalistic (or simplistic) inquiry into equality:

“Taking this argument to its logical extent, any special gift could be recharacterized as equal treatment. For example, consider a plan that awarded an extra \$5 million to every member of Class 3 who had its headquarters in Louisiana. That would obviously be unequal treatment. But what if the plan simply provided that every member of Class 3 gets a note promising payment of \$5 million in one year if the member is headquartered in Louisiana? Under the appellees' argument, this plainly improper provision would be fine. We decline to adopt such a restrictive view of equal treatment.”

Id. at 592 n.24.

Finally, Debtors argue that essentially any exclusive financial opportunity can be given to a subset of lenders to dramatically increase their recovery so long as there is *some* sort of consideration in return. This argument, however, is already foreclosed by *LaSalle*. Rather than relying on the backstopping as consideration for the access to discounted equity, Debtors would have to show consideration for the *opportunity* to backstop the equity-rights offering to justify the exclusive opportunity. *See LaSalle*, 526 U.S. at 456; *In re Peabody*, 933 F.3d at 926. Unfortunately for the Debtors, no such consideration existed.

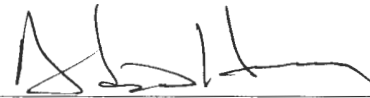
In sum, the Plan offered a valuable and exclusive opportunity to backstop an equity-rights offering for a portion of the class of creditors but not the remaining creditors. This opportunity was offered to the subclass of creditors without any exchange of value *for the opportunity* and, under the confirmed Plan, resulted in significantly higher recoveries to some class members for the same claims. Since this pre-planned arrangement constituted unequal treatment, the backstopping and equity-rights aspect of the Plan violated the equal-treatment requirement of § 1123(a)(4).

IV. CONCLUSION

The Plan relied heavily on a backstopping agreement to finance its equity-rights offering. The Majority Lenders were given the exclusive opportunity to purchase discounted stock in the

new entity in exchange for agreeing to backstop the Plan and Debtors' emergence from bankruptcy. This exclusive agreement resulted in significantly higher recoveries on the claims of the backstopping lenders. Participation in the backstopping opportunity, however, was not offered to all class members nor subjected to a market test. As such, this exclusive opportunity constituted unequal treatment of members of the same creditor class. The Court finds that the Plan violates 11 U.S.C. § 1123(a)(4) in the manner it treats the Minority (or Excluded) Lenders. The Court therefore **REVERSES** the Bankruptcy Court's Confirmation Order to the extent it overruled the Minority Lenders' objection based upon that section, and **REMANDS** for further proceedings consistent with the Court's decision.

SIGNED this 25th day of September, 2025.

A handwritten signature in black ink, appearing to read 'Andrew S. Hanen', written over a horizontal line.

Andrew S. Hanen
United States District Judge